

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California ("Bond Counsel"), under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest (and original issue discount) on the Bonds is exempt from State of California personal income tax. See "TAX MATTERS" herein.

\$28,410,000**COVINA-VALLEY UNIFIED SCHOOL DISTRICT****(Los Angeles County, California)****\$12,000,000****Election of 2012 General Obligation Bonds,
Series C****\$16,410,000****2016 General Obligation Refunding Bonds
(2019 Crossover)****Dated: Date of Delivery****Due: August 1, as shown on the inside cover pages**

This cover page contains certain information for quick reference only. It is not a summary of this issue. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision. Capitalized terms used on this cover page but not otherwise defined will have the meanings assigned thereto as provided in this Official Statement.

The Covina-Valley Unified School District (Los Angeles County, California) Election of 2012 General Obligation Bonds, Series C (the "New Money Bonds") were authorized at an election of the registered voters of the Covina-Valley Unified School District (the "District") held on November 6, 2012, at which more than fifty-five percent of the persons voting on the proposition voted to authorize the issuance and sale of \$129,000,000 principal amount of general obligation bonds of the District. The New Money Bonds are being issued by the District to (i) finance the repair, upgrading, acquisition, construction and equipping of certain District property and facilities and (ii) pay the costs of issuance of the New Money Bonds.

The Covina-Valley Unified School District (Los Angeles County, California) 2016 General Obligation Refunding Bonds (2019 Crossover) (the "Refunding Bonds," and together with the New Money Bonds, the "Bonds") are being issued by the District to (i) advance refund, on a crossover basis, certain of the District's outstanding 2006 Election General Obligation Bonds, 2007 Series B and (ii) pay the costs of issuance of the Refunding Bonds.

The New Money Bonds are general obligations of the District payable solely from the proceeds of *ad valorem* property taxes. The Board of Supervisors of Los Angeles County (the "County") is empowered and obligated to annually levy such *ad valorem* taxes without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the New Money Bonds when due.

Prior to August 1, 2019 (the "Crossover Date"), the Refunding Bonds will be secured by and payable solely from proceeds of the Refunding Bonds deposited into an escrow fund established therefor. From and after the Crossover Date, the Refunding Bonds shall, without any further action on the part of the District, the registered owners or Beneficial Owners (as defined herein) of the Refunding Bonds, constitute general obligations of the District payable solely from *ad valorem* property taxes. From and after the Crossover Date, the Board of Supervisors of the County will be empowered and obligated to annually levy such *ad valorem* taxes without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Refunding Bonds when due.

The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee for The Depository Trust Company, New York, New York (collectively referred to herein as "DTC"). Purchasers of the Bonds (the "Beneficial Owners") will not receive physical certificates representing their interests in the Bonds. The Bonds will be dated as of their date of initial delivery (the "Date of Delivery") and will be issued as current interest bonds, such that interest thereon will accrue from the Date of Delivery and be payable semiannually on February 1 and August 1 of each year, commencing February 1, 2017. The Bonds are issuable in denominations of \$5,000 principal amount or any integral multiple thereof.

Payments of principal of and interest on the Bonds will be made by the designated paying agent, bond registrar and transfer agent (the "Paying Agent"), to DTC for subsequent disbursement to DTC Participants (as defined herein) who will remit such payments to the Beneficial Owners of the Bonds. See "THE BONDS – Book-Entry Only System" herein. U.S. Bank National Association has been appointed as agent of the Treasurer and Tax Collector of the County to act as Paying Agent for the Bonds.

The Bonds are subject to optional redemption and mandatory sinking fund redemption prior to maturity as further described herein. See "THE BONDS – Redemption" herein.

MATURITY SCHEDULES**(see inside cover pages)**

The Bonds will be offered when, as and if issued and received by the Underwriter, subject to the approval of legality by Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, Bond Counsel and Disclosure Counsel. Certain legal matters will be passed upon for the Underwriter by Norton Rose Fulbright US LLP, Los Angeles, California. The Bonds, in book-entry form, will be available for delivery through the facilities of DTC in New York, New York on or about August 31, 2016.

Wells Fargo Securities

MATURITY SCHEDULES

Base CUSIP^(†): 223093

\$12,000,000

**COVINA-VALLEY UNIFIED SCHOOL DISTRICT
(Los Angeles County, California)
Election of 2012 General Obligation Bonds, Series C**

\$3,565,000 Serial Bonds

Maturity (August 1)	Principal Amount	Interest Rate	Yield	CUSIP^(†)
2028	\$230,000	4.000%	2.030% ⁽¹⁾	TA3
2029	260,000	4.000	2.150 ⁽¹⁾	TB1
2030	300,000	4.000	2.260 ⁽¹⁾	TC9
2031	345,000	4.000	2.360 ⁽¹⁾	TD7
2032	385,000	4.000	2.410 ⁽¹⁾	TE5
2033	435,000	4.000	2.460 ⁽¹⁾	TF2
2034	480,000	4.000	2.510 ⁽¹⁾	TG0
2035	535,000	4.000	2.560 ⁽¹⁾	TH8
2036	595,000	4.000	2.600 ⁽¹⁾	TJ4

\$4,360,000 – 4.000% Term Bonds due August 1, 2041 – Yield 2.680%⁽¹⁾ – CUSIP^(†): TL9

\$4,075,000 – 3.000% Term Bonds due August 1, 2045 – Yield 3.050% – CUSIP^(†): TK1

⁽¹⁾ Yield to call at par on August 1, 2026.

^(†) CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services (“CGS”), managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. None of the Underwriter, the financial advisor or the District is responsible for the selection or correctness of the CUSIP numbers set forth herein. CUSIP numbers have been assigned by an independent company not affiliated with the District, the financial advisor or the Underwriter and are included solely for the convenience of the registered owners of the applicable Bonds. None of the District, the financial advisor or the Underwriter is responsible for the selection or uses of these CUSIP numbers, and no representation is made as to their correctness on the applicable Bonds or as included herein. The CUSIP number for a specific maturity is subject to being changed after the execution and delivery of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

\$16,410,000
COVINA-VALLEY UNIFIED SCHOOL DISTRICT
(Los Angeles County, California)
2016 General Obligation Refunding Bonds
(2019 Crossover)

\$16,410,000 Serial Bonds

Maturity (August 1)	Principal Amount	Interest Rate	Yield	CUSIP^(†)
2020	\$510,000	3.000%	0.840%	TM7
2021	565,000	4.000	1.000	TN5
2022	610,000	4.000	1.200	TP0
2023	665,000	4.000	1.340	TQ8
2024	710,000	4.000	1.460	TR6
2025	755,000	4.000	1.590	TS4
2026	795,000	4.000	1.750	TT2
2027	850,000	4.000	1.870 ⁽¹⁾	TU9
2028	890,000	4.000	2.030 ⁽¹⁾	TV7
2029	1,060,000	5.000	2.040 ⁽¹⁾	TW5
2030	1,135,000	5.000	2.110 ⁽¹⁾	TX3
2031	1,245,000	4.000	2.360 ⁽¹⁾	TY1
2032	6,620,000	5.000	2.180 ⁽¹⁾	TZ8

⁽¹⁾ Yield to call at par on August 1, 2026.

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This Official Statement does not constitute an offering of any security other than the original offering of the Bonds of the District. No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained in this Official Statement, and if given or made, such other information or representation not so authorized should not be relied upon as having been given or authorized by the District.

The issuance and sale of the Bonds have not been registered under the Securities Act of 1933 or the Securities Exchange Act of 1934, both as amended, in reliance upon exemptions provided thereunder by Sections 3(a)2 and 3(a)12, respectively. This Official Statement does not constitute an offer to sell or a solicitation of an offer to buy in any state in which such offer or solicitation is not authorized or in which the person making such offer or solicitation is not qualified to do so or to any person to whom it is unlawful to make such offer or solicitation.

For purposes of compliance with Rule 15c2-12 of the United States Securities and Exchange Commission, as amended (the "Rule"), and in effect on the date hereof, this Official Statement constitutes an official statement of the District that has been deemed final by the District as of its date except for the omission of no more than the information permitted by the Rule.

The information set forth herein, other than that provided by the District, has been obtained from sources which are believed to be reliable, but is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

When used in this Official Statement and in any continuing disclosure by the District in any press release and in any oral statement made with the approval of an authorized officer of the District or any other entity described or referenced in this Official Statement, the words or phrases "will likely result," "are expected to," "will continue," "is anticipated," "estimate," "project," "forecast," "expect," "intend" and similar expressions identify "forward looking statements" within the meaning of the Private Securities Litigation Reform Act of 1995. Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

The Underwriter has provided the following sentence for inclusion in this Official Statement: "The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information."

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVER ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITER MAY OFFER AND SELL THE BONDS TO CERTAIN DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENT AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITER.

This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

The District maintains a website. However, the information presented on the District's website is not incorporated into this Official Statement by any reference, and should not be relied upon in making investment decisions with respect to the Bonds.

References to website addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader's convenience. Unless specified otherwise, such websites and the information or links contained therein are not incorporated into, and are not part of, this Official Statement for purposes of, and as that term is defined in, the Rule.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

BOARD OF EDUCATION

Richard M. White, *President*
Charles M. Kemp, *Vice President*
Sue L. Maulucci, *Clerk*
Sonia Frasquillo, *Member*
Darrell A. Myrick, *Member*

DISTRICT ADMINISTRATION

Richard M. Sheehan, Ed.D., *Superintendent*
Robert McEntire, *Chief Business Officer*
Michelle T. Doll, Ed.D., *Assistant Superintendent, Personnel Services*
Elizabeth Eminhizer, *Assistant Superintendent, Education Services*

PROFESSIONAL SERVICES

BOND COUNSEL AND DISCLOSURE COUNSEL

Stradling Yocca Carlson & Rauth, a Professional Corporation
San Francisco, California

FINANCIAL ADVISOR

Piper Jaffray & Co.
El Segundo, California

PAYING AGENT AND TRANSFER AGENT

U.S. Bank National Association, as agent of the
Treasurer and Tax Collector of Los Angeles County
Los Angeles, California

ESCROW AGENT

U.S. Bank National Association
Los Angeles, California

VERIFICATION AGENT

Causey Demgen & Moore P.C.
Denver, Colorado

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\$28,410,000
COVINA-VALLEY UNIFIED SCHOOL DISTRICT
(Los Angeles County, California)

\$12,000,000
Election of 2012 General Obligation Bonds,
Series C

\$16,410,000
2016 General Obligation Refunding Bonds
(2019 Crossover)

INTRODUCTION

This Official Statement, which includes the cover page, inside cover pages and appendices hereto, provides information in connection with the sale of the (i) Covina-Valley Unified School District (Los Angeles County, California) Election of 2012 General Obligation Bonds, Series C (the “New Money Bonds”) and (ii) Covina-Valley Unified School District (Los Angeles County, California) 2016 General Obligation Refunding Bonds (2019 Crossover) (the “Refunding Bonds,” and together with the New Money Bonds, the “Bonds”).

This Introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page, inside cover pages and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of the Bonds to potential investors is made only by means of the entire Official Statement.

The District

The Covina-Valley Unified School District (the “District”), located in Los Angeles County (the “County”), State of California (the “State”), was unified at an election held in December 1959, and became operational in July 1960. The boundaries of the District include the Cities of Covina, West Covina, Glendora, San Dimas and Irwindale. The District currently operates 10 elementary schools, three middle schools, three comprehensive high schools, one alternative high school, and an adult education program. For fiscal year 2015-16, the District had an assessed valuation of \$8,304,172,271. For fiscal year 2016-17, the District has budgeted an average daily attendance (“ADA”) of 11,317 students.

The District is governed by a five-member Board of Education (the “Board”), each member of which is elected to a four-year term. Elections for positions on the Board are held every two years, alternating between two and three available positions. The management and policies of the District are administered by a Superintendent appointed by the Board who is responsible for day-to-day District operations as well as the supervision of the District’s other key personnel. Richard M. Sheehan, Ed.D. is currently the District’s Superintendent. See “DISTRICT TAX BASE” herein for more information regarding the District’s assessed valuation, and “COVINA-VALLEY UNIFIED SCHOOL DISTRICT” herein for more information regarding the District generally.

Purpose of the Bonds

New Money Bonds. The New Money Bonds are being issued by the District to (i) finance the repair, upgrading, acquisition, construction and equipping of certain District property and facilities and (ii) pay the costs of issuance of the New Money Bonds. See “THE BONDS – Application and Investment of Bond Proceeds – New Money Bonds” and “ESTIMATED SOURCES AND USES OF FUNDS – New Money Bonds” herein.

Refunding Bonds. The Refunding Bonds are being issued by the District to (i) advance refund, on a crossover basis, certain of the District's outstanding 2006 Election General Obligation Bonds, 2007 Series B (the "2006 Series 2007 Bonds") and (ii) pay the costs of issuance of the Refunding Bonds. See "THE BONDS – Application and Investment of Bond Proceeds – Refunding Bonds" and "ESTIMATED SOURCES AND USES OF FUNDS – Refunding Bonds" herein.

The 2006 Series 2007 Bonds to be refunded with proceeds of the Refunding Bonds are referred to herein as the "Refunded Bonds."

Concurrently with the issuance of the Refunding Bonds, the District will enter into an escrow agreement (the "Escrow Agreement") with U.S. Bank National Association, as escrow agent (the "Escrow Agent"), pursuant to which the District will deposit the net proceeds of the Refunding Bonds into the Escrow Fund (as defined herein), such proceeds to be used to purchase certain non-callable Federal Securities (as defined in the Refunding Bonds Resolution described herein), the maturing principal of which, together with interest and earnings thereon, and any other proceeds of the Refunding Bonds held as cash, will be sufficient to pay (i) the debt service due on the Refunding Bonds on and prior to August 1, 2019 (the "Crossover Date") and (ii) the redemption price of the Refunded Bonds on the Crossover Date, such date being the first optional redemption date therefor.

Authority for Issuance of the Bonds

The Bonds are issued pursuant to certain provisions of the State of California Government Code and pursuant to resolutions adopted by the Board. See "THE BONDS – Authority for Issuance" herein.

Sources of Payment for the Bonds

New Money Bonds. The New Money Bonds are general obligations of the District payable solely from the proceeds of *ad valorem* property taxes. The Board of Supervisors of the County is empowered and obligated to levy such *ad valorem* taxes, without limitation as to rate or amount, upon all property within the District subject to taxation thereby (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the New Money Bonds when due.

Refunding Bonds. Prior to the Crossover Date, the Refunding Bonds will be secured by and payable solely from amounts on deposit in the Escrow Fund. From and after the Crossover Date, the Refunding Bonds shall, without further action on the part of the District or the Owners or Beneficial Owners of the Refunding Bonds (as such terms are defined herein), constitute general obligations of the District payable solely from *ad valorem* property taxes. From and after the Crossover Date, the Board of Supervisors of the County will be empowered and obligated to annually levy such *ad valorem* taxes, without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Refunding Bonds when due.

For more complete information regarding the District's financial condition and taxation of property within the District, see "THE BONDS – Security and Sources of Payment," "COVINA-VALLEY UNIFIED SCHOOL DISTRICT" and "DISTRICT TAX BASE" herein.

Description of the Bonds

Form and Registration. The Bonds will be issued in fully registered form only, without coupons. The Bonds will be initially registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (the “DTC”), who will act as securities depository for the Bonds. See “THE BONDS – General Provisions” and “THE BONDS – Book-Entry Only System” herein. Purchasers of the Bonds (the “Beneficial Owners”) will not receive physical certificates representing their interests in the Bonds purchased. In the event that the book-entry only system described below is no longer used with respect to the Bonds, the Bonds will be registered in accordance with the Resolutions described herein. See “THE BONDS – Discontinuation of Book-Entry Only System; Registration, Payment and Transfer of Bonds” herein.

So long as Cede & Co. is the registered owner of the Bonds, as nominee of DTC, references herein to the “Owners,” “Bondowners” or “Holders” of the Bonds (other than under the caption “TAX MATTERS” herein and in “APPENDIX A” attached hereto) will mean Cede & Co. and will not mean the Beneficial Owners of the Bonds.

Denominations. Individual purchases of interests in the Bonds will be available to purchasers of the Bonds in the denominations of \$5,000 principal amount, or any integral multiple thereof.

Redemption. The Bonds are subject to optional and mandatory sinking fund redemption prior to their stated maturity dates as further described herein. See “THE BONDS – Redemption” herein.

Payments. The Bonds will be dated as of the date of their initial delivery (the “Date of Delivery”). Interest on the Bonds accrues from the Date of Delivery, and is payable semiannually on each February 1 and August 1, commencing February 1, 2017 (each, a “Bond Payment Date”). Principal of the Bonds is payable on August 1 of each year, as shown on the inside cover pages hereof. Payments of the principal of and interest on the Bonds will be made by the designated paying agent, registrar and transfer agent (the “Paying Agent”) to DTC for subsequent disbursement through DTC Participants (as defined herein) to the Beneficial Owners of the Bonds. U.S. Bank National Association, Los Angeles, California, has been appointed as agent of the Treasurer and Tax Collector of the County (the “Treasurer”) to act as Paying Agent for the Bonds.

Tax Matters

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, Bond Counsel, based on existing statutes, regulations, rulings and judicial decisions and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State of California personal income tax. See “TAX MATTERS” herein.

Offering and Delivery of the Bonds

The Bonds are offered when, as and if issued, subject to approval as to their legality by Bond Counsel. It is anticipated that the Bonds in book-entry form will be available for delivery through the facilities of the DTC in New York, New York, on or about August 31, 2016.

Concurrent Borrowing

Concurrent with the issuance of the Bonds, the District expects to offer for sale a series of general obligation bonds under the 2012 Authorization (as defined herein) in the aggregate principal amount of \$6,000,000 and designated as the “Covina-Valley Unified School District (Los Angeles County, California) Election of 2012 General Obligation Bonds, Series C-1 (Qualified Zone Academy Bonds) (Tax Credit Bonds)” (the “2012 Series C-1 Bonds”), the net proceeds of which will be used to finance the repair, upgrading and equipping of certain District property and facilities. The 2012 Series C-1 Bonds are general obligations of the District, payable solely from *ad valorem* property taxes. The Board of Supervisors of the County is empowered and obligated to levy such *ad valorem* taxes, without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the 2012 Series C-1 Bonds when due. See also “COVINA-VALLEY UNIFIED SCHOOL DISTRICT – District Debt Structure – General Obligation Bonds” herein.

Bond Owner’s Risks

The New Money Bonds are general obligations of the District payable from *ad valorem* property taxes which may be levied on all taxable property in the District, without limitation as to rate or amount (except with respect to certain personal property which is taxable at limited rates). **Prior to the Crossover Date, the Refunding Bonds will be secured by and payable solely from amounts on deposit in the Escrow Fund.** From and after the Crossover Date, the Refunding Bonds shall constitute general obligations of the District payable solely from *ad valorem* property taxes which may be levied on all taxable property in the District, without limitation as to rate or amount (except with respect to certain personal property which is taxable at limited rates). For more complete information regarding the taxation of property within the District, see “DISTRICT TAX BASE” herein.

Continuing Disclosure

Pursuant to that certain Continuing Disclosure Certificate relating to the Bonds, the District will covenant for the benefit of the Owners and Beneficial Owners of the Bonds to make available certain financial information and operating data relating to the District and to provide notices of the occurrence of certain listed events, in compliance with Securities and Exchange Commission Rule 15c2-12(b)(5) (the “Rule”). The specific nature of the information to be made available and of the notices of listed events is summarized under “LEGAL MATTERS – Continuing Disclosure” herein and “APPENDIX C – FORM OF CONTINUING DISCLOSURE CERTIFICATE” attached hereto.

Professionals Involved in the Offering

Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, is acting as Bond Counsel and Disclosure Counsel to the District with respect to the Bonds. Stradling Yocca Carlson & Rauth, a Professional Corporation will receive compensation from the District contingent upon the sale and delivery of the Bonds. Piper Jaffray & Co. is acting as Financial Advisor to the District with respect to the Bonds. Certain matters will be passed upon for the Underwriter (as defined herein) by Norton Rose Fulbright US LLP, Los Angeles, California. U.S. Bank National Association has been appointed as the Escrow Agent with respect to the Refunding Bonds and the Refunded Bonds. Causey Demgen & Moore P.C., Denver, Colorado will act as the verification agent (the “Verification Agent”) with respect to the Refunding Bonds and the Refunded Bonds.

Forward Looking Statements

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements” within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used such as “plan,” “intend,” “expect,” “estimate,” “project,” “budget” or other similar words. Such forward-looking statements include, but are not limited to, certain statements contained in the information regarding the District herein.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE DISTRICT DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THE FORWARD-LOOKING STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT.

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change. Copies of documents referred to herein and information concerning the Bonds are available from the Covina-Valley Unified School District, 519 East Badillo Street, Covina, California 91723, telephone: (626) 974-7000. The District may impose a charge for copying, mailing and handling.

No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained herein and, if given or made, such other information or representations must not be relied upon as having been authorized by the District. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of fact. The summaries and references to documents, statutes and constitutional provisions referred to herein do not purport to be comprehensive or definitive, and are qualified in their entirety by reference to each such documents, statutes and constitutional provisions.

The information set forth herein, other than that provided by the District, has been obtained from official sources which are believed to be reliable but it is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

Capitalized terms used but not otherwise defined herein shall have the meanings assigned to such terms in the Resolutions (as defined herein).

THE BONDS

Authority for Issuance

New Money Bonds. The New Money Bonds are being issued pursuant to the provisions of Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the State Government Code, Article XIII A of the State Constitution and pursuant to a resolution adopted by the Board on June 27, 2016 (the “New Money Bonds Resolution”). The County has adopted a resolution pursuant to Section 15140(b) of the Education Code, which authorizes the District to issue the New Money Bonds on its own behalf.

The District received authorization at an election held on November 6, 2012 by the requisite 55% or more of the votes cast by eligible voters within the District to issue \$129,000,000 aggregate principal amount of general obligation bonds (the “2012 Authorization”). The District issued its Election of 2012 General Obligation Bonds, Series A in the aggregate principal amount of \$30,000,000 on May 30, 2013 (the “2012 Series A Bonds”) and its Election of 2012 General Obligation Bonds, Series B in the aggregate principal amount of \$37,000,000 on July 15, 2015 (the “2012 Series B Bonds”). Concurrently with the issuance of the Bonds, the District expects to issue its 2012 Series C-1 Bonds in the aggregate principal amount of \$6,000,000. See “INTRODUCTION - Concurrent Borrowing” herein. Following the issuance of the New Money Bonds and the 2012 Series C-1 Bonds, \$44,000,000 of the 2012 Authorization will remain unissued.

Refunding Bonds. The Refunding Bonds are being issued pursuant to the provisions of Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of the State Government Code and other applicable law, and pursuant to a resolution adopted by the Board on June 27, 2016 (the “Refunding Bonds Resolution,” and, together with the New Money Bonds Resolution, the “Resolutions”).

Security and Sources of Payment

New Money Bonds. The New Money Bonds are general obligations of the District payable solely from the proceeds of *ad valorem* property taxes. The Board of Supervisors of the County is empowered and obligated to annually levy such *ad valorem* taxes, without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the New Money Bonds when due.

Refunding Bonds. Prior to the Crossover Date, the Refunding Bonds will be secured by and payable solely from monies on deposit in the Escrow Fund. From and after the Crossover Date, the Refunding Bonds shall, without further action on the part of the District or the Owners or Beneficial Owners of the Refunding Bonds, constitute general obligations of the District, payable solely from the proceeds of *ad valorem* property taxes. From and after the Crossover Date, the Board of Supervisors of the County will be empowered and obligated to annually levy such *ad valorem* taxes, without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Refunding Bonds when due.

General. The *ad valorem* property taxes levied to pay the New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds, will be levied annually in addition to all other taxes in an amount sufficient to pay the principal thereof and interest thereon when due, as described above. The levy of *ad valorem* property taxes for payment of the Bonds may include an allowance for an annual reserve, established for the purpose of avoiding fluctuating tax levies. While the County has historically levied *ad valorem* property taxes to establish such a reserve for other bonds of the District, the County is not obligated to establish or maintain such a reserve for any of the Bonds, and the District can make no

representation that the County will do so in future years. Such taxes, when collected, will be placed by the County in the respective Debt Service Funds (as defined herein), each of which is required to be segregated and maintained by the County and which is designated for the payment of the corresponding series of Bonds, and interest thereon when due, and for no other purpose. Pursuant to the Resolutions, the District has pledged funds on deposit in each Debt Service Fund to the payment of the corresponding series of Bonds. Although the County is obligated to levy *ad valorem* property taxes for the payment of the Bonds as described above, and will maintain the Debt Service Funds and the Building Fund (as defined herein), none of the Bonds are a debt of the County.

Pursuant to Section 53515 of the State Government Code, the New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds, will be secured by a statutory lien on all revenues received pursuant to the levy and collection of *ad valorem* property taxes for the payment thereof. The lien automatically attaches, without further action or authorization by the Board, and is valid and binding from the time the Bonds are executed and delivered. The revenues received pursuant to the levy and collection of the *ad valorem* property tax will be immediately subject to the liens, and such liens will be enforceable against the District, its successor, transferees and creditors, and all other parties asserting rights therein, irrespective of whether such parties have notice of the lien and without the need for physical delivery, recordation, filing or further act.

Moneys in the respective Debt Service Funds, to the extent necessary to pay the principal of and interest on the New Money Bonds as the same become due and payable, and, from and after the Crossover Date, the Refunding Bonds, as the same become due and payable, will be transferred by the County to the Paying Agent. Prior to the Crossover Date, funds for the payment of the Refunding Bonds will be remitted to the Paying Agent from the Escrow Fund. The Paying Agent will in turn remit the funds to DTC for remittance of such principal and interest to its Participants (as defined herein) for subsequent disbursement to the respective Beneficial Owners of such Bonds.

The amount of the annual *ad valorem* property taxes levied by the County to repay the New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds, as described above, will be determined by the relationship between the assessed valuation of taxable property in the District and the amount of debt service due on the Bonds in any year. Fluctuations in the annual debt service on the Bonds and the assessed value of taxable property in the District may cause the annual tax rates to fluctuate. Economic and other factors beyond the District's control, such as general market decline in land values, disruption in financial markets that may reduce the availability of financing for purchasers of property, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of the taxable property caused by a natural or manmade disaster, such as earthquake, flood, drought or toxic contamination, could cause a reduction in the assessed value of taxable property within the District and necessitate a corresponding increase in the respective annual tax rates. For further information regarding the District's assessed valuation, tax rates, overlapping debt, and other matters concerning taxation, see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution" and "DISTRICT TAX BASE" herein.

General Provisions

The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee for DTC. See “—Book-Entry Only System” herein. Beneficial Owners will not receive certificates representing their interest in the Bonds. The Bonds will be dated as of the Date of Delivery.

Interest on the Bonds accrues from the Date of Delivery and is payable semiannually on each Bond Payment Date, commencing February 1, 2017. Interest on the Bonds will be computed on the basis of a 360-day year of twelve, 30-day months. Each Bond will bear interest from the Bond Payment Date next preceding the date of authentication thereof unless it is authenticated as of a day during the period from the 16th day of the month next preceding any Bond Payment Date to that Bond Payment Date, inclusive, in which event it will bear interest from such Bond Payment Date, or unless it is authenticated on or before January 15, 2017, in which event it will bear interest from the Date of Delivery. The Bonds are issuable in denominations of \$5,000 principal amount or any integral multiple thereof, and mature on August 1, in the years and amounts set forth on the inside cover pages hereof.

Payment. Payment of interest on any Bond on any Bond Payment Date will be made to the person appearing on the registration books of the Paying Agent as the registered Owner thereof as of the 15th day of the month immediately preceding such Bond Payment Date (the “Record Date”), such interest to be paid by wire transfer or check mailed to such Bond Owner on the Bond Payment Date at his or her address as it appears on such registration books or at such other address as he or she may have filed with the Paying Agent for that purpose on or before the Record Date. The Bond Owner in an aggregate principal amount of \$1,000,000 or more may request in writing to the Paying Agent that such Bond Owner be paid interest by wire transfer to the bank and account number on file with the Paying Agent as of the Record Date. The principal of and redemption premiums, if any, payable on the Bonds will be payable upon maturity upon surrender at the principal office of the Paying Agent. The principal of, and interest, and redemption premiums, if any, on the Bonds will be payable in lawful money of the United States of America. The Paying Agent is authorized to pay the Bonds when duly presented for payment at maturity, and to cancel all Bonds upon payment thereof. So long as the Bonds are held in the book-entry system of DTC, all payments of principal of and interest on the Bonds will be made by the Paying Agent to Cede & Co. (as a nominee of DTC), as the registered owner of the Bonds.

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Annual Debt Service

The following table shows the annual debt service requirements of the District for the Bonds (assuming no optional redemptions).

Year Ending <u>August 1</u>	New Money Bonds		Refunding Bonds		Total Annual Debt Service Payment
	Annual Principal Payment	Annual Interest Payment ⁽¹⁾	Annual Principal Payment	Annual Interest Payment ⁽¹⁾⁽²⁾	
2017	--	\$403,865.97	--	\$679,883.19	\$1,083,749.16
2018	--	439,250.00	--	739,450.00	1,178,700.00
2019	--	439,250.00	--	739,450.00	1,178,700.00
2020	--	439,250.00	\$510,000.00	739,450.00	1,688,700.00
2021	--	439,250.00	565,000.00	724,150.00	1,728,400.00
2022	--	439,250.00	610,000.00	701,550.00	1,750,800.00
2023	--	439,250.00	665,000.00	677,150.00	1,781,400.00
2024	--	439,250.00	710,000.00	650,550.00	1,799,800.00
2025	--	439,250.00	755,000.00	622,150.00	1,816,400.00
2026	--	439,250.00	795,000.00	591,950.00	1,826,200.00
2027	--	439,250.00	850,000.00	560,150.00	1,849,400.00
2028	\$230,000.00	439,250.00	890,000.00	526,150.00	2,085,400.00
2029	260,000.00	430,050.00	1,060,000.00	490,550.00	2,240,600.00
2030	300,000.00	419,650.00	1,135,000.00	437,550.00	2,292,200.00
2031	345,000.00	407,650.00	1,245,000.00	380,800.00	2,378,450.00
2032	385,000.00	393,850.00	6,620,000.00	331,000.00	7,729,850.00
2033	435,000.00	378,450.00	--	--	813,450.00
2034	480,000.00	361,050.00	--	--	841,050.00
2035	535,000.00	341,850.00	--	--	876,850.00
2036	595,000.00	320,450.00	--	--	915,450.00
2037	655,000.00	296,650.00	--	--	951,650.00
2038	875,000.00	270,450.00	--	--	1,145,450.00
2039	1,015,000.00	235,450.00	--	--	1,250,450.00
2040	870,000.00	194,850.00	--	--	1,064,850.00
2041	945,000.00	160,050.00	--	--	1,105,050.00
2042	1,015,000.00	122,250.00	--	--	1,137,250.00
2043	1,020,000.00	91,800.00	--	--	1,111,800.00
2044	1,020,000.00	61,200.00	--	--	1,081,200.00
2045	1,020,000.00	30,600.00	--	--	1,050,600.00
Totals	<u>\$12,000,000.00</u>	<u>\$9,751,915.97</u>	<u>\$16,410,000.00</u>	<u>\$9,591,933.19</u>	<u>\$47,753,849.16</u>

⁽¹⁾ Interest payments on the Bonds will be made semiannually on February 1 and August 1 of each year, commencing February 1, 2017.

⁽²⁾ Prior to the Crossover Date, interest on the Refunding Bonds is payable solely from proceeds of the Refunding Bonds deposited into the Escrow Fund. From and after the Crossover Date, such interest shall be payable solely from *ad valorem* property taxes. See “- Security and Sources of Payment” herein.

See “COVINA-VALLEY UNIFIED SCHOOL DISTRICT – District Debt Structure – General Obligation Bonds” herein for a complete debt service schedule of all of the District’s outstanding general obligation bonded debt.

Application and Investment of Bond Proceeds

New Money Bonds. The New Money Bonds are being issued by the District to (i) finance the repair, upgrading, acquisition, construction and equipping of certain District property and facilities and (ii) pay the costs of issuance of the New Money Bonds.

Building Fund. The net proceeds of the sale of the New Money Bonds will be deposited into the fund held by the County and designated as the “Covina-Valley Unified School District Election of 2012 General Obligation Bonds, Series C Building Fund” (the “Building Fund”) and will be applied only for the purposes approved by the voters of the District pursuant to the 2012 Authorization. Any interest earnings on moneys held in the Building Fund will be retained therein. The County will have no responsibility for assuring the proper use of the proceeds of the New Money Bonds.

New Money Bonds Debt Service Fund. Any premium or accrued interest received by the District from the sale of the New Money Bonds will be kept separate and apart in the fund designated as the “Covina-Valley Unified School District Election of 2012 General Obligation Bonds, Series C Debt Service Fund” (the “New Money Bonds Debt Service Fund”), which fund is held by the County for the payment of principal of and interest on the New Money Bonds, and for no other purpose. Any interest earnings on moneys held in the New Money Bonds Debt Service Fund will be retained therein. Any excess proceeds of the New Money Bonds not needed for authorized purposes for which the New Money Bonds are being issued will be transferred to the New Money Bonds Debt Service Fund and applied to the payment of the principal of and interest on the New Money Bonds. Pursuant to the New Money Bonds Resolution, the District has pledged monies on deposit in the New Money Bonds Debt Service Fund to the payment of the New Money Bonds. If, after payment in full of the New Money Bonds, there remain excess proceeds, any such excess amounts will be transferred to the general fund of the District.

Refunding Bonds. The Refunding Bonds are being issued by the District to (i) advance refund, on a crossover basis, the Refunded Bonds and (ii) pay the costs of issuance of the Refunding Bonds.

The maturities of the 2006 Series 2007 Bonds to be refunded and the maturities of the 2006 Series 2007 Bonds to remain outstanding and unrefunded (the “Unrefunded 2006 Series 2007 Bonds”) are listed in the tables on the following page.

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REFUNDED 2006 SERIES 2007 BONDS
Covina-Valley Unified School District

Maturity Date (August 1)	CUSIP [†]	Initial Denominational Amount	Accreted Value at Redemption	Accretion Rate	Redemption Date	Redemption Price (% of Denominational Amount)
2020	223093PT6	\$834,210.00	\$1,428,517.35	4.600%	8/1/2019	100%
2021	223093PU3	804,825.90	1,394,243.10	4.700	8/1/2019	100
2022	223093PV1	769,616.15	1,348,744.80	4.800	8/1/2019	100
2023	223093PW9	736,644.60	1,305,960.75	4.900	8/1/2019	100
2024	223093PX7	699,121.95	1,253,809.95	5.000	8/1/2019	100
2025	223093PY5	665,836.20	1,201,035.60	5.050	8/1/2019	100
2026	223093PZ2	631,527.20	1,145,743.30	5.100	8/1/2019	100
2027	223093QA6	603,859.85	1,101,865.90	5.150	8/1/2019	100
2028	223093QB4	569,844.80	1,045,816.60	5.200	8/1/2019	100
2029	223093QC2	585,349.50	1,074,271.60	5.200	8/1/2019	100
2030	223093QD0	556,025.25	1,026,364.35	5.250	8/1/2019	100
2031	223093QE8	543,945.60	1,004,059.10	5.250	8/1/2019	100
2032	223093QF5	1,987,187.05	3,668,154.90	5.250	8/1/2019	100

UNREFUNDED 2006 SERIES 2007 BONDS
Covina-Valley Unified School District

Maturity Date (August 1)	CUSIP [†]	Initial Denominational Amount	Maturity Value	Accretion Rate
2017	223093PQ2	\$943,766.60	\$1,405,000.00	4.090%
2018	223093PR0	921,317.55	1,445,000.00	4.200
2019	223093PS8	896,947.50	1,475,000.00	4.250

Escrow Fund. The net proceeds from the sale of the Refunding Bonds will be deposited with the Escrow Agent, to the credit of the “Covina-Valley Unified School District 2016 General Obligation Refunding Bonds (2019 Crossover) Escrow Fund” (the “Escrow Fund”). Pursuant to the Escrow Agreement, the amounts deposited in the Escrow Fund will be used to purchase Federal Securities, the principal of and interest on which will be sufficient, together with any monies deposited in the Escrow Fund and held as cash, to enable the Escrow Agent to pay (i) the debt service due on the Refunding Bonds on and prior to the Crossover Date and (ii) the redemption price of the Refunded Bonds to be redeemed on the Crossover Date (such date being the first optional redemption date therefor). **Prior to the Crossover Date, the Refunded Bonds will remain general obligations of the District payable solely from *ad valorem* property taxes.** Amounts deposited under the Escrow Agreement are not available to pay any other obligations of the District.

[†] CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services (“CGS”), managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. None of the Underwriter, the financial advisor or the District is responsible for the selection or correctness of the CUSIP numbers set forth herein. CUSIP numbers have been assigned by an independent company not affiliated with the District, the financial advisor or the Underwriter and are included solely for the convenience of the registered owners of the applicable Bonds and Refunded Bonds. None of the District, the financial advisor or the Underwriter is responsible for the selection or uses of these CUSIP numbers, and no representation is made as to their correctness on the applicable Bonds and Refunded Bonds or as included herein. The CUSIP number for a specific maturity is subject to being changed as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds or Refunded Bonds.

The following table describes the initial investments of the proceeds of the Refunding Bonds:

**ESCROW FUND
Federal Securities**

Type of Security	CUSIP [†]	Par Amount	Maturity Date	Yield
Treasury Note	912828H78	\$157,000	1/31/2017	0.391%
Treasury Note	912828XP0	217,000	7/31/2017	0.617
Treasury Note	912828P20	218,000	1/31/2018	0.669
Treasury Note	912828VQ0	218,000	7/31/2018	0.695
Treasury Note	912828B33	220,000	1/31/2019	0.758
Treasury Note	912828WW6	18,220,000	7/31/2019	0.802

The sufficiency of the amounts on deposit in the Escrow Fund, together with realizable interest and earnings thereon, to pay the redemption price of the Refunded Bonds on the Crossover Date, and the debt service on the Refunding Bonds due on and prior to such date, will be verified by the Verification Agent. See “LEGAL MATTERS – Escrow Verification” herein.

Refunding Bonds Debt Service Fund. Any accrued interest and surplus moneys in the Escrow Fund following the redemption of the Refunded Bonds shall be transferred to and accounted for in the fund designated as the “Covina-Valley Unified School District 2016 General Obligation Refunding Bonds (2019 Crossover) Debt Service Fund” (the “Refunding Bonds Debt Service Fund,” and together with the New Money Bonds Debt Service Fund, the “Debt Service Funds”) and used by the District only for payment of principal of and interest on the Refunding Bonds from and after the Crossover Date. Pursuant to the Refunding Bonds Resolution, the District has pledged monies on deposit in the Refunding Bonds Debt Service Fund to the payment of the Refunding Bonds. If, after payment in full of the Refunding Bonds, there remain excess proceeds, any such excess amounts will be transferred to the general fund of the District.

Investment of Proceeds. Moneys in the Debt Service Funds and the Building Fund are expected to be invested through the County’s pooled investment fund (the “Treasury Pool”). Funds on deposit in the Escrow Fund will be invested as described above. See “APPENDIX E - LOS ANGELES COUNTY TREASURY POOL” attached hereto.

[†] CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services (“CGS”), managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. None of the Underwriter, the financial advisor or the District is responsible for the selection or correctness of the CUSIP numbers set forth herein. CUSIP numbers have been assigned by an independent company not affiliated with the District, the financial advisor or the Underwriter and are included solely for the convenience of the registered owners of the applicable Bonds and Refunded Bonds. None of the District, the financial advisor or the Underwriter is responsible for the selection or uses of these CUSIP numbers, and no representation is made as to their correctness on the applicable Bonds and Refunded Bonds or as included herein. The CUSIP number for a specific maturity is subject to being changed as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds or Refunded Bonds.

Redemption

Optional Redemption. The Bonds maturing on or before August 1, 2026 are not subject to redemption prior to their respective stated maturity dates. The Bonds maturing on or after August 1, 2027 are subject to redemption prior to their respective stated maturity dates, at the option of the District, from any source of available funds, in whole or in part, on any date on or after August 1, 2026, at a redemption price equal to the principal amount of the Bonds called for redemption, together with interest accrued thereon to the date of redemption, without premium.

Mandatory Redemption.

New Money Bonds. The New Money Term Bonds maturing on August 1, 2041, are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2037, at a redemption price equal to the principal amount thereof, together with accrued interest to the date fixed for redemption, without premium. The principal amounts represented by such New Money Term Bonds to be so redeemed, the dates therefor and the final principal payment date are as indicated in the following table:

Redemption Date (August 1)	Principal Amount to be Redeemed
2037	\$655,000
2038	875,000
2039	1,015,000
2040	870,000
2041 ⁽¹⁾	945,000

⁽¹⁾ Maturity.

In the event that a portion of the New Money Term Bonds maturing on August 1, 2041 is optionally redeemed prior to maturity, the remaining mandatory sinking fund payments shown above shall be reduced proportionately or as otherwise directed by the District, in integral multiples of \$5,000 of principal amount, in respect of the portion of such New Money Term Bonds optionally redeemed.

The New Money Term Bonds maturing on August 1, 2045, are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2042, at a redemption price equal to the principal amount thereof, together with accrued interest to the date fixed for redemption, without premium. The principal amounts represented by such New Money Term Bonds to be so redeemed and the dates therefor and the final principal payment date are as indicated in the following table:

Redemption Date (August 1)	Principal Amount to be Redeemed
2042	\$1,015,000
2043	1,020,000
2044	1,020,000
2045 ⁽¹⁾	1,020,000

⁽¹⁾ Maturity.

In the event that a portion of the New Money Term Bonds maturing on August 1, 2045 is optionally redeemed prior to maturity, the remaining mandatory sinking fund payments shown above shall be reduced proportionately, or as otherwise directed by the District, in integral multiples of \$5,000 of principal amount, in respect of the portion of such New Money Term Bonds optionally redeemed.

Selection of Bonds for Redemption. Whenever provision is made for the optional redemption of Bonds and less than all outstanding Bonds of a series are to be redeemed, the Paying Agent, upon written instruction from the District, will select the Bonds for redemption as so directed and if not directed, in inverse order of maturity. Within a maturity of a series, the Paying Agent will select Bonds for redemption as directed by the District, and if not so directed, by lot. Redemption by lot will be in such manner as the Paying Agent will determine; provided, however, that the portion of any Bond to be redeemed in part shall be in the principal amount of \$5,000 or any integral multiple thereof.

Notice of Redemption. When redemption is authorized or required pursuant to the applicable Resolution, upon written instruction from the District, the Paying Agent will give notice (a “Redemption Notice”) of the redemption of the Bonds of that series. Each Redemption Notice will specify (a) the Bonds or designated portions thereof (in the case of redemption of the Bonds in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers (if any) assigned to the Bonds to be redeemed, (f) the Bond numbers of the Bonds to be redeemed in whole or in part and, in the case of any Bond to be redeemed in part only, the principal amount of such Bond to be redeemed, and (g) the original issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part.

The Paying Agent will take the following actions with respect to each such Redemption Notice: (a) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given to the respective Owners of Bonds designated for redemption by registered or certified mail, postage prepaid, at their addresses appearing on the bond register; (b) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given by (i) registered or certified mail, postage prepaid, (ii) telephonically confirmed facsimile transmission, or (iii) overnight delivery service, to the Securities Depository; (c) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given by (i) registered or certified mail, postage prepaid, or (ii) overnight delivery service, to one of the Information Services; and (d) provide such Redemption Notice to such other persons as may otherwise be required pursuant to the Continuing Disclosure Certificate.

“Information Services” means Financial Information, Inc.’s “Daily Called Bond Service,” 1 Cragwood Road, 2nd Floor, South Plainfield, New Jersey 07080, Attention: Editor; Mergent Inc., 585 Kingsley Park Drive, Fort Mill, South Carolina 29715, Attention: Called Bond Department; and Standard and Poor’s J.J. Kenny Information Services’ “Called Bond Record,” 55 Water Street, 45th Floor, New York, New York 10041.

“Securities Depository” shall mean The Depository Trust Company, 55 Water Street, New York, New York 10041.

A certificate of the Paying Agent or the District that a Redemption Notice has been given as provided in the applicable Resolution will be conclusive as against all parties. Neither failure to receive any Redemption Notice nor any defect in any such Redemption Notice so given will affect the sufficiency of the proceedings for the redemption of the affected Bonds. Each check issued or other transfer of funds made by the Paying Agent for the purpose of redeeming Bonds shall bear or include the CUSIP number

identifying, by issue and maturity, the Bonds being redeemed with the proceeds of such check or other transfer.

Conditional Notice of Redemption. With respect to any notice of optional redemption of Bonds (or portions thereof) as described above, unless upon the giving of such notice such Bonds (or portions thereof) shall be deemed to have been defeased as described in “—Defeasance” herein, such notice will state that such redemption will be conditional upon the receipt by an independent escrow agent selected by the District on or prior to the date fixed for such redemption of the moneys necessary and sufficient to pay the Principal of, and premium, if any, and interest on, such Bonds (or portions thereof) to be redeemed, and that, if such moneys shall not have been so received, said notice shall be of no force and effect, no portion of the Bonds will be subject to redemption on such date and such Bonds will not be required to be redeemed on such date. In the event that such Redemption Notice contains such a condition and such moneys are not so received, the redemption will not be made and the Paying Agent will, within a reasonable time thereafter (but in no event later than the date originally set for redemption), give notice to the persons to whom and in the manner in which the Redemption Notice was given, that such moneys were not so received. In addition, the District will have the right to rescind any Redemption Notice by written notice to the Paying Agent on or prior to the date fixed for such redemption. The Paying Agent will distribute a notice of the rescission of such notice in the same manner as such notice was originally provided.

Partial Redemption of Bonds. Upon the surrender of any Bond redeemed in part only, the Paying Agent will execute and deliver to the Owner thereof a new Bond or Bonds of like tenor and maturity and of authorized denominations equal in principal amount to the unredeemed portion of the Bond surrendered (the “Transfer Amount”). Such partial redemption is valid upon payment of the amount required to be paid to such Owner, and the District will be released and discharged thereupon from all liability to the extent of such payment.

Effect of Notice of Redemption. Notice having been given as described above, and the moneys for the redemption (including the interest accrued to the applicable date of redemption) having been set aside as described in “—Defeasance” herein, the Bonds to be redeemed shall become due and payable on such date of redemption.

If on such redemption date, moneys for the redemption of all the Bonds to be redeemed, together with interest accrued to such redemption date, shall be held in trust, so as to be available therefor on such redemption date, and if a Redemption Notice thereof shall have been given as described above, then from and after such redemption date, interest on the Bonds to be redeemed will cease to accrue and become payable. All money held for the redemption of Bonds shall be held in trust for the account of the Owners of the Bonds so to be redeemed.

Bonds No Longer Outstanding. When any Bonds (or portions thereof), which have been duly called for redemption prior to maturity pursuant to the applicable Resolution or with respect to which irrevocable instructions to call for redemption prior to maturity at the earliest redemption date have been given to the Paying Agent, in form satisfactory to it, and sufficient moneys shall be held irrevocably in trust for the payment of the redemption price of such Bonds or portions thereof and accrued interest thereon to the date fixed for redemption, then such Bonds will no longer be deemed outstanding and shall be surrendered to the Paying Agent for cancellation.

Book-Entry Only System

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but neither the District nor the Underwriter take any responsibility for the accuracy or completeness thereof. The District and the Underwriter cannot and do not give any assurances that DTC, DTC Direct Participants or Indirect Participants (as defined herein) will distribute to the Beneficial Owners (a) payments of principal of, or interest or premium, if any, on the Bonds, (b) certificates representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered Owner of the Bonds, or that they will so do on a timely basis or that DTC, Direct Participants or Indirect Participants will act in the manner described in this Official Statement. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "Procedures" of DTC to be followed in dealing with Participants are on file with DTC.

The Depository Trust Company, New York, New York, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of each series of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.6 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants," and together with the Direct Participants, the "Participants"). DTC has a Standard & Poor's rating of "AA+." The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each Beneficial Owner is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will

not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, defaults, and proposed amendments to the Resolutions. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds and distributions on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or the Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds or distributions to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

For every transfer and exchange of Bonds, Owners requesting such transfer or exchange may be charged a sum sufficient to cover any tax, governmental charge or transfer fees that may be imposed in relation thereto, which charge may include transfer fees imposed by the Paying Agent, DTC or the DTC Participant in connection with such transfers or exchanges.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to the Owners thereof.

Discontinuation of Book-Entry Only System; Registration, Payment and Transfer of Bonds

So long as any of the Bonds remain outstanding, the District will cause the Paying Agent to maintain at its principal office all books and records necessary for the registration, exchange and transfer of such Bonds, which shall at all times be open to inspection by the District, and, upon presentation for such purpose, the Paying Agent shall, under such reasonable regulations as it may prescribe, register, exchange or transfer or cause to be registered, exchanged or transferred, on said books, Bonds as provided in the applicable Resolution.

In the event that the book-entry system described above is no longer used with respect to the Bonds, the following provisions will govern the payment, registration, transfer, exchange and replacement of the Bonds.

The principal of the Bonds and any interest upon the redemption thereof prior to the maturity will be payable in lawful money of the United States of America upon presentation and surrender of the Bonds at the designated office of the Paying Agent. Interest on the Bonds will be paid by the Paying Agent by check or draft mailed to the person whose name appears on the registration books of the Paying Agent as the registered Owner, and to that person's address appearing on the registration books as of the close of business on the Record Date. At the written request of any registered Owner of at least \$1,000,000 in aggregate principal amount, interest payments will be wired to a bank and account number on file with the Paying Agent as of the Record Date.

Any Bond may be exchanged for Bonds of like series, tenor, maturity and Transfer Amount upon presentation and surrender at the designated office of the Paying Agent, together with a request for exchange signed by the Owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. A Bond may be transferred on the Bond Register only upon presentation and surrender of the Bond at the designated office of the Paying Agent together with an assignment executed by the Owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. Upon exchange or transfer, the Paying Agent will complete, authenticate and deliver a new bond or bonds of like series and tenor and of any authorized denomination or denominations requested by the Owner equal to the Transfer Amount of the Bond surrendered and bearing interest at the same rate and maturing on the same date.

Neither the District nor the Paying Agent will be required to (a) issue or transfer any Bonds during a period beginning with the opening of business on the 16th day next preceding either any Bond Payment Date or any date of selection of Bonds to be redeemed and ending with the close of business on the Bond Payment Date or any day on which the applicable Redemption Notice is given or (b) transfer any Bonds which have been selected or called for redemption in whole or in part.

Defeasance

All or any portion of the outstanding maturities of the Bonds may be defeased at any time prior to maturity in the following ways:

(a) Cash: by irrevocably depositing with an independent escrow agent selected by the District an amount of cash which, together with any amounts transferred from the corresponding Debt Service Fund, is sufficient to pay all Bonds outstanding and designated for defeasance (including all principal thereof, accrued interest thereon, and redemption premium, if any) at or before their maturity date; or

(b) Government Obligations: by irrevocably depositing with an independent escrow agent selected by the District noncallable Government Obligations together with any amounts transferred from the corresponding Debt Service Fund, and any cash, if required, in such amount as will, together with interest to accrue thereon, in the opinion of an independent certified public accountant, be fully sufficient to pay and discharge all Bonds outstanding and designated for defeasance (including all principal thereof, accrued interest thereon, and redemption premium, if any) at or before their maturity date;

then, notwithstanding that any Bonds shall not have been surrendered for payment, all obligations of the District with respect to such designated outstanding Bonds will cease and terminate, except only the obligation of the Paying Agent or an independent escrow agent selected by the District to pay or cause to be paid from funds deposited pursuant to paragraphs (a) or (b) above, to the owners of the Bonds not so surrendered and paid all sums due with respect thereto.

“Government Obligations” means direct and general obligations of the United States of America, or obligations that are unconditionally guaranteed as to principal and interest by the United States of America (which may consist of obligations of the Resolution Funding Corporation that constitute interest strips). In the case of direct and general obligations of the United States of America, Government Obligations shall include evidences of direct ownership of proportionate interests in future interest or principal payments of such obligations. Investments in such proportionate interests must be limited to circumstances where (a) a bank or trust company acts as custodian and holds the underlying United States obligations; (b) the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor of the underlying United States obligations; and (c) the underlying United States obligations are held in a special account, segregated from the custodian’s general assets, and are not available to satisfy any claim of the custodian, any person claiming through the custodian, or any person to whom the custodian may be obligated; provided that such obligations are rated or assessed at least as high as direct and general obligations of the United States of America by either S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“S&P”) or Moody’s Investors Service (“Moody’s”).

ESTIMATED SOURCES AND USES OF FUNDS

New Money Bonds. The proceeds of the New Money Bonds are expected to be applied as follows:

Sources of Funds

Principal Amount of New Money Bonds	\$12,000,000.00
Net Original Issue Premium	<u>952,508.50</u>
Total Sources	<u>\$12,952,508.50</u>

Uses of Funds

Building Fund	\$11,831,417.63
New Money Bonds Debt Service Fund	952,508.50
Costs of Issuance ⁽¹⁾	<u>168,582.37</u>
Total Uses	<u>\$12,952,508.50</u>

⁽¹⁾ A portion of the proceeds of the New Money Bonds will be used to pay the costs of issuance thereof, including, but not limited to, legal fees, underwriting discount, financial advisory fees, printing costs, rating agency fees, the costs and fees of the Paying Agent, and other costs of issuance of the New Money Bonds.

Refunding Bonds. The proceeds of the Refunding Bonds are expected to be applied as follows:

Sources of Funds

Principal Amount of Refunding Bonds	\$16,410,000.00
Original Issue Premium	<u>3,512,981.05</u>
Total Sources	<u>\$19,922,981.05</u>

Uses of Funds

Costs of Issuance ⁽¹⁾	\$208,266.66
Escrow Fund	<u>19,714,714.39</u>
Total Uses	<u>\$19,922,981.05</u>

⁽¹⁾ A portion of the proceeds of the Refunding Bonds will be used to pay the costs of issuance thereof, including, but not limited to, legal fees, underwriting discount, financial advisory fees, printing costs, rating agency fees, the costs and fees of the Paying Agent, Escrow Agent and Verification Agent, and other costs of issuance of the Refunding Bonds.

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DISTRICT TAX BASE

The information in this section describes ad valorem property taxation, assessed valuation, and other measures of the tax base of the District. Prior to the Crossover Date, the Refunding Bonds will be secured by and payable solely from proceeds thereof deposited into the Escrow Fund. The New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds, will be payable solely from ad valorem property taxes. The Board of Supervisors of the County shall be empowered and obligated to annually levy such ad valorem taxes, without limitation as to rate or amount, upon all property subject to taxation by the District (except certain personal property which is taxable at limited rates) for the payment of principal of and interest on the New Money Bonds, and from and after the Crossover Date, the Refunding Bonds. The District's general fund is not a source for the repayment of the Bonds.

Ad Valorem Property Taxation

District property taxes are assessed and collected by the County at the same time and on the same tax rolls as County, city and special district property taxes. Assessed valuations are the same for both the District and the County taxing purposes.

Taxes are levied for each fiscal year on taxable real and personal property which is located in the District as of the preceding January 1. For assessment and collection purposes, property is classified either as "secured" or "unsecured" and is listed accordingly on separate parts of the assessment roll. The "secured roll" is that part of the assessment roll containing State assessed public utilities property and real property having a tax lien which is sufficient, in the opinion of the assessor, to secure payment of the taxes. Unsecured property comprises all property not attached to land such as personal property or business property. Boats and airplanes are examples of unsecured property. Unsecured property is assessed on the "unsecured roll." A supplemental roll is developed when property changes hands or new construction is completed. The County levies and collects all property taxes for property falling within the County's taxing boundaries.

The valuation of secured property is established as of January 1 and is subsequently equalized in August. Property taxes on the secured roll are payable in two installments, due November 1 and February 1, respectively, and, if unpaid, become delinquent on December 10 and April 10, respectively. A 10% penalty attaches to any delinquent installment, plus a minimum \$10 cost on the second installment, plus any additional amount determined by the Treasurer. Property on the secured roll with delinquent taxes is declared tax-defaulted on or about June 30 of the calendar year. Such property may thereafter be redeemed by payment of the delinquent taxes and the delinquency penalty, plus a minimum \$15 redemption fee and a redemption penalty of 1.5% per month to the time of redemption. If taxes are unpaid for a period of five years or more, the property is then subject to sale by the Treasurer.

Property taxes on the unsecured roll are due as of the January 1 lien date and become delinquent if they are not paid by August 31. In the case of unsecured property taxes, a 10% penalty attaches to delinquent taxes on property on the unsecured roll, an additional penalty of 1.5% per month begins to accrue beginning November 1 of the fiscal year, and a lien may be recorded against the assessee. The taxing authority has four ways of collecting unsecured personal property taxes: (1) a civil action against the assessee; (2) filing a certificate in the office of the County Clerk specifying certain facts in order to obtain a judgment lien on specific property of the assessee; (3) filing a certificate of delinquency for record in the County Recorder's office in order to obtain a lien on specified property of the assessee; and (4) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee. See also "– Secured Tax Charges and Delinquencies" herein.

State law exempts from taxation \$7,000 of the full cash value of an owner-occupied dwelling, but this exemption does not result in any loss of revenue to local agencies, since the State reimburses local agencies for the value of the exemptions.

All property is assessed using full cash value as defined by Article XIII A of the State Constitution. State law provides exemptions from *ad valorem* property taxation for certain classes of property, such as churches, colleges, non-profit hospitals, and charitable institutions.

Future assessed valuation growth allowed under Article XIII A (new construction, certain changes of ownership, 2% inflation) will be allocated on the basis of “situs” among the jurisdictions that serve the tax rate area within which the growth occurs. Local agencies and K-14 school districts (as defined herein) share the growth of “base” revenues from the tax rate area. Each year’s growth allocation becomes part of each agency’s allocation in the following year.

Assessed Valuations

Property within the District has a total assessed valuation for fiscal year 2015-16 of \$8,304,172,271. The following table shows the nine-year history of assessed valuations in the District.

ASSESSED VALUATIONS Fiscal Years 2007-08 through 2015-16 Covina-Valley Unified School District

	<u>Local Secured</u>	<u>Utility</u>	<u>Unsecured</u>	<u>Total</u>
2007-08	\$6,518,546,239	\$381,710	\$230,660,395	\$6,749,588,344
2008-09	6,909,372,499	381,710	286,022,332	7,195,776,541
2009-10	6,784,416,976	381,710	287,993,577	7,072,792,263
2010-11	6,721,415,226	401,800	285,186,129	7,007,003,155
2011-12	6,838,433,135	401,800	267,814,867	7,106,649,802
2012-13	6,906,452,581	401,800	275,956,460	7,182,810,841
2013-14	7,204,972,609	401,800	288,243,412	7,493,617,821
2014-15	7,568,626,001	401,800	303,168,688	7,872,196,489
2015-16	8,009,533,641	401,800	294,236,830	8,304,172,271

Source: California Municipal Statistics, Inc.

Economic and other factors beyond the District’s control, such as a general market decline in real property values, disruption in financial markets that may reduce availability of financing for purchasers of property, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of the taxable property caused by a natural or manmade disaster, such as earthquake, drought, flood, fire or toxic contamination, could cause a reduction in the assessed value of taxable property within the District. Any such reduction would result in a corresponding increase in the annual tax rates levied by the County to pay the debt service with respect to the Bonds. See “THE BONDS – Security and Sources of Payment” herein.

Drought. On January 17, 2014, the State Governor (the “Governor”) declared a state-wide Drought State of Emergency. As of such date, the State faced water shortfalls due to the driest year in recorded State history; the State’s rivers and reservoirs were below their record low levels, and manual and electronic readings recorded the water content of snowpack at the highest elevations in the State (chiefly in the Sierra Nevada mountain range) at about 20% of normal average for the winter season. As part of his State of Emergency declaration, the Governor directed State officials to assist agricultural producers and communities that may be economically impacted by dry conditions. Following the Governor’s declaration, the California State Water Resources Control Board (the “Water Board”) issued a statewide notice of water shortages and potential future curtailment of water right diversions. On April 1, 2015, the Governor issued an executive order mandating certain temporary conservation measures, which were implemented by means of an emergency regulation adopted by the Water Board on May 5, 2015. The temporary conservation measures have been extended and amended by subsequent executive orders of the Governor and Water Board regulations. Most recently, on May 9, 2016, the Governor issued an executive order ordering the Department of Water Resources, the Water Board and the California Public Utilities Commission to update and extend temporary water restrictions through the end of January 2017, and to take actions to transition to permanent, long-term improvements in water use. Following the Governor’s executive order, on May 18, 2016, the Water Board adopted a localized “stress test” approach of water conservation, under which local urban water agencies are required to ensure a three-year supply of water assuming three years of drought conditions. Agencies that project a water shortage at the end of the three-year period under the stress test are required to implement conservation measures through January 2017 equal to the percentage of water shortage projected.

The District cannot make any representation regarding the effects that the current drought has had, or, if it should continue, may have on the value of taxable property within the District, or to what extent the drought could cause disruptions to economic activity within the boundaries of the District.

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Assessed Valuation by Land Use

The following table shows a per-parcel analysis of the distribution of taxable property within the District by principal use, and the fiscal year 2015-16 local secured assessed valuation of such parcels.

ASSESSED VALUATION AND PARCELS BY LAND USE

Fiscal Year 2015-16

Covina-Valley Unified School District

	2015-16 <u>Assessed Valuation</u> ⁽¹⁾	% of <u>Total</u>	No. of <u>Parcels</u>	% of <u>Total</u>
<u>Non-Residential:</u>				
Commercial	\$1,415,262,227	17.67%	811	4.16%
Vacant Commercial	26,647,134	0.33	87	0.45
Industrial	433,962,081	5.42	196	1.01
Vacant Industrial	39,194,752	0.49	75	0.38
Recreational	17,482,100	0.22	20	0.10
Government/Social/Institutional	70,969,014	0.89	41	0.21
Miscellaneous	<u>25,217,841</u>	<u>0.31</u>	<u>233</u>	<u>1.20</u>
Subtotal Non-Residential	\$2,028,735,149	25.33%	1,463	7.50%
<u>Residential:</u>				
Single Family Residence	\$4,936,103,728	61.63%	16,020	82.17%
Condominium/Townhouse	198,032,156	2.47	834	4.28
Mobile Home Park	7,123,736	0.09	9	0.05
2-4 Residential Units	129,042,356	1.61	381	1.95
5+ Residential Units/Apartments	636,903,823	7.95	319	1.64
Vacant Residential	<u>73,592,693</u>	<u>0.92</u>	<u>469</u>	<u>2.41</u>
Subtotal Residential	\$5,980,798,492	74.67%	18,032	92.50%
Total	\$8,009,533,641	100.005	19,495	100.00%

⁽¹⁾ Local secured assessed valuation; excluding tax-exempt property.

Source: California Municipal Statistics, Inc.

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Assessed Valuation by Jurisdiction

The following table shows the fiscal year 2015-16 assessed valuation of the District by jurisdiction.

ASSESSED VALUATION AND PARCELS BY JURISDICTION⁽¹⁾ Fiscal Year 2015-16 Covina-Valley Unified School District

<u>Jurisdiction:</u>	<u>Assessed Valuation in District</u>	<u>% of District</u>	<u>Assessed Valuation of Jurisdiction</u>	<u>% of Jurisdiction in District</u>
City of Azusa	\$18,122,724	0.22%	\$3,973,500,429	0.46%
City of Covina	3,499,984,467	42.15	4,792,301,859	73.03
City of Glendora	73,927,528	0.89	6,323,792,039	1.17
City of Irwindale	490,307,210	5.90	2,233,471,022	21.95
City of San Dimas	215,194,223	2.59	4,786,407,652	4.50
City of Walnut	14,701	0.00	4,823,117,151	0.00
City of West Covina	2,648,243,201	31.89	10,145,592,123	26.10
Unincorporated Los Angeles County	<u>1,358,378,217</u>	<u>16.36</u>	94,069,817,837	1.44
Total District	\$8,304,172,271	100.00%		
Los Angeles County	\$8,304,172,271	100.00%	\$1,274,286,494,005	0.65%

⁽¹⁾ Before deduction of redevelopment incremental valuation.

Source: California Municipal Statistics, Inc.

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Assessed Valuation of Single Family Homes

The following table displays the per-parcel analysis of single family residences within the District, in terms of their fiscal year 2015-16 assessed valuation.

ASSESSED VALUATION OF SINGLE FAMILY HOMES

Fiscal Year 2015-16

Covina-Valley Unified School District

	No. of <u>Parcels</u>	2015-16 <u>Assessed Valuation</u>	Average <u>Assessed Valuation</u>	Median <u>Assessed Valuation</u>
Single Family Residential	16,020	\$4,936,103,728	\$308,121	\$274,676

2015-16 <u>Assessed Valuation</u>	No. of <u>Parcels</u> ⁽¹⁾	% of <u>Total</u>	Cumulative <u>% of Total</u>	Total <u>Valuation</u>	% of <u>Total</u>	Cumulative <u>% of Total</u>
\$0 - \$49,999	107	0.668%	0.668%	\$4,290,393	0.087%	0.087%
50,000 - 99,999	2,142	13.371	14.039	155,379,492	3.148	3.235
100,000 - 149,999	1,086	6.779	20.818	137,012,621	2.776	6.010
150,000 - 199,999	1,497	9.345	30.162	265,350,054	5.376	11.386
200,000 - 249,999	2,205	13.764	43.926	495,701,980	10.042	21.429
250,000 - 299,999	1,888	11.785	55.712	517,731,124	10.489	31.917
300,000 - 349,999	1,783	11.130	66.841	579,822,338	11.747	43.664
350,000 - 399,999	1,599	9.981	76.823	599,413,331	12.143	55.807
400,000 - 449,999	1,252	7.815	84.638	529,724,102	10.732	66.539
450,000 - 499,999	709	4.426	89.064	334,794,172	6.783	73.321
500,000 - 549,999	347	2.166	91.230	181,381,285	3.675	76.996
550,000 - 599,999	256	1.598	92.828	147,020,482	2.978	79.974
600,000 - 649,999	195	1.217	94.045	121,884,485	2.469	82.444
650,000 - 699,999	175	1.092	95.137	117,540,784	2.381	84.825
700,000 - 749,999	151	0.943	96.080	109,451,964	2.217	87.042
750,000 - 799,999	112	0.699	96.779	86,671,448	1.756	88.798
800,000 - 849,999	96	0.599	97.378	79,159,750	1.604	90.402
850,000 - 899,999	72	0.449	97.828	62,819,611	1.273	91.675
900,000 - 949,999	80	0.499	98.327	74,065,652	1.500	93.175
950,000 - 999,999	33	0.206	98.533	32,096,692	0.650	93.825
1,000,000 and greater	<u>235</u>	<u>1.467</u>	100.000	<u>304,791,968</u>	<u>6.175</u>	100.000
Total	16,020	100.000%		\$4,936,103,728	100.000%	

⁽¹⁾ Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.

Source: California Municipal Statistics, Inc.

Appeals and Adjustments of Assessed Valuations

Under State law, property owners may apply for a reduction of their property tax assessment by filing a written application, in form prescribed by the State Board of Equalization, with the appropriate county board of equalization or assessment appeals board. In most cases, the appeal is filed because the applicant believes that present market conditions (such as residential home prices) cause the property to be worth less than its current assessed value. Any reduction in the assessment ultimately granted as a result of such appeal applies to the year for which application is made and during which the written application was filed.

A second type of assessment appeal involves a challenge to the base year value of an assessed property. Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is taken and prospectively thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of the change of ownership or new construction date.

In addition to the above-described taxpayer appeals, county assessors may independently reduce assessed valuations based on changes in the market value of property, or for other factors such as the complete or partial destruction of taxable property caused by natural or man-made disasters such as earthquakes, floods, fire, drought or toxic contamination pursuant to relevant provisions of the State Constitution.

Whether resulting from taxpayer appeals or county assessor reductions, adjustments to assessed value are subject to yearly reappraisals by the county assessor and may be adjusted back to their original values when real estate market conditions improve. Once property has regained its prior assessed value, adjusted for inflation, it once again is subject to the annual inflationary growth rate factor allowed under Article XIII A. See also "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution" herein.

The District does not have information regarding pending appeals of assessed valuation of property within the District. No assurance can be given that property tax appeals currently pending or in the future will not significantly reduce the assessed valuation of property within the District.

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Secured Tax Charges and Delinquencies

The following table sets forth secured tax charges and delinquency information for the District for fiscal years 2006-07 through 2014-15.

SECURED TAX CHARGES AND DELINQUENCIES Fiscal Years 2006-07 through 2014-15 Covina-Valley Unified School District

	Secured Tax Charge ⁽¹⁾	Amt. Del. June 30	% Del. June 30
2006-07	\$10,573,088.71	\$397,936.21	3.76%
2007-08	11,521,163.17	574,198.14	4.98
2008-09	12,242,677.32	572,148.85	4.67
2009-10	11,991,307.64	410,541.62	3.42
2010-11	11,930,629.48	285,682.03	2.39
2011-12	12,158,892.09	253,140.38	2.08
2012-13	12,349,426.68	221,531.04	1.79
2013-14	12,916,126.81	190,112.87	1.47
2014-15	13,618,503.65	196,011.93	1.44

	Secured Tax Charge ⁽²⁾	Amt. Del. June 30	% Del. June 30
2006-07	\$5,029,501.76	\$219,345.06	4.36%
2007-08	5,083,369.00	284,155.03	5.59
2008-09	5,349,069.20	288,092.15	5.39
2009-10	5,722,302.75	208,329.17	3.64
2010-11	5,940,873.43	152,099.52	2.56
2011-12	6,047,631.53	151,181.50	2.50
2012-13	6,502,778.93	118,408.55	1.82
2013-14	8,219,479.95	120,642.23	1.47
2014-15	8,625,669.47	113,034.69	1.31

⁽¹⁾ 1% General Fund apportionment. Excludes redevelopment agency impounds. Reflects County-wide delinquency rate.

⁽²⁾ General obligation bond debt service levy only.

Source: California Municipal Statistics, Inc.

Alternative Method of Tax Apportionment - "Teeter Plan"

Certain counties in the State operate under a statutory program entitled Alternate Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the "Teeter Plan"). Under the Teeter Plan, local taxing entities receive 100% of their tax levies net of delinquencies, but do not receive interest or penalties on delinquent taxes collected by the applicable county. **The County has not adopted the Teeter Plan, and, consequently, the Teeter Plan is not available to local taxing entities within the County, such as the District. The District's receipt of property taxes is therefore subject to delinquencies.**

The District is a member of the California Statewide Delinquent Tax Finance Authority ("CSDTFA"). CSDTFA is a joint exercise of powers agency formed for the purpose of purchasing delinquent *ad valorem* property taxes of its members in accordance with Section 6516.6 of the State Government Code. The District anticipates that CSDTFA will from time to time purchase delinquent *ad valorem* tax receivables from the District at a purchase price equal to 110% of such receivables. Any penalty charges collected with respect to such delinquencies will be retained by CSDTFA. CSDTFA

does not ensure that the District will receive the timely payment of *ad valorem* property taxes levied to secure the New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds. See “ – *Ad Valorem* Property Taxation” herein.

Typical Tax Rates

The following table summarizes the total *ad valorem* property tax rates, as a percentage of assessed valuation, levied by all taxing entities in a typical tax rate area (a “TRA”) within the District during the period from fiscal years 2011-12 through 2015-16.

SUMMARY OF AD VALOREM TAX RATES (TRA 3083)⁽¹⁾
Fiscal Years 2011-12 through 2015-16
Covina-Valley Unified School District

	<u>2011-12</u>	<u>2012-13</u>	<u>2013-14</u>	<u>2014-15</u>	<u>2015-16</u>
General	1.000000%	1.000000%	1.000000%	1.000000%	1.000000%
Covina-Valley Unified School District	.089987	.095004	.114721	.114258	.110622
Mt. San Antonio Community College District	.026415	.028957	.020231	.021294	.021537
Metropolitan Water District	<u>.003700</u>	<u>.003500</u>	<u>.003500</u>	<u>.003500</u>	<u>.003500</u>
Total All Property Tax Rate	1.120102%	1.127461%	1.138452%	1.139052%	1.135659%

⁽¹⁾ The fiscal year 2015-16 assessed valuation of TRA 3083 is \$1,377,895,543 which is 16.59% of the District’s total assessed valuation.

Source: *California Municipal Statistics, Inc.*

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Principal Taxpayers

The following table lists the 20 largest local secured taxpayers in the District in terms of their fiscal year 2015-16 secured assessed valuations.

LARGEST LOCAL SECURED TAXPAYERS Fiscal Year 2015-16 Covina-Valley Unified School District

	<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2015-16 Assessed Valuation</u>	<u>% of Total⁽¹⁾</u>
1.	BRE DDR BR Eastland CA LLC	Shopping Center	\$151,417,830	1.89%
2.	Crow Family Holdings Industrial LP	Industrial	104,307,898	1.30
3.	Ikea Property Inc.	Commercial	53,600,000	0.67
4.	Huy Fong Irwindale LLC	Industrial	51,415,843	0.64
5.	KIR Covina LP	Shopping Center	48,433,135	0.60
6.	Eastland Tower Partnership	Office Building	46,100,000	0.58
7.	Hassan Real Estate Partnership	Shopping Center	37,056,925	0.46
8.	PUR RB Covina Apartments LLC	Apartments	34,274,254	0.43
9.	Legacy Partners Verandas LP	Apartments	32,018,043	0.40
10.	FNL Covina Partners LLC	Office Building	30,851,337	0.39
11.	Cole ME West Covina CA DST	Auto Dealership	29,738,240	0.37
12.	Serrano Wet Covina 199W LP	Apartments	28,762,072	0.36
13.	Spirit SPE Covina LLC	Shopping Center	28,531,354	0.36
14.	Bently Real Estate LLC	Auto Dealership	26,394,840	0.33
15.	UIMC Covina LLC	Commercial	24,407,209	0.30
16.	BDC West Covina II LLC	Assisted Living Facility	23,744,694	0.30
17.	Golden GEA LLC	Industrial	23,000,000	0.29
18.	CCF SP South Hills LLC	Apartments	22,364,343	0.28
19.	Haemonetics Manufacturing Inc.	Industrial	20,927,455	0.26
20.	Barranca Medici LP	Apartments	<u>20,176,544</u>	<u>0.25</u>
			\$837,522,016	10.46%

⁽¹⁾ The fiscal year 2015-16 local secured assessed valuation of the District is \$8,009,533,641.

Source: California Municipal Statistics, Inc.

Statement of Direct and Overlapping Debt

Set forth on the following page is a direct and overlapping debt report (the "Debt Report") prepared by California Municipal Statistics, Inc. and effective as of July 1, 2016 for debt issued as of June 20, 2016. The Debt Report is included for general information purposes only. The District has not reviewed the Debt Report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

The table shows the percentage of each overlapping entity's assessed value located within the boundaries of the District. The table also shows the corresponding portion of the overlapping entity's existing debt payable from property taxes levied within the District. The total amount of debt for each overlapping entity is not given in the table.

The first column in the table names each public agency which has outstanding debt as of the date of the report and whose territory overlaps the District in whole or in part. The second column shows the percentage of each overlapping agency's assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in the third column, which is the apportionment of each overlapping agency's outstanding debt to taxable property in the District.

**STATEMENT OF DIRECT AND OVERLAPPING DEBT
Covina-Valley Unified School District**

2015-16 Assessed Valuation: \$8,304,172,271

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 7/1/16</u>
Los Angeles County Flood Control District	0.665%	\$83,990
Metropolitan Water District	0.339	314,812
Mt. San Antonio Community College District	10.488	38,595,065
Covina-Valley Unified School District	100.000	143,363,135⁽¹⁾
Los Angeles County Regional Park and Open Space Assessment District	0.652	329,977
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$182,686,979

<u>DIRECT AND OVERLAPPING GENERAL FUND DEBT:</u>		
Los Angeles County General Fund Obligations	0.652%	\$13,229,150
Los Angeles County Superintendent of Schools Certificates of Participation	0.652	51,797
Covina-Valley Unified School District Certificates of Participation	100.000	5,000,000
City of Irwindale Certificates of Participation	21.953	548,825
City of West Covina General Fund Obligations	26.102	12,006,920
Other City General Fund Obligations	Various	267,435
Los Angeles County Sanitation District No. 22 Authority	21.957	1,933,743
DIRECT AND OVERLAPPING GENERAL FUND DEBT		\$33,037,870

OVERLAPPING TAX INCREMENT DEBT: \$45,930,461

COMBINED TOTAL DEBT \$261,655,310⁽²⁾

Ratios to Assessed Valuation:

Direct Debt (\$143,363,135)	1.73%
Total Direct and Overlapping Tax and Assessment Debt.....	2.20%
Total Direct Debt (\$115,846,141)	1.79%
Combined Total Debt	3.15%

Ratio to Redevelopment Incremental Valuation (\$2,010,113,298):

Total Overlapping Tax Increment Debt.....	2.28%
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⁽¹⁾ Excludes the Bonds and the 2012 Series C-1 Bonds and includes the Refunded Bonds expected to be refinanced with proceeds of the Refunding Bonds as described herein.

⁽²⁾ Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations. Qualified zone academy bonds are included based on principal due at maturity.

Source: California Municipal Statistics, Inc.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

Prior to the Crossover Date, the Refunding Bonds will be secured by and payable solely from proceeds thereof deposited into the Escrow Fund. The New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds, will be payable solely from the proceeds of an ad valorem property tax required to be levied by the County on taxable property within the District in an amount sufficient for the payment thereof. See “THE BONDS – Security and Sources of Payment” herein. Articles XIII A, XIII B, XIII C and XIII D of the State Constitution, Propositions 98 and 111, and certain other provisions of law discussed below are included in this section to describe the potential effect of these Constitutional and statutory measures on the ability of the County to levy taxes on behalf of the District and to the District to spend tax proceeds for operating and other purposes, and it should not be inferred from the inclusion of such materials that these laws impose any limitation on the ability of the County to levy taxes for payment of the New Money Bonds, and from and after the Crossover Date, the Refunding Bonds.

Article XIII A of the California Constitution

Article XIII A (“Article XIII A”) of the State Constitution limits the amount of *ad valorem* property taxes on real property to 1% of “full cash value” as determined by the county assessor. Article XIII A defines “full cash value” to mean “the county assessor’s valuation of real property as shown on the 1975-76 bill under “full cash value,” or thereafter, the appraised value of real property when purchased, newly constructed or a change in ownership has occurred after the 1975 assessment,” subject to exemptions in certain circumstances of property transfer or reconstruction. Determined in this manner, the full cash value is also referred to as the “base year value.” The “full cash value” is subject to annual adjustment to reflect increases, not to exceed 2% for any year, or decreases in the consumer price index or comparable local data, or to reflect reductions in property value caused by damage, destruction or other factors.

Article XIII A has been amended to allow for temporary reductions of assessed value in instances where the fair market value of real property falls below the adjusted base year value described above. Proposition 8—approved by the voters in November of 1978—provides for the enrollment of the lesser of the base year value or the market value of real property, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property, or other factors causing a similar decline. In these instances, the market value is required to be reviewed annually until the market value exceeds the base year value, adjusted for inflation. Reductions in assessed value could result in a corresponding increase in the annual tax rate levied by the County to pay debt service on the New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds. See “THE BONDS – Security and Sources of Payment” and “DISTRICT TAX BASE” herein.

Article XIII A requires a vote of two-thirds or more of the qualified electorate of a city, county, special district or other public agency to impose special taxes, while totally precluding the imposition of any additional *ad valorem*, sales or transaction tax on real property. Article XIII A exempts from the 1% tax limitation any taxes above that level required to pay debt service (a) on any indebtedness approved by the voters prior to July 1, 1978, or (b) as the result of an amendment approved by State voters on June 3, 1986, on any bonded indebtedness approved by two-thirds or more of the votes cast by the voters for the acquisition or improvement of real property on or after July 1, 1978, or (c) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by 55% or more of the votes cast on the proposition, but only if certain accountability measures are included in the proposition. The tax for payment of the New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds, falls within the exception described in (c) of the immediately

preceding sentence. In addition, Article XIII A requires the approval of two-thirds or more of all members of the legislature of the State (the “State Legislature”) to change any State taxes for the purpose of increasing tax revenues.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the relevant county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction or change in ownership or from the annual adjustment not to exceed 2% are allocated among the various jurisdictions in the “taxing area” based upon their respective “situation.” Any such allocation made to a local agency continues as part of its allocation in future years.

All taxable property value included in this Official Statement is shown at 100% of taxable value (unless noted differently) and all tax rates reflect the \$1 per \$100 of taxable value.

Both the United States Supreme Court and the State Supreme Court have upheld the general validity of Article XIII A.

Unitary Property

Some amount of property tax revenue of the District is derived from utility property which is considered part of a utility system with components located in many taxing jurisdictions. Under the State Constitution, such property is assessed by the State Board of Equalization as part of a “going concern” rather than as individual pieces of real or personal property. Such State-assessed property is allocated to the counties by the State Board of Equalization, taxed at special county-wide rates, and the tax revenues distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year.

The State electric utility industry has experienced significant changes in its structure and in the way in which components of the industry are regulated and owned. Sale of electric generation assets to largely unregulated, nonutility companies may affect how those assets are assessed, and which local agencies are to receive the property taxes. The District is unable to predict the impact of these changes on its utility property tax revenues, or whether legislation may be proposed or adopted in response to industry restructuring, or whether any future litigation may affect ownership of utility assets or the State’s methods of assessing utility property and the allocation of assessed value to local taxing agencies, including the District. So long as the District is not a basic aid district, taxes lost through any reduction in assessed valuation will be compensated by the State as equalization aid under the State’s school financing formula. See “DISTRICT FINANCIAL INFORMATION – State Funding of Education” herein.

Article XIII B of the California Constitution

Article XIII B (“Article XIII B”) of the State Constitution, as subsequently amended by Propositions 98 and 111, respectively, limits the annual appropriations of the State and of any city, county, school district, authority or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and in population and for transfers in the financial responsibility for providing services and for certain declared emergencies. As amended, Article XIII B defines:

- (a) “change in the cost of living” with respect to school districts to mean the percentage change in State per capita income from the preceding year, and
- (b) “change in population” with respect to a school district to mean the percentage change in the ADA of the school district from the preceding fiscal year.

For fiscal years beginning on or after July 1, 1990, the appropriations limit of each entity of government shall be the appropriations limit for the 1986-87 fiscal year adjusted for the changes made from that fiscal year pursuant to the provisions of Article XIII B, as amended.

The appropriations of an entity of local government subject to Article XIII B limitations include the proceeds of taxes levied by or for that entity and the proceeds of certain state subventions to that entity. “Proceeds of taxes” include, but are not limited to, all tax revenues and the proceeds to the entity from (a) regulatory licenses, user charges and user fees (but only to the extent that these proceeds exceed the reasonable costs in providing the regulation, product or service), and (b) the investment of tax revenues.

Appropriations subject to limitation do not include (a) refunds of taxes, (b) appropriations for debt service such as the Bonds, (c) appropriations required to comply with certain mandates of the courts or the federal government, (d) appropriations of certain special districts, (e) appropriations for all qualified capital outlay projects as defined by the State Legislature, (f) appropriations derived from certain fuel and vehicle taxes and (g) appropriations derived from certain taxes on tobacco products.

Article XIII B includes a requirement that all revenues received by an entity of government other than the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be returned by a revision of tax rates or fee schedules within the next two subsequent fiscal years.

Article XIII B also includes a requirement that 50% of all revenues received by the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be transferred and allocated to the State School Fund pursuant to Section 8.5 of Article XVI of the State Constitution. See “— Propositions 98 and 111” herein.

Article XIIC and Article XIID of the California Constitution

On November 5, 1996, the voters of the State approved Proposition 218, popularly known as the “Right to Vote on Taxes Act.” Proposition 218 added to the State Constitution Articles XIIC and XIID (respectively, “Article XIIC” and “Article XIID”), which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the State Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIIC establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIIC further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the State Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4. Article XIID deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIIC or XIID will be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

The District does not impose any taxes, assessments, or property-related fees or charges which are subject to the provisions of Proposition 218. It does, however, receive a portion of the basic 1% *ad valorem* property tax levied and collected by the County pursuant to Article XIII A of the State Constitution. The provisions of Proposition 218 may have an indirect effect on the District, such as by limiting or reducing the revenues otherwise available to other local governments whose boundaries encompass property located within the District thereby causing such local governments to reduce service levels and possibly adversely affecting the value of property within the District.

Proposition 26

On November 2, 2010, voters in the State approved Proposition 26. Proposition 26 amends Article XIIC of the State Constitution to expand the definition of “tax” to include “any levy, charge, or exaction of any kind imposed by a local government” except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIID. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the

governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor's burdens on, or benefits received from, the governmental activity.

Propositions 98 and 111

On November 8, 1988, voters of the State approved Proposition 98, a combined initiative constitutional amendment and statute called the "Classroom Instructional Improvement and Accountability Act" (the "Accountability Act"). Certain provisions of the Accountability Act have, however, been modified by Proposition 111, discussed below, the provisions of which became effective on July 1, 1990. The Accountability Act changed State funding of public education below the university level and the operation of the State's appropriations limit. The Accountability Act guarantees State funding for K-12 school districts and community college districts (hereinafter referred to collectively as "K-14 school districts") at a level equal to the greater of (a) the same percentage of the State general fund revenues as the percentage appropriated to such districts in the 1986-87 fiscal year, and (b) the amount actually appropriated to such districts from the State general fund in the previous fiscal year, adjusted for increases in enrollment and changes in the cost of living. The Accountability Act permits the State Legislature to suspend this formula for a one-year period.

The Accountability Act also changed how tax revenues in excess of the State appropriations limit are distributed. Any excess State tax revenues up to a specified amount are, instead of being returned to taxpayers, transferred to K-14 school districts. Any such transfer to K-14 school districts is excluded from the appropriations limit for K-14 school districts and the K-14 school district appropriations limit for the next year is automatically increased by the amount of such transfer. These additional moneys enter the base funding calculation for K-14 school districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an Article XIII B surplus. The maximum amount of excess tax revenues which can be transferred to K-14 school districts is 4% of the minimum State spending for education mandated by the Accountability Act.

Since the Accountability Act is unclear in some details, there can be no assurances that the State Legislature or a court might not interpret the Accountability Act to require a different percentage of State general fund revenues to be allocated to K-14 school districts, or to apply the relevant percentage to the State's budgets in a different way than is proposed in the State budget.

On June 5, 1990, the voters of the State approved Proposition 111 (Senate Constitutional Amendment No. 1) called the "Traffic Congestion Relief and Spending Limitation Act of 1990" ("Proposition 111") which further modified Article XIII B and Sections 8 and 8.5 of Article XVI of the State Constitution with respect to appropriations limitations and school funding priority and allocation.

The most significant provisions of Proposition 111 are summarized as follows:

- a. Annual Adjustments to Spending Limit. The annual adjustments to the Article XIII B spending limit were liberalized to be more closely linked to the rate of economic growth. Instead of being tied to the Consumer Price Index, the "change in the cost of living" is now measured by the change in State per capita personal income. The definition of "change in population" specifies that a portion of the State's spending limit is to be adjusted to reflect changes in school attendance.
- b. Treatment of Excess Tax Revenues. "Excess" tax revenues with respect to Article XIII B are now determined based on a two-year cycle, so that the State can avoid having to return to taxpayers excess tax revenues in one year if its appropriations in the next fiscal year are under its limit. In addition, the Proposition 98 provision regarding excess tax

revenues was modified. After any two-year period, if there are excess State tax revenues, 50% of the excess are to be transferred to K-14 school districts with the balance returned to taxpayers; under prior law, 100% of excess State tax revenues went to K-14 school districts, but only up to a maximum of 4% of the minimum funding level for such districts. Also, reversing prior law, any excess State tax revenues transferred to K-14 school districts are not built into K-14 school districts' base expenditures for calculating their entitlement for State aid in the next year, and the State's appropriations limit is not to be increased by this amount.

- c. Exclusions from Spending Limit. Two exceptions were added to the calculation of appropriations which are subject to the Article XIII B spending limit. First, there are excluded all appropriations for "qualified capital outlay projects" as defined by the State Legislature. Second, there are excluded any increases in gasoline taxes above the 1990 level (then nine cents per gallon), sales and use taxes on such increment in gasoline taxes, and increases in receipts from vehicle weight fees above the levels in effect on January 1, 1990. These latter provisions were necessary to make effective the transportation funding package approved by the State Legislature and the Governor, which was expected to raise over \$15 billion in additional taxes from 1990 through 2000 to fund transportation programs.
- d. Recalculation of Appropriations Limit. The Article XIII B appropriations limit for each unit of government, including the State, is to be recalculated beginning in fiscal year 1990-91. It is based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Proposition 111 had been in effect.
- e. School Funding Guarantee. There is a complex adjustment in the formula enacted in Proposition 98 which guarantees K-14 school districts a certain amount of State general fund revenues. Under prior law, K-14 school districts were guaranteed the greater of (1) 40.9% of State general fund revenues ("Test 1") or (2) the amount appropriated in the prior year adjusted for changes in the cost of living (measured as in Article XIII B by reference to per capita personal income) and enrollment ("Test 2"). Under Proposition 111, schools will receive the greater of (1) Test 1, (2) Test 2, or (3) a third test ("Test 3"), which will replace Test 2 in any year when growth in per capita State general fund revenues from the prior year is less than the annual growth in the State per capita personal income. Under Test 3, K-14 school districts will receive the amount appropriated in the prior year adjusted for change in enrollment and per capita State general fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 will become a "credit" to schools which will be paid in future years when State general fund revenue growth exceeds personal income growth.

Proposition 39

On November 7, 2000, State voters approved an amendment (commonly known as Proposition 39) to the State Constitution. This amendment (1) allows school facilities bond measures to be approved by 55% (rather than two-thirds) of the voters in local elections and permits property taxes to exceed the current 1% limit in order to repay the bonds and (2) changes existing statutory law regarding charter school facilities. As adopted, the constitutional amendments may be changed only with another statewide vote of the people. The statutory provisions could be changed by a majority vote of both houses of the State Legislature and approval by the Governor, but only to further the purposes of the proposition. The local school jurisdictions affected by this proposition are K-12 school districts, including the District,

community college districts, and county offices of education. As noted above, the State Constitution previously limited property taxes to 1% of the value of property. Prior to the approval of Proposition 39, property taxes could only exceed this limit to pay for (1) any local government debts approved by the voters prior to July 1, 1978 or (2) bonds to acquire or improve real property that receive two-thirds voter approval after July 1, 1978.

The 55% vote requirement authorized by Proposition 39 applies only if the local bond measure presented to the voters includes: (1) a requirement that the bond funds can be used only for construction, rehabilitation, equipping of school facilities, or the acquisition or lease of real property for school facilities; (2) a specific list of school projects to be funded and certification that the school board has evaluated safety, class size reduction, and information technology needs in developing the list; and (3) a requirement that the school board conduct annual, independent financial and performance audits until all bond funds have been spent to ensure that the bond funds have been used only for the projects listed in the measure. Legislation approved in June 2000 placed certain limitations on local school bonds to be approved by 55% of the voters. These provisions require that the tax rate projected to be levied as the result of any single election be no more than \$60 (for a unified school district, such as the District), \$30 (for a high school or elementary school district), or \$25 (for a community college district) per \$100,000 of taxable property value, when assessed valuation is projected to increase in accordance with Article XIII A of the State Constitution. These requirements are not part of Proposition 39 and can be changed with a majority vote of both houses of the State Legislature and approval by the Governor. See “- Article XIII A of the California Constitution” herein.

Proposition 1A and Proposition 22

On November 2, 2004, State voters approved Proposition 1A, which amends the State Constitution to significantly reduce the State’s authority over major local government revenue sources. Under Proposition 1A, the State cannot (i) reduce local sales tax rates or alter the method of allocating the revenue generated by such taxes, (ii) shift property taxes from local governments to schools or community colleges, (iii) change how property tax revenues are shared among local governments without two-third approval of both houses of the State Legislature or (iv) decrease Vehicle License Fee revenues without providing local governments with equal replacement funding. Proposition 1A does allow the State to approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Proposition 1A also amends the State Constitution to require the State to suspend certain State laws creating mandates in any year that the State does not fully reimburse local governments for their costs to comply with the mandates. This provision does not apply to mandates relating to schools or community colleges or to those mandates relating to employee rights.

Proposition 22, The Local Taxpayer, Public Safety, and Transportation Protection Act, approved by the voters of the State on November 2, 2010, prohibits the State from enacting new laws that require redevelopment agencies to shift funds to schools or other agencies and eliminates the State’s authority to shift property taxes temporarily during a severe financial hardship of the State. In addition, Proposition 22 restricts the State’s authority to use State fuel tax revenues to pay debt service on state transportation bonds, to borrow or change the distribution of state fuel tax revenues, and to use vehicle license fee revenues to reimburse local governments for state mandated costs. Proposition 22 impacts resources in the State’s general fund and transportation funds, the State’s main funding source for schools and community colleges, as well as universities, prisons and health and social services programs. According to an analysis of Proposition 22 submitted by the Legislative Analyst’s Office (the “LAO”) on July 15, 2010, the expected reduction in resources available for the State to spend on these other programs as a consequence of the passage of Proposition 22 was projected to be approximately \$1 billion in fiscal year 2010-11, with an estimated immediate fiscal effect equal to approximately 1% of the State’s total general fund spending. The longer-term effect of Proposition 22, according to the LAO analysis, was expected to

be an increase in the State's general fund costs by approximately \$1 billion annually for several decades. See also "DISTRICT FINANCIAL INFORMATION – State Dissolution of Redevelopment Agencies" herein.

Jarvis vs. Connell

On May 29, 2002, the State Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the State). The Court of Appeal held that either a final budget bill, an emergency appropriation, a self-executing authorization pursuant to state statutes (such as continuing appropriations) or the State Constitution or a federal mandate is necessary for the State Controller to disburse funds. The foregoing requirement could apply to amounts budgeted by the District as being received from the State. To the extent the holding in such case would apply to State payments reflected in the District's budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of such payments to the District if such required legislative action is delayed, unless the payments are self-executing authorizations or are subject to a federal mandate. On May 1, 2003, the State Supreme Court upheld the holding of the Court of Appeal, stating that the Controller is not authorized under State law to disburse funds prior to the enactment of a budget or other proper appropriation, but under federal law, the Controller is required, notwithstanding a budget impasse and the limitations imposed by State law, to timely pay those State employees who are subject to the minimum wage and overtime compensation provisions of the federal Fair Labor Standards Act.

Proposition 30

On November 6, 2012, State voters approved the Temporary Taxes to Fund Education, Guaranteed Local Public Safety Funding, Initiative Constitutional Amendment (also known as "Proposition 30"), which temporarily increases the State Sales and Use Tax and personal income tax rates on higher incomes. Proposition 30 temporarily imposes an additional tax on all retailers, at the rate of 0.25% of gross receipts from the sale of all tangible personal property sold in the State from January 1, 2013 to December 31, 2016. Proposition 30 also imposes an additional excise tax on the storage, use, or other consumption in the State of tangible personal property purchased from a retailer on and after January 1, 2013 and before January 1, 2017, for storage, use, or other consumption in the State. This excise tax will be levied at a rate of 0.25% of the sales price of the property so purchased. For personal income taxes imposed beginning in the taxable year commencing January 1, 2012 and ending December 31, 2018, Proposition 30 increases the marginal personal income tax rate by: (i) 1% for taxable income over \$250,000 but less than \$300,001 for single filers (over \$500,000 but less than \$600,001 for joint filers and over \$340,000 but less than \$408,001 for head-of-household filers), (ii) 2% for taxable income over \$300,000 but less than \$500,001 for single filers (over \$600,000 but less than \$1,000,001 for joint filers and over \$408,000 but less than \$680,001 for head-of-household filers), and (iii) 3% for taxable income over \$500,000 for single filers (over \$1,000,000 for joint filers and over \$680,000 for head-of-household filers). The additional sales and personal income taxes imposed pursuant to Proposition 30 will expire as described above unless extended through an additional constitutional amendment.

The revenues generated from the temporary tax increases will be included in the calculation of the Proposition 98 minimum funding guarantee for school districts and community college districts. See "– Propositions 98 and 111" herein. From an accounting perspective, the revenues generated from the temporary tax increases will be deposited into the State account created pursuant to Proposition 30 called the Education Protection Account (the "EPA"). Pursuant to Proposition 30, funds in the EPA are allocated quarterly, with 89% of such funds provided to schools districts and 11% provided to community college districts. The funds are being distributed to school districts and community college districts in the same manner as existing unrestricted per-student funding, except that no school district will receive less

than \$200 per unit of ADA and no community college district will receive less than \$100 per full time equivalent student. The governing board of each school district and community college district is granted sole authority to determine how the moneys received from the EPA are spent, provided that the appropriate governing board is required to make these spending determinations in open session at a public meeting and such local governing boards are prohibited from using any funds from the EPA for salaries or benefits of administrators or any other administrative costs.

Proposition 2

On November 4, 2014, voters approved the Rainy Day Budget Stabilization Fund Act (also known as “Proposition 2”). Proposition 2 is a legislatively-referred constitutional amendment which makes certain changes to State budgeting practices, including substantially revising the conditions under which transfers are made to and from the State’s Budget Stabilization Account (the “BSA”) established by the California Balanced Budget Act of 2004 (also known as Proposition 58).

Under Proposition 2, and beginning in fiscal year 2015-16 and each fiscal year thereafter, the State will generally be required to annually transfer to the BSA an amount equal to 1.5% of estimated State general fund revenues (the “Annual BSA Transfer”). Supplemental transfers to the BSA (a “Supplemental BSA Transfer”) are also required in any fiscal year in which the estimated State general fund revenues that are allocable to capital gains taxes exceed 8% of the total estimated general fund tax revenues. Such excess capital gains taxes—net of any portion thereof owed to K-14 school districts pursuant to Proposition 98—will be transferred to the BSA. Proposition 2 also increases the maximum size of the BSA to an amount equal to 10% of estimated State general fund revenues for any given fiscal year. In any fiscal year in which a required transfer to the BSA would result in an amount in excess of the 10% threshold, Proposition 2 requires such excess to be expended on State infrastructure, including deferred maintenance.

For the first 15-year period ending with the 2029-30 fiscal year, Proposition 2 provides that half of any required transfer to the BSA, either annual or supplemental, must be appropriated to reduce certain State liabilities, including making certain payments owed to K-14 school districts, repaying State interfund borrowing, reimbursing local governments for State mandated services, and reducing or prefunding accrued liabilities associated with State-level pension and retirement benefits. Following the initial 15-year period, the Governor and the State Legislature are given discretion to apply up to half of any required transfer to the BSA to the reduction of such State liabilities. Any amount not applied towards such reduction must be transferred to the BSA or applied to infrastructure, as described above.

Proposition 2 changes the conditions under which the Governor and the State Legislature may draw upon or reduce transfers to the BSA. The Governor does not retain unilateral discretion to suspend transfers to the BSA, nor does the State Legislature retain discretion to transfer funds from the BSA for any reason, as previously provided by law. Rather, the Governor must declare a “budget emergency,” defined as an emergency within the meaning of Article XIII B of the State Constitution or a determination that estimated resources are inadequate to fund State general fund expenditures, for the current or ensuing fiscal year, at a level equal to the highest level of State spending within the three immediately preceding fiscal years. Any such declaration must be followed by a legislative bill providing for a reduction or transfer. Draws on the BSA are limited to the amount necessary to address the budget emergency, and no draw in any fiscal year may exceed 50% of the funds on deposit in the BSA unless a budget emergency was declared in the preceding fiscal year.

Proposition 2 also requires the creation of the Public School System Stabilization Account (the “PSSSA”) into which transfers will be made in any fiscal year in which a Supplemental BSA Transfer is required (as described above). Such transfer will be equal to the portion of capital gains taxes above the

8% threshold that would otherwise be paid to K-14 school districts as part of the minimum funding guarantee. A transfer to the PSSSA will only be made if certain additional conditions are met, as follows: (i) the minimum funding guarantee was not suspended in the immediately preceding fiscal year, (ii) the operative Proposition 98 formula for the fiscal year in which a PSSSA transfer might be made is “Test 1,” (iii) no maintenance factor obligation is being created in the budgetary legislation for the fiscal year in which a PSSSA transfer might be made, (iv) all prior maintenance factor obligations have been fully repaid, and (v) the minimum funding guarantee for the fiscal year in which a PSSSA transfer might be made is higher than the immediately preceding fiscal year, as adjusted for ADA growth and cost of living. Proposition 2 caps the size of the PSSSA at 10% of the estimated minimum guarantee in any fiscal year, and any excess funds must be paid to K-14 school districts. Reductions to any required transfer to the PSSSA, or draws on the PSSSA, are subject to the same budget emergency requirements described above. However, Proposition 2 also mandates draws on the PSSSA in any fiscal year in which the estimated minimum funding guarantee is less than the prior year’s funding level, as adjusted for ADA growth and cost of living.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C and Article XIII D of the State Constitution and Propositions 22, 26, 30, 39, and 98 were each adopted as measures that qualified for the ballot pursuant to the State’s initiative process. From time to time other initiative measures could be adopted further affecting District revenues or the District’s ability to expend revenues. The nature and impact of these measures cannot be anticipated by the District.

DISTRICT FINANCIAL INFORMATION

The information in this section concerning the District’s general fund finances is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Bonds is payable from the general fund of the District. Prior to the Crossover Date, the Refunding Bonds will be secured by and payable solely from proceeds thereof deposited into the Escrow Fund. The New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds, will be payable solely from the proceeds of an ad valorem property tax required to be levied by the County on taxable property within the District in an amount sufficient for the payment thereof. See “THE BONDS – Security and Sources of Payment” herein.

State Funding of Education

School district revenues consist primarily of guaranteed State moneys, local property taxes and funds received from the State in the form of categorical aid under ongoing programs of local assistance. All State aid is subject to the appropriation of funds in the State’s annual budget.

Revenue Limit Funding. Previously, school districts operated under general purpose revenue limits established by the State Department of Education. In general, revenue limits were calculated for each school district by multiplying the ADA for such district by a base revenue limit per unit of ADA. Revenue limit calculations were subject to adjustment in accordance with a number of factors designed to provide cost of living adjustments (“COLAs”) and to equalize revenues among school districts of the same type. Funding of a school district’s revenue limit was provided by a mix of local property taxes and State apportionments of basic and equalization aid. Since fiscal year 2013-14, school districts have been funded based on uniform system of funding grants assigned to certain grade spans. See “— Local Control Funding Formula” herein.

The following table reflects the District's historical ADA and the revenue limit rates per unit of ADA for fiscal years 2007-08 through 2012-13.

AVERAGE DAILY ATTENDANCE AND REVENUE LIMIT

Fiscal Years 2007-08 through 2012-13

Covina-Valley Unified School District

<u>Fiscal Year</u>	<u>Average Daily Attendance⁽¹⁾</u>	<u>Change</u>	<u>Base Revenue Limit Per ADA⁽²⁾</u>	<u>Deficit Revenue Limit Per ADA⁽²⁾</u>
2007-08	14,134	--	\$5,801.18	\$5,801.18
2008-09	13,942	(192)	6,130.18	5,649.33
2009-10	13,538	(404)	6,392.18	4,965.91
2010-11	13,288	(250)	6,367.18	5,223.44
2011-12	12,962	(326)	6,367.81	5,175.69
2012-13	12,578	(384)	6,510.18	5,231.83

Note: All numbers are rounded to the nearest whole.

⁽¹⁾ Reflects ADA as of the second principal reporting period ("P-2 ADA"), which ends on or before the last attendance month prior to April 15 of each school year. An attendance month is equal to each four-week period of instruction beginning with the first day of school for a particular school district.

⁽²⁾ Deficit revenue limit funding, when provided for in State budgetary legislation, reduced the revenue limit allocations received by school districts by applying a deficit factor to the base revenue limit for the given fiscal year, and resulted from an insufficiency of appropriation funds in the State budget to provide for State aid owed to school districts. The State's practice of deficit revenue limit funding was most recently reinstated beginning in fiscal year 2008-09, and discontinued following the implementation of the LCFF (as defined herein) in fiscal year 2013-14.

Source: Covina-Valley Unified School District.

Local Control Funding Formula. State Assembly Bill 97 (Stats. 2013, Chapter 47) ("AB 97"), enacted as part of the fiscal year 2013-14 State budget, established a new system for funding school districts, charter schools and county offices of education. Certain provisions of AB 97 were amended and clarified by Senate Bill 91 (Stats. 2013, Chapter 49) ("SB 91").

The primary component of AB 97, as amended by SB 91, was the implementation of the Local Control Funding Formula ("LCFF"), which replaced the revenue limit funding system for determining State apportionments, as well as the majority of State categorical program funding. State allocations are provided on the basis of target base funding grants per unit of ADA (a "Base Grant") assigned to each of four grade spans. Each Base Grant is subject to certain adjustments and add-ons, as discussed below. Full implementation of the LCFF is expected to occur over a period of several fiscal years. Beginning in fiscal year 2013-14, an annual transition adjustment is required to be calculated for each school district, equal to such district's proportionate share of appropriations included in the State budget to close the gap between the prior-year funding level and the target allocation following full implementation of the LCFF. In each year, school districts will have the same proportion of their respective funding gaps closed, with dollar amounts varying depending on the size of a district's funding gap.

The Base Grants per unit of ADA for each grade span are as follows: (i) \$6,845 for grades K-3; (ii) \$6,947 for grades 4-6; (iii) \$7,154 for grades 7-8; and (iv) \$8,289 for grades 9-12. Beginning in fiscal year 2013-14, and in each subsequent year, the Base Grants are to be adjusted for COLAs by applying the implicit price deflator for government goods and services. Following full implementation of the LCFF, the provision of COLAs will be subject to appropriation for such adjustment in the annual State budget. The differences among Base Grants are linked to differentials in statewide average revenue limit rates by district type, and are intended to recognize the generally higher costs of education at higher grade levels. See "—State Budget Measures" herein for information on the adjusted Base Grants provided by current State budgetary legislation.

The Base Grants for grades K-3 and 9-12 are subject to adjustments of 10.4% and 2.6%, respectively, to cover the costs of class size reduction in early grades and the provision of career technical education in high schools. Following full implementation of the LCFF, and unless otherwise collectively bargained for, school districts serving students in grades K-3 must maintain an average class enrollment of 24 or fewer students in grades K-3 at each school site in order to continue receiving the adjustment to the K-3 Base Grant. Such school districts must also make progress towards this class size reduction goal in proportion to the growth in their funding over the implementation period. Additional add-ons are also provided to school districts that received categorical block grant funding pursuant to the Targeted Instructional Improvement and Home-to-School Transportation programs during fiscal year 2012-13.

School districts that serve students of limited English proficiency (“EL” students), students from low income families that are eligible for free or reduced priced meals (“LI” students) and foster youth are eligible to receive additional funding grants. Enrollment counts are unduplicated, such that students may not be counted as both EL and LI (foster youth automatically meet the eligibility requirements for free or reduced priced meals, and are therefore not discussed separately herein). A supplemental grant add-on (each, a “Supplemental Grant”) is authorized for school districts that serve EL/LI students, equal to 20% of the applicable Base Grant multiplied by such district’s percentage of unduplicated EL/LI student enrollment. School districts whose EL/LI populations exceed 55% of their total enrollment are eligible for a concentration grant add-on (each, a “Concentration Grant”) equal to 50% of the applicable Base Grant multiplied by the percentage of such district’s unduplicated EL/LI student enrollment in excess of the 55% threshold.

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The following table shows a breakdown of the District's ADA by grade span, total enrollment, and the percentage of EL/LI student enrollment, for fiscal years 2012-13 through 2015-16 and budgeted amounts for fiscal year 2016-17.

ADA, ENROLLMENT AND EL/LI ENROLLMENT PERCENTAGE
Fiscal Years 2012-13 through 2016-17
Covina-Valley Unified School District

Fiscal Year	Average Daily Attendance ⁽¹⁾					Enrollment ⁽²⁾	
	<u>K-3</u>	<u>4-6</u>	<u>7-8</u>	<u>9-12</u>	<u>Total ADA</u>	<u>Total Enrollment</u>	<u>% of EL/LI Enrollment</u>
2012-13	3,270.23	2,512.02	2,008.22	4,787.21	12,577.68	12,980	⁽³⁾
2013-14	3,293.71	2,478.64	1,903.70	4,593.13	12,269.18	12,558	72.96%
2014-15	3,216.77	2,476.56	1,743.62	4,547.58	11,984.53	12,274	69.93
2015-16	3,101.28	2,461.43	1,624.73	4,456.97	11,644.41	11,949	69.39
2016-17 ⁽⁴⁾	3,028.93	2,330.95	1,639.81	4,317.13	11,316.83	11,607	69.40

⁽¹⁾ Reflects P-2 ADA. Due to the District's declining enrollment, the District is funded based on the previous year's P-2 ADA, as opposed to the current year P-2 ADA.

⁽²⁾ Fiscal year 2012-13 reflects enrollment as of the October report submitted to the California Basic Educational Data System ("CBEDS"). Fiscal years 2013-14 through 2016-17 reflect certified enrollment as of the fall census day (the first Wednesday in October), which is reported to the California Longitudinal Pupil Achievement Data System ("CALPADS") in each school year and used to calculate each school district's unduplicated EL/LI student enrollment. Adjustments may be made to the certified EL/LI counts by the State Department of Education. CALPADS figures generally exclude preschool and adult transitional students. For purposes of calculating Supplemental and Concentration Grants, a school district's fiscal year 2013-14 percentage of unduplicated EL/LI students is expressed solely as a percentage of its fiscal year 2013-14 total enrollment. For fiscal year 2014-15, the percentage of unduplicated EL/LI enrollment is based on the two-year average of EL/LI enrollment in fiscal years 2013-14 and 2014-15. Beginning in fiscal year 2015-16, a school district's percentage of unduplicated EL/LI students is based on a rolling average of such district's EL/LI enrollment for the then-current fiscal year and the two immediately preceding fiscal years.

⁽³⁾ The District did not calculate the EL/LI student enrollment prior to the implementation of the LCFF in fiscal year 2013-14.

⁽⁴⁾ Budgeted.

Source: Covina-Valley Unified School District.

For certain school districts that would have received greater funding levels under the prior revenue limit system, the LCFF provides for a permanent economic recovery target ("ERT") add-on, equal to the difference between the revenue limit allocations such districts would have received under the prior system in fiscal year 2020-21, and the target LCFF allocations owed to such districts in the same year. To derive the projected funding levels, the LCFF assumes the discontinuance of deficit revenue limit funding, implementation of a 1.94% COLA in fiscal years 2014-15 through 2020-21, and restoration of categorical funding to pre-recession levels. The ERT add-on will be paid incrementally over the LCFF implementation period. The District does not qualify for the ERT add-on.

The sum of a school district's adjusted Base, Supplemental and Concentration Grants will be multiplied by such district's P-2 ADA for the current or prior year, whichever is greater (with certain adjustments applicable to small school districts). This funding amount, together with any applicable ERT or categorical block grant add-ons, will yield a district's total LCFF allocation. Generally, the amount of annual State apportionments received by a school district will amount to the difference between such total LCFF allocation and such district's share of applicable local property taxes. Most school districts receive a significant portion of their funding from such State apportionments. As a result, decreases in State revenues may significantly affect appropriations made by the State Legislature to school districts.

Certain schools districts, known as “basic aid” districts, have allocable local property tax collections that equal or exceed such districts’ total LCFF allocation, and result in the receipt of no State apportionment aid. Basic aid school districts receive only special categorical funding, which is deemed to satisfy the “basic aid” requirement of \$120 per student per year guaranteed by Article IX, Section 6 of the State Constitution. The implication for basic aid districts is that the legislatively determined allocations to school districts, and other politically determined factors, are less significant in determining their primary funding sources. Rather, property tax growth and the local economy are the primary determinants. The District does not currently qualify as a basic aid district.

Accountability. Regulations adopted by the State Board of Education require that school districts increase or improve services for EL/LI students in proportion to the increase in funds apportioned to such districts on the basis of the number and concentration of such EL/LI students, and detail the conditions under which school districts can use supplemental or concentration funding on a school-wide or district-wide basis.

School districts are also required to adopt local control and accountability plans (“LCAPs”) disclosing annual goals for all students, as well as certain numerically significant student subgroups, to be achieved in eight areas of State priority identified by the LCFF. LCAPs may also specify additional local priorities. LCAPs must specify the actions to be taken to achieve each goal, including actions to correct identified deficiencies with regard to areas of State priority. LCAPs are required to be adopted every three years, beginning in fiscal year 2014-15, and updated annually thereafter. The State Board of Education has developed and adopted a template LCAP for use by school districts.

Support and Intervention. AB 97, as amended by SB 91, establishes a new system of support and intervention to assist school districts in meeting the performance expectations outlined in their respective LCAPs. School districts must adopt their LCAPs (or annual updates thereto) in tandem with their annual operating budgets, and not later than five days thereafter submit such LCAPs or updates to their respective county superintendents of schools. On or before August 15 of each year, a county superintendent may seek clarification regarding the contents of a district’s LCAP (or annual update thereto), and the district is required to respond to such a request within 15 days. Within 15 days of receiving such a response, the county superintendent can submit non-binding recommendations for amending the LCAP or annual update, and such recommendations must be considered by the respective school district at a public hearing within 15 days. A district’s LCAP or annual update must be approved by the county superintendent by October 8 of each year if the superintendent determines that (i) the LCAP or annual update adheres to the State template, and (ii) the district’s budgeted expenditures are sufficient to implement the actions and strategies outlined in the LCAP.

A school district is required to receive additional support if its respective LCAP or annual update thereto is not approved, if the district requests technical assistance from its applicable county superintendent, or if the district does not improve student achievement across more than one State priority for one or more student subgroups. Such support can include a review of a district’s strengths and weaknesses in the eight State priority areas, or the assignment of an academic expert to assist the district with identifying and implementing programs designed to improve outcomes. Assistance may be provided by the California Collaborative for Educational Excellence, a state agency created by the LCFF and charged with assisting school districts with achieving the goals set forth in their LCAPs. The State Board of Education has developed rubrics to assess school district performance and the need for support and intervention.

The State Superintendent of Public Instruction (the “State Superintendent”) is further authorized, with the approval of the State Board of Education, to intervene in the management of persistently underperforming school districts. The State Superintendent may intervene directly or assign an academic trustee to act on his or her behalf. In so doing, the State Superintendent is authorized to (i) modify a district’s LCAP, (ii) impose budget revisions designed to improve student outcomes, and (iii) stay or rescind actions of the local governing board that would prevent such district from improving student outcomes; provided, however, that the State Superintendent is not authorized to rescind an action required by a local collective bargaining agreement.

Other State Sources. In addition to State allocations determined pursuant to the LCFF, the District receives other State revenues consisting primarily of restricted revenues designed to implement State mandated programs. Beginning in fiscal year 2013-14, categorical spending restrictions associated with a majority of State mandated programs were eliminated, and funding for these programs was folded into the LCFF. Categorical funding for certain programs was excluded from the LCFF, and school districts will continue to receive restricted State revenues to fund these programs.

Other Revenue Sources

Federal and Local Sources. The federal government provides funding for several of the District’s programs, including special education programs, programs under the Every Student Succeeds Act, and specialized programs such as Drug Free Schools, Innovative Strategies, and Vocational & Applied Technology. In addition, school districts may receive additional local revenues beyond local property tax collections, such as interest earnings, interagency services, Developer Fees (as described herein), Pass-Through and Tax Offset Revenues (as described herein) and other local sources.

Developer Fees. The District receives developer fees per square foot pursuant to Government Code Section 65995 (the “Developer Fees”). The Developer Fees received by the District are deposited directly into the District’s Capital Facilities Fund. The following table reflects the Developer Fees collected from fiscal years 2006-07 through 2014-15, an estimated amount for fiscal year 2015-16, and a budgeted amount for fiscal year 2016-17.

DEVELOPER FEES
Fiscal Years 2006-07 through 2016-17
Covina-Valley Unified School District

<u>Fiscal Year</u>	<u>Developer Fees Collected</u>
2006-07	\$267,661
2007-08	214,801
2008-09	140,975
2009-10	48,297
2010-11	637,333
2011-12	140,827
2012-13	112,926
2013-14	338,761
2014-15	182,743
2015-16 ⁽¹⁾	275,000
2016-17 ⁽²⁾	275,000

⁽¹⁾ Estimated.

⁽²⁾ Budgeted.

Source: Covina-Valley Unified School District.

Tax Offset and Pass-Through Revenues. The District receives tax offset revenue from the County as a part of certain redevelopment projects within the County (the “Tax Offset Revenues”). The Tax Offset Revenues received by the District are deposited directly into the general fund of the District and are offset against the State apportionment received by the District. The District also receives pass-through tax increment revenue (the “Pass-Through Revenues”) from the redevelopment agencies within the District’s boundaries. The Pass-Through Revenues are also deposited into the general fund, and are not offset against the State apportionment received by the District. The following table shows the amount of Tax Offset Revenues and Pass-Through Revenues received by the District from fiscal years 2011-12 through 2014-15, estimated amounts for fiscal year 2015-16, and budgeted amounts for fiscal year 2016-17.

TAX OFFSET AND PASS-THROUGH REVENUES
Fiscal Years 2011-12 through 2016-17
Covina-Valley Unified School District

<u>Fiscal Year</u>	<u>Tax Offset Revenues⁽¹⁾</u>	<u>Pass-Through Revenues⁽²⁾</u>
2011-12	\$357,126.18	\$233,280.36
2012-13	4,522,281.53	264,090.30
2013-14	1,131,023.33	235,169.59
2014-15	1,970,199.29	208,094.72
2015-16 ⁽³⁾	636,244.00	329,345.00
2016-17 ⁽⁴⁾	636,244.00	200,000.00

(1) Tax Offset Revenues received by the District are offset against the State apportionments received by the District.

(2) Pass-Through Revenues received by the District are not offset against the State apportionments received by the District.

(3) Estimated.

(4) Budgeted.

Source: Covina-Valley Unified School District.

The District, however, can make no representations that the Tax Offset and Pass-Through Revenues will continue to be received by the District in amounts consistent with prior years, or as currently projected, particularly in light of the recently enacted legislation eliminating redevelopment agencies. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Proposition 1A and Proposition 22” herein. The Bonds, however, are not payable from such revenue. Prior to the Crossover Date, the Refunding Bonds will be secured by and payable solely from proceeds thereof deposited into the Escrow Fund. The New Money Bonds are, and from and after the Crossover Date, the Refunding Bonds will be, payable solely from the proceeds of an *ad valorem* property tax required to be levied by the County in an amount sufficient for the payment thereof. See “THE BONDS – Security and Sources of Payment” herein.

State Dissolution of Redevelopment Agencies

On December 30, 2011, the State Supreme Court issued its decision in the case of *California Redevelopment Association v. Matosantos* (“*Matosantos*”), finding ABX1 26, a trailer bill to the 2011-12 State budget, to be constitutional. As a result, all redevelopment agencies in the State ceased to exist as a matter of law on February 1, 2012. The Court in *Matosantos* also found that ABX1 27, a companion bill to ABX1 26, violated the State Constitution, as amended by Proposition 22. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Proposition 1A and Proposition 22” herein. ABX1 27 would have permitted redevelopment agencies to continue operations provided their establishing cities or counties agreed to make specified payments to school districts and county offices of education, totaling \$1.7 billion statewide.

ABX1 26 was modified by Assembly Bill No. 1484 (Chapter 26, Statutes of 2011-12) (“AB 1484”), which, together with ABx1 26, is referred to herein as the “Dissolution Act.” The Dissolution Act provides that all rights, powers, duties and obligations of a redevelopment agency under the California Community Redevelopment Law that have not been repealed, restricted or revised pursuant to ABx1 26 will be vested in a successor agency, generally the county or city that authorized the creation of the redevelopment agency (each, a “Successor Agency”). All property tax revenues that would have been allocated to a redevelopment agency, less the corresponding county auditor-controller’s cost to administer the allocation of property tax revenues, are now allocated to a corresponding Redevelopment Property Tax Trust Fund (“Trust Fund”), to be used for the payment of pass-through payments to local taxing entities, and thereafter to bonds of the former redevelopment agency and any “enforceable obligations” of the Successor Agency, as well as to pay certain administrative costs. The Dissolution Act defines “enforceable obligations” to include bonds, loans, legally required payments, judgments or settlements, legal binding and enforceable obligations, and certain other obligations.

Among the various types of enforceable obligations, the first priority for payment is tax allocation bonds issued by the former redevelopment agency; second is revenue bonds, which may have been issued by the host city, but only where the tax increment revenues were pledged for repayment and only where other pledged revenues are insufficient to make scheduled debt service payments; third is administrative costs of the Successor Agency, not to exceed \$250,000 in any year, to the extent such costs have been approved in an administrative budget; then, fourth tax revenues in the Trust Fund in excess of such amounts, if any, will be allocated as residual distributions to local taxing entities in the same proportions as other tax revenues. Moreover, all unencumbered cash and other assets of former redevelopment agencies will also be allocated to local taxing entities in the same proportions as tax revenues. Notwithstanding the foregoing portion of this paragraph, the order of payment is subject to modification in the event a Successor Agency timely reports to the State Controller and the State Department of Finance that application of the foregoing will leave the Successor Agency with amounts insufficient to make scheduled payments on enforceable obligations. If the county auditor-controller verifies that the Successor Agency will have insufficient amounts to make scheduled payments on enforceable obligations, it shall report its findings to the State Controller. If the State Controller agrees there are insufficient funds to pay scheduled payments on enforceable obligations, the amount of such deficiency shall be deducted from the amount remaining to be distributed to taxing agencies, as described as the fourth distribution above, then from amounts available to the Successor Agency to defray administrative costs. In addition, if a taxing agency entered into an agreement pursuant to Health and Safety Code Section 33401 for payments from a redevelopment agency under which the payments were to be subordinated to certain obligations of the redevelopment agency, such subordination provisions shall continue to be given effect.

As noted above, the Dissolution Act expressly provides for continuation of pass-through payments to local taxing entities, including the District. Per statute, 100% of contractual and statutory two percent pass-throughs, and 56.7% of statutory pass-throughs authorized under the Community Redevelopment Law Reform Act of 1993 (AB 1290, Chapter 942, Statutes of 1993) (“AB 1290”), are restricted to educational facilities without offset against apportionments by the State. Only 43.3% of AB 1290 pass-throughs are offset against State aid so long as the District uses the moneys received for land acquisition, facility construction, reconstruction, or remodeling, or deferred maintenance as provided under Education Code Section 42238(h).

ABX1 26 states that in the future, pass-throughs shall be made in the amount “which would have been received had the redevelopment agency existed at that time,” and that the County Auditor-Controller shall “determine the amount of property taxes that would have been allocated to each redevelopment agency had the redevelopment agency not been dissolved pursuant to the operation of ABX1 26 using

current assessed values and pursuant to statutory [pass-through] formulas and contractual agreements with other taxing agencies.”

Successor Agencies continue to operate until all enforceable obligations have been satisfied and all remaining assets of the Successor Agency have been disposed of. AB 1484 provides that once the debt of the Successor Agency is paid off and remaining assets have been disposed of, the Successor Agency shall terminate its existence and all pass-through payment obligations shall cease.

The District can make no representations as to the extent to which apportionments from the State may be offset by the future receipt of residual distributions or from unencumbered cash and assets of former redevelopment agencies or any other surplus property tax revenues pursuant to the Dissolution Act.

Budget Process

State Budgeting Requirements. The District is required by provisions of the State Education Code to maintain a balanced budget each year, in which the sum of expenditures and the ending fund balance cannot exceed the sum of revenues and the carry-over fund balance from the previous year. The State Department of Education imposes a uniform budgeting and accounting format for school districts. The budget process for school districts was substantially amended by Assembly Bill 1200 (“AB 1200”), which became State law on October 14, 1991. Portions of AB 1200 are summarized below. Additional amendments to the budget process were made by Assembly Bill 2585, effective as of September 9, 2014, including the elimination of the dual budget cycle option for school districts. All school districts must now be on a single budget cycle.

School districts must adopt a budget on or before July 1 of each year. The budget must be submitted to the county superintendent within five days of adoption or by July 1, whichever occurs first. The county superintendent will examine the adopted budget for compliance with the standards and criteria adopted by the State Board of Education and identify technical corrections necessary to bring the budget into compliance, and will determine if the budget allows the district to meet its current obligations, if the budget is consistent with a financial plan that will enable the district to meet its multi-year financial commitments, whether the budget includes the expenditures necessary to implement a LCAP, and whether the budget’s ending fund balance exceeds the minimum recommended reserve for economic uncertainties.

On or before August 15, the county superintendent will approve, conditionally approve or disapprove the adopted budget for each school district. Budgets will be disapproved if they fail the above standards. The district board must be notified by August 15 of the county superintendent’s recommendations for revision and reasons for the recommendations. The county superintendent may assign a fiscal advisor or appoint a committee to examine and comment on the superintendent’s recommendations. The committee must report its findings no later than August 20. Any recommendations made by the county superintendent must be made available by the district for public inspection. No later than September 22, the county superintendent must notify the State Superintendent of Public Instruction of all school districts whose budget may be disapproved.

A school district whose budget has been disapproved must revise and readopt its budget by September 8, reflecting changes in projected income and expense since July 1, including responding to the county superintendent’s recommendations. The county superintendent must determine if the budget conforms with the standards and criteria applicable to final school district budgets and not later than October 8, must approve or disapprove the revised budgets. If the budget is disapproved, the county superintendent will call for the formation of a budget review committee pursuant to Education Code

Section 42127.1. No later than October 8, the county superintendent must notify the State Superintendent of Public Instruction of all school districts whose budget has been disapproved. Until a school district's budget is approved, the school district will operate on the lesser of its proposed budget for the current fiscal year or the last budget adopted and reviewed for the prior fiscal year.

Interim Financial Reporting. Under the provisions of AB 1200, each school district is required to file interim certifications with the county office of education as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent two fiscal years. The county office of education reviews the certification and issues either a positive, negative or qualified certification. A positive certification is assigned to any school district that will meet its financial obligations for the current fiscal year and subsequent two fiscal years. A negative certification is assigned to any school district that will be unable to meet its financial obligations for the remainder of the current fiscal year or the subsequent fiscal year. A qualified certification is assigned to any school district that may not meet its financial obligations for the current fiscal year or the two subsequent fiscal years.

The District has never had an adopted budget disapproved by the County Superintendent of Schools. The District received a "qualified" certification on its first interim financial report in fiscal year 2007-08, its second interim financial report in fiscal year 2008-09, and its first and second interim financial reports in fiscal year 2009-10. In its next interim financial report, and for all reporting periods thereafter, the District has reported a "positive" certification.

General Fund Budgeting Trends. The table on the following page summarizes the District's combined restricted and unrestricted general fund budgets for fiscal years 2012-13 through 2016-17, audited ending results for fiscal years 2012-13 through 2014-15, and estimated ending results for fiscal year 2015-16.

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GENERAL FUND BUDGETING
Fiscal Years 2012-13 through 2016-17
Covina-Valley Unified School District

	Fiscal Year 2012-13		Fiscal Year 2013-14		Fiscal Year 2014-15		Fiscal Year 2015-16		Fiscal Year 2016-17
	<u>Budgeted⁽¹⁾</u>	<u>Audited⁽¹⁾⁽²⁾</u>	<u>Budgeted⁽¹⁾</u>	<u>Audited⁽¹⁾⁽²⁾</u>	<u>Budgeted⁽¹⁾</u>	<u>Audited⁽¹⁾⁽²⁾</u>	<u>Budgeted⁽³⁾</u>	<u>Estimated⁽⁴⁾</u>	<u>Budgeted⁽⁴⁾</u>
REVENUES									
LCFF/Revenue Limit Sources ⁽⁵⁾	\$67,777,906	\$68,344,750	\$70,698,858	\$88,661,209	\$94,597,298	\$96,381,587	\$107,645,394	\$107,505,931	\$110,177,560
Federal Sources	7,406,539	6,359,039	6,584,655	5,714,139	6,628,995	6,686,542	5,399,033	6,869,349	6,277,744
Other State Sources	13,947,696	34,431,476	23,842,711	18,886,281	12,440,378	15,407,114	20,620,955	24,669,215	19,967,600
Other Local Sources	<u>13,737,238</u>	<u>7,194,146</u>	<u>6,066,334</u>	<u>6,314,450</u>	<u>5,086,175</u>	<u>6,192,639</u>	<u>4,649,598</u>	<u>4,600,452</u>	<u>4,872,280</u>
Total Revenues	102,869,379	116,329,411	107,192,558	119,576,079	118,752,846	124,667,882	138,314,980	143,644,947	141,295,184
EXPENDITURES									
Current									
Certificated Salaries	52,653,800	53,284,422	52,907,041	55,168,393	56,997,108	57,994,840	60,688,847	59,914,961	62,782,217
Classified Salaries	16,922,871	16,801,158	17,358,872	18,364,876	19,152,413	18,497,834	16,969,477	18,674,523	18,960,609
Employee Benefits	20,179,314	22,959,223	20,523,492	24,999,150	22,853,476	26,339,822	24,618,892	32,254,726	32,721,732
Books & Supplies	5,200,396	3,815,363	4,084,954	4,216,842	6,058,326	6,996,608	7,891,332	8,432,275	9,050,759
Services & Operating Expenditures	11,951,211	11,633,684	11,189,400	11,131,725	11,036,607	11,945,001	11,322,027	13,552,411	12,355,089
Other Outgo	4,376,070	6,404,481	6,223,906	2,213,615	5,820,704	4,450,147	4,605,705	106,988	210,000
Capital Outlay	<u>292,840</u>	<u>1,191,308</u>	<u>36,321</u>	<u>6,710,642</u>	<u>946,870</u>	<u>1,250,639</u>	<u>16,452</u>	<u>5,152,263</u>	<u>5,410,773</u>
Total Expenditures	111,576,502	116,089,639	112,323,986	122,805,243	122,865,504	127,474,891	126,112,732	138,088,147	141,491,179
Excess (Deficiency) of Revenues Over Expenditures	(8,707,123)	239,772	(5,131,428)	(3,229,164)	(4,112,658)	(2,807,009)	12,202,248	5,556,800	(195,995)
Other Financing Sources (Uses)									
Transfers In	3,363,124	21,224	3,001,000	150,000	50,000	--	--	100,000	100,000
Transfers Out	(664,210)	(2,623,231)	(217,315)	(1,465,808)	--	(1,652,880)	--	(93,262)	(42,388)
Other Sources	--	--	--	--	--	--	--	--	--
Other Uses	--	--	--	--	--	--	--	--	--
Contributions	--	--	--	--	--	--	--	--	--
Net Financing Sources (Uses)	2,698,914	(2,602,007)	2,783,685	(1,315,808)	50,000	(1,652,880)	--	6,738	57,612
Net Change in Fund Balance	(6,008,209)	(2,362,235)	(2,347,743)	(4,544,972)	(4,062,658)	(4,459,889)	12,202,248	5,563,538	(138,383)
Fund Balance - Beginning	26,681,101	26,681,101	24,318,866	24,318,866	19,773,894	19,773,894	15,239,537	15,239,537	20,803,075
Restatements	--	--	--	--	--	--	--	--	--
Adjusted Beginning Balance	<u>26,681,101</u>	<u>26,681,101</u>	<u>24,318,866</u>	<u>24,318,866</u>	<u>19,773,894</u>	<u>19,773,894</u>	<u>15,239,537</u>	<u>15,239,537</u>	<u>20,803,075</u>
Fund Balance - Ending	<u>\$20,672,892</u>	<u>\$24,318,866</u>	<u>\$21,971,123</u>	<u>\$19,773,894</u>	<u>\$15,711,236</u>	<u>\$15,314,005</u>	<u>\$27,441,785</u>	<u>\$20,803,075</u>	<u>\$20,664,692</u>

(1) From the District's comprehensive audited financial statements for fiscal years 2011-12 through 2014-15. Reflects unrestricted and restricted general fund activity. In addition, due to the consolidation of the Adult Education Fund and Deferred Maintenance Fund into the general fund for reporting purposes, additional revenues and expenditures pertaining to these funds are included in the actual revenues and expenditures, but are not included in the budget.

(2) On behalf payments of \$2,616,727, \$2,754,736, \$2,915,876 and \$3,056,868 are included in the actual expenditures for fiscal years 2012-13, 2013-14, and 2014-15, respectively, but have not been included in the budgeted amounts for each such fiscal year.

(3) From the District's Second Interim Financial Report for fiscal year 2015-16, approved by the Board on March 7, 2016. Reflects restricted and unrestricted general fund activity only. Numbers are rounded to nearest whole.

(4) From the District's Adopted Budget for fiscal year 2016-17, approved by the Board on June 27, 2016. Reflects restricted and unrestricted general fund activity only. Numbers are rounded to nearest whole.

(5) Prior to fiscal year 2013-14, reflects revenue limit sources. Beginning in fiscal year 2013-14, reflects LCFF sources. See "State Funding of Education" herein.

Source: Covina-Valley Unified School District.

Accounting Practices

The accounting practices of the District conform to generally accepted accounting principles in accordance with policies and procedures of the California School Accounting Manual. This manual, according to Section 41010 of the State Education Code, is to be followed by all State school districts.

The District's expenditures are accrued at the end of the fiscal year to reflect the receipt of goods and services in that year. Revenues generally are recorded on a cash basis, except for items that are susceptible to accrual (measurable and/or available to finance operations). Current taxes are considered susceptible to accrual. Delinquent taxes not received after the fiscal year end are not recorded as revenue until received. Revenues from specific state and federally funded projects are recognized when qualified expenditures have been incurred. State block grant apportionments are accrued to the extent that they are measurable and predictable. The State Department of Education sends the District updated information from time to time explaining the acceptable accounting treatment of revenue and expenditure categories.

The District's accounting is organized on the basis of fund groups, with each group consisting of a separate set of self-balancing accounts containing assets, liabilities, fund balances, revenues and expenditures. The major fund classification is the general fund which accounts for all financial resources not requiring a special type of fund. The District's fiscal year begins on July 1 and ends on June 30.

Comparative Financial Statements

The District's general fund finances the legally authorized activities of the District for which restricted funds are not provided. General fund revenues are derived from such sources as State school fund apportionments, taxes, use of money and property, and aid from other governmental agencies. Audited financial statements for the District for the fiscal year ended June 30, 2015, and prior fiscal years are on file with the District and available for public inspection at the Office of the Superintendent of the District, Covina-Valley Unified School District, 519 East Badillo Street, Covina, California 91723, telephone: (626) 974-7000. The audited financial statements for the year ended June 30, 2015, are attached hereto as APPENDIX B.

The table on the following page reflects the District's audited general fund revenues, expenditures and fund balances from fiscal years 2010-11 through 2014-15. Due to a change in the auditor's reporting format, fiscal year 2010-11 is presented separately from fiscal years 2011-12 through 2014-15.

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**AUDITED GENERAL FUND STATEMENT OF REVENUES, EXPENDITURES
AND FUND BALANCES⁽¹⁾
Fiscal Year 2010-11
Covina-Valley Unified School District**

	<u>2010-11</u>
REVENUES:	
General revenues:	
Property taxes	\$10,823,450
Federal and state aid not restricted to specific purpose	77,088,685
Earnings on investments	256,364
Interagency revenues	806,980
Miscellaneous	1,709,521
Program Revenues:	
Charges for services	4,089,442
Operating grants and contributions	18,832,981
Capital grants and contributions	--
Total Revenues	<u>113,607,423</u>
EXPENDITURES:	
Instructional Services:	
Instruction	66,849,050
Instruction-Related Services:	
Supervision of instruction	2,055,454
Instruction library, media and technology	1,272,734
School site administration	8,807,216
Pupil Support Services:	
Home-to-school transportation	1,889,547
Food services	--
All other pupil services	4,867,413
Community services	16,457
General Administration Services:	
Data processing services	1,738,938
Other general administration	5,866,247
Plant services	11,513,708
Facility acquisition and construction	icitati
Other outgo:	
Transfers between agencies	6,466,803
Debt service – issuance costs	139,857
Debt service – principal	50,400
Debt service - interest	--
Total Expenditures	<u>112,518,804</u>
Excess (Deficiency) of Revenues Over (Under)	1,088,619
Expenditures	
OTHER FINANCING SOURCES (USES)	
Interfund transfers in	753,613
Interfund transfers out	--
Proceeds from long-term debt	<u>458,973</u>
Total Other Financing Sources (Uses)	1,212,586
Net Change in Fund Balance	2,301,205
Fund Balance, July 1	15,350,943
Restatement to beginning fund balance	5,306,685 ⁽²⁾
Fund balance beginning - restated	<u>20,657,628</u>
Fund Balance, June 30	<u>\$22,958,833</u>

⁽¹⁾ From the District's Comprehensive Audited Financial Statements for fiscal year 2010-11. Reflects restricted and unrestricted general fund activity, as well as the fund activity for the Adult Education Fund and Deferred Maintenance Fund.

⁽²⁾ Reflects restatement to the general fund beginning fund balance to recognize the beginning fund balance of the Adult Education Fund and the Deferred Maintenance Fund, which funds no longer meet the definition of a special revenue fund as promulgated by Governmental Accounting Standards Board ("GASB") Statement No. 54.

Source: Covina-Valley Unified School District.

**AUDITED GENERAL FUND STATEMENT OF REVENUES, EXPENDITURES
AND FUND BALANCES⁽¹⁾**

**Fiscal Years 2011-12 through 2014-15
Covina-Valley Unified School District**

	<u>2011-12</u>	<u>2012-13</u>	<u>2013-14</u>	<u>2014-15</u>
REVENUES:				
Revenue limit sources/LCFF sources ⁽²⁾	\$68,855,567	\$68,344,750	\$88,661,209	\$96,381,587
Federal sources	9,884,265	6,359,039	5,714,139	6,686,542
Other State sources	23,573,664	34,431,476	18,886,281	15,407,114
Other local sources	<u>17,948,396</u>	<u>7,194,146</u>	<u>6,314,450</u>	<u>6,192,639</u>
Total Revenues	120,261,892	116,329,411	119,576,079	124,667,882
EXPENDITURES:				
Instruction	69,881,655	69,526,196	71,647,085	76,774,059
Instruction-related activities:				
Supervision of instruction	2,957,778	3,499,835	3,790,374	4,437,404
Instructional library, media and technology	1,305,494	1,380,028	1,472,595	1,489,213
School site administration	9,199,950	7,863,555	8,747,949	8,708,231
Pupil services:				
Home-to-school transportation	2,066,064	772,937	1,831,379	2,402,903
Food services	1,594	38,081	4,985	--
All other pupil services	5,112,539	5,235,670	5,470,193	5,539,121
General administration:				
Data processing	1,722,809	1,856,124	2,012,481	2,130,309
All other administration	5,968,350	6,023,721	4,922,452	5,926,886
Plant services	11,926,267	11,836,201	13,291,542	13,194,951
Facility acquisition and construction	1,285,457	1,064,034	2,282,380	1,618,210
Community services	16,404	17,430	3,172	--
Other outgo	5,755,037	6,698,416	6,812,285	4,785,496
Enterprise services	2,201		1,563	25,633
Debt service:				
Principal	76,242	83,328	241,132	96,996
Interest and fees	<u>71,307</u>	<u>194,083</u>	<u>273,676</u>	<u>345,479</u>
Total Expenditures	117,349,148	116,089,639	122,805,243	127,474,891
Excess (Deficiency) of Revenues Over (Under) Expenditures	2,912,744	239,772	(3,229,164)	(2,807,009)
Other Financing Sources (Uses):				
Transfers in	809,525	21,224	150,000	--
Other sources – proceeds of bonds	--	--	--	--
Other sources – proceeds of refunding bonds	--	--	--	--
Transfers out	--	(2,623,231)	(1,465,808)	(1,652,880)
Other uses – payment to refunded bond escrow agent	--	--	--	--
Net Financing Sources (Uses)	809,525	(2,602,007)	(1,315,808)	(1,652,880)
NET CHANGE IN FUND BALANCES	3,722,269	(2,362,235)	(4,544,972)	(4,459,889)
Fund Balance - Beginning	<u>22,958,832</u>	<u>26,681,101</u>	<u>24,318,866</u>	<u>19,773,894</u>
Fund Balance - Ending	<u>\$26,681,101</u>	<u>\$24,318,866</u>	<u>\$19,773,894</u>	<u>\$15,314,005</u>

⁽¹⁾ From the District's Comprehensive Audited Financial Statements for fiscal years 2011-12 through 2014-15. Reflects restricted and unrestricted general fund activity, as well as the fund activity for the Adult Education Fund and Deferred Maintenance Fund, which funds no longer meet the definition of special revenue funds, and are combined with the general fund in the Audited Financial Statements.

⁽²⁾ Prior to fiscal year 2013-14, reflects revenue limit sources. Beginning in fiscal year 2013-14, reflects LCFF sources. See "State Funding of Education" herein.

Source: Covina-Valley Unified School District.

State Budget Measures

The following information concerning the State's budgets has been obtained from publicly available information which the District believes to be reliable; however, the District does not guarantee the accuracy or completeness of this information and has not independently verified such information. Furthermore, it should not be inferred from the inclusion of this information herein that the principal of or interest on the Bonds is payable from the general fund of the District. Prior to the Crossover Date, the Refunding Bonds will be secured by and payable solely from proceeds thereof deposited into the Escrow Fund. The New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds, will be payable solely from the proceeds of an ad valorem property tax required to be levied by the County on taxable property within the District in an amount sufficient for the payment thereof. See "THE BONDS – Security and Sources of Payment" herein.

2016-17 Budget. On June 27, 2016, the Governor signed into the law the State budget for fiscal year 2016-17 (the "2016-17 Budget"). The following information is drawn from the Department of Finance's summary of the 2016-17 Budget.

The 2016-17 Budget projects, for fiscal year 2015-16, total general fund revenues and transfers of \$117 billion and total expenditures of \$115.6 billion. The State is projected to end the 2015-16 fiscal year with total available reserves of \$7.3 billion, including \$3.9 billion in the traditional general fund reserve and \$3.4 billion in the BSA. For fiscal year 2016-17, the 2016-17 Budget assumes total general fund revenues of \$120.3 billion and authorizes expenditures of \$122.5 billion. The State is projected to end the 2016-17 fiscal year with total available reserves of \$8.5 billion, including \$1.8 billion in the traditional general fund reserve and \$6.7 billion in the BSA.

As required by Proposition 2, the 2016-17 Budget applies \$1.3 billion towards the repayment of existing State liabilities, including loans from special funds, State and University of California pension and retiree health benefits and settle-up payments to K-14 school districts resulting from an underfunding of the Proposition 98 minimum funding guarantee in a prior fiscal year. Other significant features including measures designed to counteract the effects of poverty, fund various infrastructure improvements, and increase funding for low income housing and homelessness programs.

For fiscal year 2016-17, the 2016-17 Budget sets the minimum funding guarantee at \$71.9 billion, an increase of \$3.5 billion over the revised level from the prior fiscal year. Significant features with respect to K-12 education funding include the following:

- *Local Control Funding Formula* – \$2.9 billion of Proposition 98 funding to continue the implementation of the LCFF. As a result, the 2016-17 Budget projects total LCFF implementation to be at 96% during fiscal year 2016-17.
- *College Readiness* – \$200 million in one-time Proposition 98 funding to fund a block grant for school districts and charter schools serving high school students. Funds are intended to provide additional services that support access and successful transition to higher education. Allocation of the funding will be based on the number of students in grades 9 through 12 that are English-learners, low-income or foster youth, with no district or charter school receiving less than \$75,000. The 2016-17 Budget also provides \$15 million in one-time Proposition 98 grant funding to support coordinated student outreach by local educational agencies and community college districts aimed at increasing college preparation, access, and success.

- *Teacher Workforce* – \$35 million in one-time funding, including \$25 million of Proposition 98 funding, to provide grants aimed at recruiting additional teachers and streamlining teacher credentialing programs.
- *Charter Schools* – An increase of \$20 million in one-time Proposition 98 funding to support startup costs for new charter schools in 2016 and 2017. The funds are intended to offset the loss of previously available federal funding.
- *Support Systems* – \$20 million in one-time Proposition 98 funding to assist local educational agencies provide academic, behavioral, social and emotional student support services.
- *Truancy and Dropout Prevention* – Proposition 47, approved by voters in November 2014, reduces penalties for certain non-serious and non-violent property and drug offenses, and requires that State expenditures savings resulting from these reduced penalties be invested into K-12 truancy and dropout prevention. The 2016-17 Budget allocates \$18 million of such funding to K-12 local education agencies.
- *Drinking Water* – \$9.5 million in one-time Proposition 98 funding to assist school districts that serve isolated or economically disadvantaged areas improve access to safe drinking water.
- *Mandates* – \$1.3 billion in one-time Proposition 98 funding to reduce the existing backlog of unpaid reimbursement claims to K-12 local educational agencies for the cost of State-mandated programs. The funding would be provided to local educational agencies on a per-student basis, and would be available to be used at local discretion.

For additional information regarding the 2016-17 Budget, see the State Department of Finance website at www.dof.ca.gov. However, the information presented on such website is not incorporated herein by reference.

Future Actions. The District cannot predict what actions will be taken in the future by the State Legislature and the Governor to address changing State revenues and expenditures. The District also cannot predict the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors over which the District will have no control. Certain actions or results could produce a significant shortfall of revenue and cash, and could consequently impair the State's ability to fund school districts. State budget shortfalls in future fiscal years may also have an adverse financial impact on the financial condition of the District. However, the obligation to levy *ad valorem* property taxes upon all taxable property within the District for the payment of principal of and interest on the New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds, would not be impaired.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

The information in this section concerning the operations of the District and the District's finances is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Bonds is payable from the general fund of the District. Prior to the Crossover Date, the Refunding Bonds will be secured by and payable solely from proceeds thereof deposited into the Escrow Fund. The New Money Bonds, and, from and after the Crossover Date, the Refunding Bonds, will be payable solely from the proceeds of an ad valorem property tax required to be levied by the County on taxable property within the District in an amount sufficient for the payment thereof. See "THE BONDS – Security and Sources of Payment" herein.

Introduction

The District, located in the County, was unified at an election held in December 1959, and became operational in July 1960. The boundaries of the District include the Cities of Covina, West Covina, Glendora, San Dimas and Irwindale. The District currently operates 10 elementary schools, three middle schools, three comprehensive high schools, one alternative high school, and an adult education program. For fiscal year 2015-16, the District had an assessed valuation of \$8,304,172,271. For fiscal year 2016-17, the District has budgeted an ADA of 11,317 students.

The District is governed by a five-member Board, each member of which is elected to a four-year term. Elections for positions on the Board are held every two years, alternating between two and three available positions. Current members of the Board, together with their offices and the dates their terms expire, are listed below:

COVINA-VALLEY UNIFIED SCHOOL DISTRICT Board of Education

<u>Name</u>	<u>Office</u>	<u>Term Expires</u>
Richard M. White	President	December 2017
Charles M. Kemp	Vice President	December 2017
Sue L. Maulucci	Clerk	December 2019
Sonia Frasquillo	Member	December 2019
Darrell A. Myrick	Member	December 2019

The Superintendent of the District is responsible for administering the affairs of the District in accordance with the policies of the Board. Currently, Richard M. Sheehan, Ed.D. is the Superintendent of the District. Brief biographies of the Superintendent and other key District personnel follow:

Richard M. Sheehan, Ed.D., Superintendent. Dr. Sheehan joined the District as Superintendent in July 2015. Prior to joining the District, Dr. Sheehan served as Superintendent, Assistant Superintendent, Educational Services, and Deputy Superintendent, Educational Services of Glendale Unified School District. Prior to his service at Glendale Unified School District, Dr. Sheehan worked at Covina-Valley Unified School District and served as coach, high school teacher, Athletic Director, Dean of Students, Assistant Principal, Principal, and Director, Curriculum and Instruction. Dr. Sheehan received a Bachelor's degree in Political Science from California State University, Fullerton, a Master's degree in Pupil Personnel Services from Azusa Pacific University, and a Doctorate degree in Educational Leadership from the University of Southern California.

Robert McEntire, Chief Business Officer. Mr. McEntire joined the District on August 15, 2016. Immediately prior to joining the District, Mr. McEntire held the position of Chief Business and Financial Officer at Glendale Unified School District. Prior thereto, he served as Chief Business Officer of Garvey School District. Mr. McEntire's business career has spanned over 15 years, and has included positions in private industry of payroll clerk, analyst, controller and chief financial officer. Mr. McEntire received his Bachelor of Science degree in Business Administration from the University of Southern California, and a Master of Business Administration degree from Thunderbird School of Global Management.

Average Daily Attendance and Enrollment

On average throughout the District, the regular education pupil-teacher ratio is approximately 22.6:1 for grades TK-3, 26:1 in grades 4-5, 32:1 in grades 6-8 and 34:1 in grades 9-12. The following table shows a nine-year ADA and enrollment history for the District, and budgeted amounts for fiscal year 2016-17.

AVERAGE DAILY ATTENDANCE AND ENROLLMENT Fiscal Years 2007-08 through 2016-17 Covina-Valley Unified School District

<u>Fiscal Year</u>	<u>Average Daily Attendance⁽¹⁾</u>	<u>Enrollment⁽²⁾</u>
2007-08	14,134	14,646
2008-09	13,942	14,391
2009-10	13,538	14,002
2010-11	13,288	13,651
2011-12	12,962	13,256
2012-13	12,578	12,980
2013-14	12,269	12,558
2014-15	11,985	12,274
2015-16	11,644	11,949
2016-17 ⁽³⁾	11,317	11,607

⁽¹⁾ Reflects P-2 ADA in each school year. Due to the District's declining enrollment, the District is funded based on the previous year's P-2 ADA, as opposed to the current year P-2 ADA.

⁽²⁾ Reflects enrollment as of the October CBEDS for fiscal years 2007-08 through 2012-13, and October CALPADS for fiscal years 2013-14 through 2016-17.

⁽³⁾ Budgeted.

Source: Covina-Valley Unified School District.

Labor Relations

The District currently employs 652 full-time certificated employees and 380 full-time classified employees. In addition, the District employs 301 part-time faculty and staff. District employees, except for management and some part-time employees, are represented by two employee bargaining units as shown below.

BARGAINING UNITS Covina-Valley Unified School District

<u>Name of Bargaining Unit</u>	<u>Number of Employees Represented</u>	<u>Current Contract Expiration Date</u>
California Schools Employees Association	654	August 31, 2016
Covina Unified Education Association	603	June 30, 2016 ⁽¹⁾

⁽¹⁾ Employees continue to work under the terms of the expired contract while a new contract is negotiated.
Source: Covina-Valley Unified School District.

District Retirement Systems

The information set forth below regarding the STRS and PERS programs, other than the information provided by the District regarding its annual contributions thereto, has been obtained from publicly available sources which are believed to be reliable but are not guaranteed as to accuracy or completeness, and should not be construed as a representation by either the District or the Underwriter.

STRS. All full-time certificated employees, as well as certain classified employees, are members of the State Teachers' Retirement System ("STRS"). STRS provides retirement, disability and survivor benefits to plan members and beneficiaries under a defined benefit program (the "STRS Defined Benefit Program"). The STRS Defined Benefit Program is funded through a combination of investment earnings and statutorily set contributions from three sources: employees, employers, and the State. Benefit provisions and contribution amounts are established by State statutes, as legislatively amended from time to time.

Prior to fiscal year 2014-15, and unlike typical defined benefit programs, none of the employee, employer nor State contribution rates to the STRS Defined Benefit Program varied annually to make up funding shortfalls or assess credits for actuarial surpluses. In recent years, the combined employer, employee and State contributions to the STRS Defined Benefit Program have not been sufficient to pay actuarially required amounts. As a result, and due to significant investment losses, the unfunded actuarial liability of the STRS Defined Benefit Program has increased significantly in recent fiscal years. In September 2013, STRS projected that the STRS Defined Benefit Program would be depleted in 31 years assuming existing contribution rates continued, and other significant actuarial assumptions were realized. In an effort to reduce the unfunded actuarial liability of the STRS Defined Benefit Program, the State recently passed the legislation described below to increase contribution rates.

Prior to July 1, 2014, K-14 school districts were required by such statutes to contribute 8.25% of eligible salary expenditures, while participants contributed 8% of their respective salaries. On June 24, 2014, the Governor signed AB 1469 (“AB 1469”) into law as a part of the State’s fiscal year 2014-15 budget. AB 1469 seeks to fully fund the unfunded actuarial obligation with respect to service credited to members of the STRS Defined Benefit Program before July 1, 2014 (the “2014 Liability”), within 32 years, by increasing member, K-14 school district and State contributions to STRS. Commencing July 1, 2014, the employee contribution rate will increase over a three-year phase-in period in accordance with the following schedule:

**MEMBER CONTRIBUTION RATES
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>STRS Members Hired Prior to January 1, 2013</u>	<u>STRS Members Hired After January 1, 2013</u>
July 1, 2014	8.150%	8.150%
July 1, 2015	9.200	8.560
July 1, 2016	10.250	9.205

Source: AB 1469.

Pursuant to AB 1469, K-14 school districts’ contribution rate will increase over a seven-year phase-in period in accordance with the following schedule:

**K-14 SCHOOL DISTRICT CONTRIBUTION RATES
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>K-14 school districts</u>
July 1, 2014	8.88%
July 1, 2015	10.73
July 1, 2016	12.58
July 1, 2017	14.43
July 1, 2018	16.28
July 1, 2019	18.13
July 1, 2020	19.10

Source: AB 1469.

Based upon the recommendation from its actuary, for fiscal year 2021-22 and each fiscal year thereafter the STRS Teachers’ Retirement Board (the “STRS Board”), is required to increase or decrease the K-14 school districts’ contribution rate to reflect the contribution required to eliminate the remaining 2014 Liability by June 30, 2046; provided that the rate cannot change in any fiscal year by more than 1% of creditable compensation upon which members’ contributions to the STRS Defined Benefit Program are based; and provided further that such contribution rate cannot exceed a maximum of 20.25%. In addition to the increased contribution rates discussed above, AB 1469 also requires the STRS Board to report to the State Legislature every five years (commencing with a report due on or before July 1, 2019) on the fiscal health of the STRS Defined Benefit Program and the unfunded actuarial obligation with respect to service credited to members of that program before July 1, 2014. The reports are also required to identify adjustments required in contribution rates for K-14 school districts and the State in order to eliminate the 2014 Liability.

The District contributed to STRS in the amount of \$4,341,471 in fiscal year 2011-12, \$4,440,721 in fiscal year 2012-13, \$4,551,611 in fiscal year 2013-14, \$5,248,838 in fiscal year 2014-15, and \$6,432,430 in fiscal year 2015-16 (estimated). The District has budgeted a contribution of \$7,861,875 to STRS for fiscal year 2016-17.

The State also contributes to STRS, currently in an amount equal to 4.891% of teacher payroll for fiscal year 2015-16. The State's contribution reflects a base contribution rate of 2.017%, and a supplemental contribution rate that will vary from year to year based on statutory criteria. Pursuant to AB 1469, the State contribution rate will increase over a three year period to a total of 6.328% in fiscal year 2016-17. Based upon the recommendation from its actuary, for fiscal year 2017-18 and each fiscal year thereafter, the STRS Board is required, with certain limitations, to increase or decrease the State's contribution rates to reflect the contribution required to eliminate the unfunded actuarial accrued liability attributed to benefits in effect before July 1, 1990. In addition, the State is currently required to make an annual general fund contribution up to 2.5% of the fiscal year covered STRS member payroll to the Supplemental Benefit Protection Account (the "SBPA"), which was established by statute to provide supplemental payments to beneficiaries whose purchasing power has fallen below 85% of the purchasing power of their initial allowance.

PERS. Classified employees working four or more hours per day are members of the Public Employees' Retirement System ("PERS"). PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by the State statutes, as legislatively amended from time to time. PERS operates a number of retirement plans including the Public Employees Retirement Fund ("PERF"). PERF is a multiple-employer defined benefit retirement plan. In addition to the State, employer participants at June 30, 2014 included 1,580 public agencies and 1,513 K-14 school districts. PERS acts as the common investment and administrative agent for the member agencies. The State and K-14 school districts (for "classified employees," which generally consist of school employees other than teachers) are required by law to participate in PERF. Employees participating in PERF generally become fully vested in their retirement benefits earned to date after five years of credited service. One of the plans operated by PERS is for K-14 school districts throughout the State (the "Schools Pool").

Contributions by employers to the Schools Pool are based upon an actuarial rate determined annually and contributions by plan members vary based upon their date of hire. The District is currently required to contribute to PERS at an actuarially determined rate, which is 11.847% of eligible salary expenditures for fiscal year 2015-16 and 13.888% in fiscal year 2016-17. Participants enrolled in PERS prior to January 1, 2013 contribute 7% of their respective salaries, while participants enrolled after January 1, 2013 contribute at an actuarially determined rate, which is 6% of their respective salaries for fiscal years 2015-16 and 2016-17. See "—California Public Employees' Pension Reform Act of 2013" herein.

The District contributed to PERS in the amount of \$1,799,288 in fiscal year 2011-12, \$1,858,100 in fiscal year 2012-13, \$1,876,747 in fiscal year 2013-14, \$2,060,153 in fiscal year 2014-15, and \$2,197,338 in fiscal year 2015-16 (estimated). The District has budgeted a contribution of \$2,577,135 to PERS for fiscal year 2016-17.

For further information about the District's contributions to STRS and PERS, see "APPENDIX B – 2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 12" attached hereto.

State Pension Trusts. Each of STRS and PERS issues a separate comprehensive financial report that includes financial statements and required supplemental information. Copies of such financial reports may be obtained from each of STRS and PERS as follows: (i) STRS, P.O. Box 15275,

Sacramento, California 95851-0275; (ii) PERS, P.O. Box 942703, Sacramento, California 94229-2703. Moreover, each of STRS and PERS maintains a website, as follows: (i) STRS: www.calstrs.com; (ii) PERS: www.calpers.ca.gov. However, the information presented in such financial reports or on such websites is not incorporated into this Official Statement by any reference.

Both STRS and PERS have substantial statewide unfunded liabilities. The amount of these unfunded liabilities will vary depending on actuarial assumptions, returns on investments, salary scales and participant contributions. The following table summarizes information regarding the actuarially-determined accrued liability for both STRS and PERS. Actuarial assessments are “forward-looking” information that reflect the judgment of the fiduciaries of the pension plans, and are based upon a variety of assumptions, one or more of which may not materialize or be changed in the future. Actuarial assessments will change with the future experience of the pension plans.

FUNDED STATUS
STRS (Defined Benefit Program) and PERS
(Dollar Amounts in Millions)⁽¹⁾
Fiscal Years 2010-11 through 2014-15

<u>STRS</u>					
<u>Fiscal Year</u>	<u>Accrued Liability</u>	Value of Trust Assets (MVA) ⁽²⁾	Unfunded Liability (MVA) ⁽²⁾⁽³⁾	Value of Trust Assets (AVA) ⁽⁴⁾	Unfunded Liability (AVA) ⁽⁴⁾
2010-11	\$208,405	\$147,140	\$68,365	\$143,930	\$64,475
2011-12	215,189	143,118	80,354	144,232	70,957
2012-13	222,281	157,176	74,374	148,614	73,667
2013-14	231,213	179,749	61,807	158,495	72,718
2014-15	241,753	180,633	72,626	165,553	76,200

<u>PERS</u>					
<u>Fiscal Year</u>	<u>Accrued Liability</u>	Value of Trust Assets (MVA) ⁽²⁾	Unfunded Liability (MVA) ⁽²⁾	Value of Trust Assets (AVA) ⁽⁴⁾	Unfunded Liability (AVA) ⁽⁴⁾
2010-11	\$58,358	\$45,901	\$12,457	\$51,547	\$6,811
2011-12	59,439	44,854	14,585	53,791	5,648
2012-13	61,487	49,482	12,005	56,250	5,237
2013-14	65,600	56,838	8,761	-- ⁽⁵⁾	-- ⁽⁵⁾
2014-15 ⁽⁶⁾	73,325	56,814	16,511	-- ⁽⁵⁾	-- ⁽⁵⁾

⁽¹⁾ Amounts may not add due to rounding.

⁽²⁾ Reflects market value of assets.

⁽³⁾ Excludes assets allocated to the SBPA reserve.

⁽⁴⁾ Reflects actuarial value of assets.

⁽⁵⁾ Effective for the June 30, 2014 actuarial valuation, PERS no longer uses an actuarial value of assets.

⁽⁶⁾ On April 19, 2016, the PERS Finance & Administration Committee approved the K-14 school district contribution rate for fiscal year 2016-17 and released certain actuarial information to be incorporated into the June 30, 2015 actuarial valuation to be released in summer 2016.

Source: PERS Schools Pool Actuarial Valuation; STRS Defined Benefit Program Actuarial Valuation.

The STRS Board has sole authority to determine the actuarial assumptions and methods used for the valuation of the STRS Defined Benefit Program. The following are certain of the actuarial assumptions adopted by the STRS Board with respect to the STRS Defined Benefit Program Actuarial Valuation for fiscal year 2014-15: measurement of accruing costs by the “Entry Age Normal Actuarial Cost Method,” 7.50% investment rate of return (net of investment and administrative expenses), 4.50%

interest on member accounts, 3.75% projected wage growth, and 3.00% projected inflation. According to the STRS Defined Benefit Program Actuarial Valuation, as of June 30, 2015, the future revenue from contributions and appropriations for the STRS Defined Benefit Program was projected to be sufficient to finance its obligations. This finding reflects the scheduled contribution increases specified in AB 1469 and is based on the valuation assumptions and the valuation policy adopted by the STRS Board.

In recent years, the PERS Board of Administration (the “PERS Board”) has taken several steps, as described below, intended to reduce the amount of the unfunded accrued actuarial liability of its plans, including the Schools Pool.

On March 14, 2012, the PERS Board voted to lower the PERS’ rate of expected price inflation and its investment rate of return (net of administrative expenses) (the “PERS Discount Rate”) from 7.75% to 7.5%. As one consequence of such decrease, the annual contribution amounts paid by PERS member public agencies, including the District, have been increased by 1 to 2% for miscellaneous plans and by 2 to 3% for safety plans beginning in fiscal year 2013-14. On February 18, 2014, the PERS Board voted to keep the PERS Discount Rate unchanged at 7.5%. On November 17, 2015, the PERS Board voted to reduce the PERS Discount Rate to 6.5% over a period of 20 years. This change could result in increased contributions over time from both employers and employees.

On April 17, 2013, the PERS Board approved new actuarial policies aimed at returning PERS to fully-funded status within 30 years. The policies include a rate smoothing method with a 30-year fixed amortization period for gains and losses, a five-year increase of public agency contribution rates, including the contribution rate at the onset of such amortization period, and a five year reduction of public agency contribution rates at the end of such amortization period. The new actuarial policies were first included in the June 30, 2014 actuarial valuation and were implemented with respect the State, K-14 school districts and all other public agencies in fiscal year 2015-16.

Also, on February 20, 2014, the PERS Board approved new demographic assumptions reflecting (i) expected longer life spans of public agency employees and related increases in costs for the PERS system and (ii) trends of higher rates of retirement for certain public agency employee classes, including police officers and firefighters. The new actuarial assumptions will first be reflected in the Schools Pool in the June 30, 2015 actuarial valuation. The increase in liability due to the new assumptions will be amortized over 20 years with increases phased in over five years, beginning with the contribution requirement for fiscal year 2016-17. The new demographic assumptions affect the State, K-14 school districts and all other public agencies.

The District can make no representations regarding the future program liabilities of STRS, or whether the District will be required to make additional contributions to STRS in the future above those amounts required under AB 1469. The District can also provide no assurances that the District’s required contributions to PERS will not increase in the future.

California Public Employees’ Pension Reform Act of 2013. On September 12, 2012, the Governor signed into law the California Public Employees’ Pension Reform Act of 2013 (the “Reform Act”), which makes changes to both STRS and PERS, most substantially affecting new employees hired after January 1, 2013 (the “Implementation Date”). For STRS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor (the age factor is the percent of final compensation to which an employee is entitled for each year of service) from age 60 to 62 and increasing the eligibility of the maximum age factor of 2.4% from age 63 to 65. Similarly, for non-safety PERS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor from age 55 to 62 and increases the eligibility requirement for the maximum age factor of 2.5% to age 67. Among the other

changes to PERS and STRS, the Reform Act also: (i) requires all new participants enrolled in PERS and STRS after the Implementation Date to contribute at least 50% of the total annual normal cost of their pension benefit each year as determined by an actuary, (ii) requires STRS and PERS to determine the final compensation amount for employees based upon the highest annual compensation earnable averaged over a consecutive 36-month period as the basis for calculating retirement benefits for new participants enrolled after the Implementation Date (previously 12 months for STRS members who retire with 25 years of service), and (iii) caps “pensionable compensation” for new participants enrolled after the Implementation Date at 100% of the federal Social Security contribution (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers) and benefit base for members participating in Social Security or 120% for members not participating in social security (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers), while excluding previously allowed forms of compensation under the formula such as payments for unused vacation, annual leave, personal leave, sick leave, or compensatory time off.

GASB Statement Nos. 67 and 68. On June 25, 2012, GASB approved Statements Nos. 67 and 68 (the “Statements”) with respect to pension accounting and financial reporting standards for state and local governments and pension plans. The new Statements, No. 67 and No. 68, replace GASB Statement No. 27 and most of Statements No. 25 and No. 50. The changes impact the accounting treatment of pension plans in which state and local governments participate. Major changes include: (1) the inclusion of unfunded pension liabilities on the government’s balance sheet (currently, such unfunded liabilities are typically included as notes to the government’s financial statements); (2) more components of full pension costs being shown as expenses regardless of actual contribution levels; (3) lower actuarial discount rates being required to be used for underfunded plans in certain cases for purposes of the financial statements; (4) closed amortization periods for unfunded liabilities being required to be used for certain purposes of the financial statements; and (5) the difference between expected and actual investment returns being recognized over a closed five-year smoothing period. In addition, according to GASB, Statement No. 68 means that, for pensions within the scope of the Statement, a cost-sharing employer that does not have a special funding situation is required to recognize a net pension liability, deferred outflows of resources, deferred inflows of resources related to pensions and pension expense based on its proportionate share of the net pension liability for benefits provided through the pension plan. Because the accounting standards do not require changes in funding policies, the full extent of the effect of the new standards on the District is not known at this time. The reporting requirements for pension plans took effect for the fiscal year beginning July 1, 2013 and the reporting requirements for government employers, including the District, took effect for the fiscal year beginning July 1, 2014.

The District’s proportionate share of the net pension liabilities, pension expense and deferred inflow of resources for STRS and PERS and a deferred outflow of resources for STRS and PERS are as shown in the following table.

<u>Pension Plan</u>	<u>Proportionate Share of Net Pension Liability</u>	<u>Deferred Outflow of Resources</u>	<u>Proportionate Share of Deferred Inflows of Resources</u>	<u>Proportionate Share of Pension Expense</u>
STRS	\$69,056,755	\$5,248,838	\$17,005,094	\$5,961,828
PERS	<u>17,659,852</u>	<u>2,060,153</u>	<u>6,972,800</u>	<u>1,569,600</u>
Total	<u>\$86,716,607</u>	<u>\$7,308,991</u>	<u>\$23,977,894</u>	<u>\$7,531,428</u>

Source: Covina-Valley Unified School District.

For further information about the District’s contributions to STRS and PERS, see “APPENDIX B – 2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 14” attached hereto.

Early Retirement Incentives

The District has offered several early retirement incentives. During the 2007-08 school year, the District adopted a supplemental retirement plan under which certain eligible certificated and classified employees are provided a five-year annuity to supplement the retirement benefits they are entitled to through their respective retirement systems. Eligible employees were employed by the District as of February 12, 2008 and eligible to retire under STRS or PERS as of June 30, 2008, had resigned from the District after completion of the 2007-08 school year on or before June 30, 2008, retired from STRS or PERS no later than July 1, 2008, and applied for benefits under this plan. The District purchased the annuities for 102 employees under this plan from Pacific Life Insurance Company.

During the 2010-11 school year, the District adopted three additional early retirement incentives: the STRS Golden Handshake, the PERS Golden Handshake, and one other supplemental retirement program. These incentives were provided for 60 employees.

As of June 30, 2016, the balance of the combined obligations associated with the above-described early retirement incentives was \$435,000.

During the 2013-14 school year, the District adopted two additional early retirement incentives: the STRS Golden Handshake and the PERS Golden Handshake. These incentives were provided for 52 employees, of which 36 were STRS employees and 16 were PERS employees. The District paid off the full liability for the STRS Golden Handshake and PERS Golden Handshake in fiscal year 2015-16.

Other Post-Employment Benefits

Program Benefits. The postemployment benefit plan (the “Plan”) is a single-employer defined benefit health care program administered by the District. The Plan provides medical and dental insurance benefits to eligible retirees and their spouses (the “Benefits”). Currently, membership of the Plan consists of 81 retirees receiving the Benefits, and 956 active Plan members who may become eligible to retire and receive Benefits in the future.

Funding Policy. The contribution requirements of the Plan members and the District are established and may be amended by the District, the labor organizations, and unrepresented groups. The required contribution is based on a projected pay-as-you-go basis to cover the costs of its current retirees. The District contributed \$1,054,763 and \$620,506 (estimated) to the Plan in fiscal years 2014-15 and 2015-16, respectively, all of which was used for current premiums. The District has budgeted a contribution of \$639,379 to the Plan for fiscal year 2016-17, all of which will be used for current premiums.

The District has established an internal service fund to begin funding its UAAL (as defined herein) with respect to the Benefits; however, the internal service fund has not been irrevocably pledged to the payment of Benefits, and may be accessed upon Board approval for other purposes. As of May 2016, the District had \$472,418 on deposit in the internal service fund. The District has budgeted a contribution of \$620,506 into the internal service fund in fiscal year 2016-17.

Accrued Liability. The District has implemented GASB 45, pursuant to which the District has commissioned and received several actuarial studies of its outstanding liabilities with respect to the Benefits. The most recent of these studies (the “Study”) determined that the unfunded actuarial accrued liability (the “UAAL”) with respect to the Benefits, as of a July 1, 2015 valuation date, was \$8,819,112. The Study also concluded that the annual required contribution (the “ARC”) was \$964,501 for fiscal year 2015-16. The ARC is the amount that would be necessary to fund the value of future Benefits earned by

current employees during each fiscal year (the “Normal Cost”) and the amount necessary to amortize the UAAL, in accordance with the GASB Statements Nos. 43 and 45.

Net OPEB Asset. As of June 30, 2015, the District recognized a long-term asset (the “Net OPEB Asset”) of \$58,307 with respect to its accrued liability for the Benefits. The Net OPEB Asset is based on the District’s contributions towards the ARC during fiscal year 2014-15, plus interest on the prior year’s Net OPEB Obligation and minus any adjustments to reflect the amortization thereof. See “APPENDIX B – 2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 12” attached hereto.

Risk Management

Property and Liability. The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. During fiscal year 2014-15, the District was self-insured for property and liability insurance coverage, and participated in the Alliance of Schools for Cooperative Insurance Programs (“ASCIP”) risk management pool for amounts in excess of the District’s member retention limit of \$25,000 for property and liability claims.

Workers’ Compensation. For fiscal year 2014-15, the District was self-funded for its workers’ compensation coverage. The workers’ compensation experience of the District was calculated and applied to a premium rate, which was utilized to charge funds for the administration of the program. The District’s self-insured retention limit for fiscal year 2014-15 was \$250,000. Excess liability coverage for workers’ compensation claims is provided by Schools Excess Liability Fund (“SELF”) public entity risk pool, through ASCIP.

Employee Medical Benefits. The District has contracted with various vendors to provide employee health benefits through the purchase of commercial insurance. Kaiser and Anthem Blue Cross provide medical care, Delta Dental and Delta Care provide dental care, VSP provides vision care and Mutual of Omaha provides life insurance. The District has also contracted with Southern California Schools Employee Benefits Association (“SCSEBA”), a joint powers authority (a “JPA”), to provide employee medical benefits. SCSEBA obtains benefit programs on behalf of the District through the purchase of commercial insurance.

Claims Liabilities. The District records an estimated liability for indemnity torts and other claims against the District. Claims liabilities are based on estimates of the ultimate cost of reported claims (including future claim adjustment expenses) and an estimate for claims incurred, but not reported based on historical experience.

Public Entity Risk Pools, JPAs, and Other Related Party Transactions

The District is a member of the SCSEBA JPA and the ASCIP public entity risk pool, and, through ASCIP, the SELF public entity risk pool. The District pays an annual premium to SCSEBA and ASCIP for its medical and property/liability and workers’ compensation excess liability coverage, respectively. During fiscal year 2014-15, the District made payments of \$9,515,088 and \$983,715 to ASCIP and SCSEBA, respectively, the District estimates that it contributed \$11,991,712 and \$940,127 to ASCIP and SCSEBA, respectively, in fiscal year 2014-15.

District Debt Structure

Short-Term Debt. The District currently has no outstanding short-term debt obligations.

Long-Term Debt. A schedule of changes in long-term debt for the year ended June 30, 2015 is shown below:

	Balance July 1, 2014	Additions	Deductions	Balance June 30, 2015
General obligation bonds ⁽¹⁾	\$134,126,464	\$2,369,970	\$5,750,000	\$130,746,434
Premium on issuance	8,887,891	--	1,302,961	7,584,930
2008 Qualified zone academy bonds	3,590,299	--	325,606	3,264,693
Early retirement incentives ⁽²⁾	4,500,490	--	985,093	3,515,397
Capital lease	208,329	--	99,539	108,790
Other postemployment benefits	100,851	--	100,851	--
Accumulated vacation – net	1,331,581	90,420	--	1,422,001
Claims liability	1,840,334	543,459	798,823	1,584,970
	<u>\$154,586,239</u>	<u>\$3,003,849</u>	<u>\$9,362,873</u>	<u>\$148,227,215</u>

⁽¹⁾ Does not include the 2012 Series B Bonds issued on July 15, 2015, as described in “- General Obligation Bonds” herein.

⁽²⁾ In fiscal year 2015-2016, the District paid off a portion of the debt associated with its Early Retirement Incentives. Currently, \$435,000 remains. See “- Early Retirement Incentives” herein.

Source: Covina-Valley Unified School District.

General Obligation Bonds. The District received authorization at an election held on June 5, 2001 by at least two-thirds of the votes cast by eligible voters within the District to issue \$50,000,000 maximum principal amount of general obligation bonds (the “2001 Authorization”). On February 7, 2002, the District caused the issuance of its General Obligation Bonds, 2001 Election, Series A (the “2001 Series A Bonds”) in an aggregate principal amount of \$20,000,000. On June 19, 2003, the District caused the issuance of its General Obligation Bonds, 2001 Election, Series B (the “2001 Series B Bonds”) in an aggregate principal amount of \$30,000,000. On December 6, 2011, the District issued its 2001 Election General Obligation Refunding Bonds, 2011 Series A (the “2011 Refunding Bonds”) in an aggregate principal amount of \$13,495,000 to advance refund certain of the then-outstanding 2001 Series A Bonds.

The District received authorization at an election held on June 6, 2006, by at least 55% or more of the votes cast by eligible voters within the District to issue \$66,000,000 aggregate principal amount of general obligation bonds (the “2006 Authorization”). On August 31, 2006, the District caused the issuance of its General Obligation Bonds, 2006 Election, 2006 Series A (the “2006 Series A Bonds”) in an aggregate principal amount of \$47,000,000. On October 3, 2007, the District caused the issuance of its 2007 Series B Bonds in an aggregate principal amount of \$18,999,949.45. On May 30, 2013, the District issued its 2013 General Obligation Refunding Bonds (the “2013 Refunding Bonds”) in the aggregate principal amount of \$40,500,000 to currently refund certain of the then-outstanding 2001 Series B Bonds and to advance refund certain of the then-outstanding 2006 Series A Bonds. The District expects to use the proceeds of the Refunding Bonds to advance refund on a crossover basis certain of the outstanding 2007 Series B Bonds.

The 2012 Authorization was the result of an election held on November 6, 2012 and approved by at least 55% of the votes cast by eligible voters within the District to issue \$129,000,000 maximum principal amount of general obligation bonds. On May 30, 2013, the District caused the issuance of its 2012 Series A Bonds in the aggregate principal amount of \$30,000,000. On July 15, 2015, the District caused the issuance of its 2012 Series B Bonds in the aggregate principal amount of \$37,000,000. The

New Money Bonds represent a portion of the third series of bonds issued pursuant to the 2012 Authorization. Concurrently with the issuance of the Bonds, the District expects to issue \$6,000,000 of its 2012 Series C-1 Bonds. Following the issuance of the New Money Bonds and the 2012 Series C-1 Bonds, \$44,000,000 of the 2012 Authorization will remain unissued.

The table on the following page shows future debt service payments on all of the District's outstanding general obligation bonds, including the Bonds.

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COMBINED GENERAL OBLIGATION BONDED INDEBTEDNESS⁽¹⁾
Covina-Valley Unified School District

Year Ending August 1	2001 Authorization		2006 Authorization			2012 Authorization				Total Annual Debt Service
	2001 Series B Bonds	2011 Refunding Bonds	2007 Series B Bonds ⁽²⁾	2013 Refunding Bonds	Refunding Bonds ⁽³⁾	2012 Series A Bonds	2012 Series B Bonds	New Money Bonds	2012 Series C-1 Bonds ⁽⁴⁾	
2016	\$2,180,000.00	\$1,188,862.50	\$1,365,000.00	\$2,433,725.00	--	\$2,551,950.00	\$1,870,340.98	--	--	\$11,589,878.48
2017	2,270,000.00	1,232,612.50	1,405,000.00	2,557,925.00	\$679,883.19	1,168,750.00	2,487,556.26	\$403,865.97	\$1,030,000.00	13,235,592.92
2018	2,380,000.00	1,289,612.50	1,445,000.00	2,697,025.00	739,450.00	1,168,750.00	1,681,556.26	439,250.00	1,060,000.00	12,900,643.76
2019	2,485,000.00	1,331,062.50	1,475,000.00	2,829,025.00	739,450.00	1,168,750.00	1,681,556.26	439,250.00	830,000.00	12,979,093.76
2020	2,595,000.00	1,348,562.50	1,495,000.00	2,969,225.00	1,249,450.00	1,168,750.00	1,681,556.26	439,250.00	430,000.00	13,376,793.76
2021	2,705,000.00	1,418,062.50	1,530,000.00	3,107,025.00	1,289,150.00	1,168,750.00	1,681,556.26	439,250.00	520,000.00	13,858,793.76
2022	2,825,000.00	1,441,812.50	1,555,000.00	3,254,650.00	1,311,550.00	1,168,750.00	1,681,556.26	439,250.00	610,000.00	14,287,568.76
2023	2,945,000.00	1,486,812.50	1,585,000.00	3,525,650.00	1,342,150.00	1,168,750.00	1,681,556.26	439,250.00	710,000.00	14,884,168.76
2024	3,075,000.00	1,551,812.50	1,605,000.00	3,939,250.00	1,360,550.00	1,168,750.00	1,681,556.26	439,250.00	810,000.00	15,631,168.76
2025	3,130,000.00	1,664,062.50	1,620,000.00	4,128,050.00	1,377,150.00	1,168,750.00	1,681,556.26	439,250.00	--	15,208,818.76
2026	3,265,000.00	1,710,312.50	1,630,000.00	4,325,250.00	1,386,950.00	1,168,750.00	2,096,556.26	439,250.00	--	16,022,068.76
2027	5,265,000.00	--	1,655,000.00	4,508,750.00	1,410,150.00	1,168,750.00	2,214,106.26	439,250.00	--	16,661,006.26
2028	5,505,000.00	--	1,660,000.00	4,675,250.00	1,416,150.00	1,168,750.00	2,337,075.00	669,250.00	--	17,431,475.00
2029	--	--	1,795,000.00	4,754,750.00	1,550,550.00	1,203,750.00	2,439,812.50	690,050.00	--	12,433,912.50
2030	--	--	1,815,000.00	4,970,750.00	1,572,550.00	1,247,525.00	2,542,475.00	719,650.00	--	12,867,950.00
2031	--	--	1,870,000.00	5,160,750.00	1,625,800.00	1,299,725.00	2,644,575.00	752,650.00	--	13,353,500.00
2032	--	--	7,195,000.00	--	6,951,000.00	1,350,000.00	2,751,950.00	778,850.00	--	19,026,800.00
2033	--	--	--	--	--	1,403,350.00	2,860,950.00	813,450.00	--	5,077,750.00
2034	--	--	--	--	--	1,459,600.00	2,976,450.00	841,050.00	--	5,277,100.00
2035	--	--	--	--	--	1,518,850.00	3,092,700.00	876,850.00	--	5,488,400.00
2036	--	--	--	--	--	1,579,350.00	3,219,200.00	915,450.00	--	5,714,000.00
2037	--	--	--	--	--	1,645,850.00	3,344,950.00	951,650.00	--	5,942,450.00
2038	--	--	--	--	--	1,707,850.00	2,944,450.00	1,145,450.00	--	5,797,750.00
2039	--	--	--	--	--	1,780,350.00	2,853,450.00	1,250,450.00	--	5,884,250.00
2040	--	--	--	--	--	1,847,600.00	3,762,200.00	1,064,850.00	--	6,674,650.00
2041	--	--	--	--	--	1,923,200.00	3,915,000.00	1,105,050.00	--	6,943,250.00
2042	--	--	--	--	--	1,999,400.00	4,071,000.00	1,137,250.00	--	7,207,650.00
2043	--	--	--	--	--	2,081,000.00	4,234,600.00	1,111,800.00	--	7,427,400.00
2044	--	--	--	--	--	2,162,600.00	4,315,000.00	1,081,200.00	--	7,558,800.00
2045	--	--	--	--	--	2,252,300.00	--	1,050,600.00	--	3,302,900.00
2046	--	--	--	--	--	2,340,250.00	--	--	--	2,340,250.00
2047	--	--	--	--	--	2,436,225.00	--	--	--	2,436,225.00
2048	--	--	--	--	--	2,529,550.00	--	--	--	2,529,550.00
2049	--	--	--	--	--	2,630,000.00	--	--	--	2,630,000.00
2050	--	--	--	--	--	2,736,900.00	--	--	--	2,736,900.00
2051	--	--	--	--	--	2,844,575.00	--	--	--	2,844,575.00
2052	--	--	--	--	--	2,962,575.00	--	--	--	2,962,575.00
Total	<u>\$40,625,000.00</u>	<u>\$15,663,587.50</u>	<u>\$32,700,000.00</u>	<u>\$59,837,050.00</u>	<u>\$26,001,933.19</u>	<u>\$63,519,325.00</u>	<u>\$76,426,847.34</u>	<u>\$21,751,915.97</u>	<u>\$6,000,000.00</u>	<u>\$342,525,659.00</u>

⁽¹⁾ Mature August 1, except the 2001 Series B Bonds, which mature June 1.

⁽²⁾ Includes debt service on the Refunded Bonds expected to be refinanced with proceeds of the Refunding Bonds on the Crossover Date. Prior to the Crossover Date, the Refunded Bonds will remain general obligations of the District payable solely from *ad valorem* property taxes. See "THE BONDS – Application and Investment of Bond Proceeds" herein.

⁽³⁾ Prior to the Crossover Date, debt service due on the Refunding Bonds is payable solely from proceeds of the Refunding Bonds deposited into the Escrow Fund. From and after the Crossover Date, such debt service shall be payable solely from the proceeds of an *ad valorem* property tax required to be levied by the County on taxable property within the District in an amount sufficient for the payment thereof. See "THE BONDS - Security and Sources of Payment" herein.

⁽⁴⁾ Concurrently with the issuance of the Bonds, the District expects to issue its 2012 Series C-1 Bonds. See "INTRODUCTION – Concurrent Borrowing" herein.

Source: Covina-Valley Unified School District.

2008 Qualified Zone Academy Bonds. On December 19, 2008, the District entered into a lease-lease back agreement whereby the District is leasing Fairvalley High School from the Covina-Valley Unified School District Facilities Finance Corporation in exchange for repaying qualified zone academy bonds (“2008 QZABs”). The purpose of the agreement was to provide \$5,000,000 for financing the cost of purchasing equipment and certain improvements to District property. The District is required to make annual repayments, which are invested in a special fund. As of June 30, 2015, the outstanding balance on the 2008 QZABs was \$3,264,693, not including the repayment amount already set aside.

**2008 QZAB ANNUAL PAYMENTS
Covina-Valley Unified School District**

Year Ending <u>June 30</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2016	\$341,886	\$32,647	\$374,533
2017	358,980	29,228	388,208
2018	376,929	25,638	402,567
2019	395,775	21,869	417,644
2020	415,564	17,911	433,475
2021-2023	<u>1,375,559</u>	<u>27,959</u>	<u>1,403,518</u>
Total	<u>\$3,264,693</u>	<u>\$155,252</u>	<u>\$3,419,945</u>

Source: Covina-Valley Unified School District.

Capital Leases. The District has entered into agreements to lease various facilities and equipment (the “Capital Leases”). The District’s liability on the Capital Leases with options to purchase are as summarized below:

	<u>Equipment</u>
Balance, July 1, 2014	\$246,756
Payments	<u>123,378</u>
Balance, June 30, 2015	<u>\$123,378</u>

The capital leases have minimum lease payments as follows:

<u>Year Ending June 30,</u>	<u>Lease Payment</u>
2016	\$123,378
Less: Amount Representing Interest	<u>(14,588)</u>
Present Value of Minimum Lease Payments	<u>\$108,790</u>

Source: Covina-Valley Unified School District.

TAX MATTERS

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California (“Bond Counsel”), under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State of California personal income tax. Bond Counsel notes that, with respect to corporations, interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income which may affect the alternative minimum tax liability of corporations.

The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of the same series and maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by the Bond Owner will increase the Bond Owner's basis in the Bond. In the opinion of Bond Counsel, the amount of original issue discount that accrues to the owner of the Bond is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

Bond Counsel's opinion as to the exclusion from gross income of interest (and original issue discount) on the Bonds is based upon certain representations of fact and certifications made by the District and others and is subject to the condition that the District complies with all requirements of the Internal Revenue Code of 1986, as amended (the "Code"), that must be satisfied subsequent to the issuance of the Bonds to assure that interest (and original issue discount) on the Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause the interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

The amount by which a Bond Owner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Code; such amortizable Bond premium reduces the Bond Owner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bond Owner realizing a taxable gain when a Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Owner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The Internal Revenue Service (the "IRS") has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and targeted audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of similar bonds). No assurance can be given that in the course of an audit, as a result of an audit, or otherwise, Congress or the IRS might not change the Code (or interpretation thereof) subsequent to the issuance of the Bonds to the extent that it adversely affects the exclusion from gross income of interest on the Bonds or their market value.

SUBSEQUENT TO THE ISSUANCE OF THE BONDS, THERE MIGHT BE FEDERAL, STATE OR LOCAL STATUTORY CHANGES (OR JUDICIAL OR REGULATORY INTERPRETATIONS OF FEDERAL, STATE OR LOCAL LAW) THAT AFFECT THE FEDERAL, STATE OR LOCAL TAX TREATMENT OF THE INTEREST ON THE BONDS OR THE MARKET VALUE OF THE BONDS. LEGISLATIVE CHANGES HAVE BEEN PROPOSED IN CONGRESS, WHICH, IF ENACTED, WOULD RESULT IN ADDITIONAL FEDERAL INCOME TAX BEING IMPOSED ON CERTAIN OWNERS OF TAX-EXEMPT STATE OR LOCAL OBLIGATIONS SUCH AS THE BONDS. THE INTRODUCTION OR ENACTMENT OF ANY SUCH CHANGES COULD ADVERSELY AFFECT THE MARKET VALUE OR LIQUIDITY OF THE BONDS. NO ASSURANCE CAN BE GIVEN THAT, SUBSEQUENT TO THE ISSUANCE OF THE BONDS, SUCH CHANGES (OR OTHER CHANGES) WILL NOT BE INTRODUCED OR ENACTED OR

INTERPRETATIONS WILL NOT OCCUR. BEFORE PURCHASING ANY OF BONDS, ALL POTENTIAL PURCHASERS SHOULD CONSULT THEIR TAX ADVISORS REGARDING POSSIBLE STATUTORY CHANGES OR JUDICIAL OR REGULATORY CHANGES OR INTERPRETATIONS, AND THEIR COLLATERAL TAX CONSEQUENCES RELATING TO THE BONDS.

Bond Counsel's opinions may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. Bond Counsel has not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolutions and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of bond counsel is provided with respect thereto. Bond Counsel expresses no opinion as to the effect on the exclusion from gross income of interest (and original issue discount) on the Bonds for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than Stradling Yocca Carlson & Rauth.

Although Bond Counsel has rendered an opinion that interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes provided that the District continues to comply with certain requirements of the Code, the ownership of the Bonds and the accrual or receipt of interest (and original issue discount) on the Bonds may otherwise affect the tax liability of certain persons. Bond Counsel expresses no opinion regarding any such tax consequences. Accordingly, before purchasing any of the Bonds, all potential purchasers should consult their tax advisors with respect to collateral tax consequences relating to the Bonds.

Copies of the proposed forms of opinion of Bond Counsel are attached hereto as APPENDIX A.

LEGAL MATTERS

Legality for Investment in California

Under provisions of the State Financial Code, the Bonds are legal investments for commercial banks in the State to the extent that the Bonds, in the informed opinion of the bank, are prudent for the investment of funds of depositors, and, under provisions of the State Government Code, are eligible for security for deposits of public moneys in the State.

Expanded Reporting Requirements

On May 17, 2006, the President signed the Tax Increase Prevention and Reconciliation Act of 2005 ("TIPRA"). Under Section 6049 of the Internal Revenue Code of 1986, as amended by TIPRA, interest paid on tax-exempt obligations will be subject to information reporting in a manner similar to interest paid on taxable obligations. The effective date for this provision is for interest paid after December 31, 2005, regardless of when the tax-exempt obligations were issued. The purpose of this change was to assist in relevant information gathering for the IRS relating to other applicable tax provisions. TIPRA provides that backup withholding may apply to such interest payments made after March 31, 2007 to any bondholder who fails to file an accurate Form W-9 or who meets certain other criteria. The information reporting and backup withholding requirements of TIPRA do not affect the excludability of such interest from gross income for federal income tax purposes.

Escrow Verification

Upon delivery of the Bonds, the Verification Agent will deliver a report on the mathematical accuracy of certain computations based upon certain information and assertions provided to them by the Underwriter relating to (a) the adequacy of the maturing principal of and interest on the Federal Securities in the Escrow Fund, together with any moneys held therein as cash, to pay interest on the Refunding Bonds due on and prior to the Crossover Date, and to redeem the Refunded Bonds on the Crossover Date and (b) the computations of yield of the Bonds and the Federal Securities in the Escrow Fund which support Bond Counsel's opinion that the interest on the Bonds is excluded from gross income for federal income tax purposes.

Continuing Disclosure

Current Undertaking. In connection with the issuance of the Bonds, the District has covenanted for the benefit of the Owners and Beneficial Owners of the Bonds to provide certain financial information and operating data relating to the District (the "Annual Report") by not later than nine months following the end of the District's fiscal year (which currently ends June 30), commencing with the report for the 2015-16 fiscal year, and to provide notices of the occurrence of certain listed events. The Annual Report and notices of listed events will be filed by the District in accordance with the requirements of the Rule. The specific nature of the information to be contained in the Annual Report or the notices of listed events is included in "APPENDIX C – FORM OF CONTINUING DISCLOSURE CERTIFICATE" attached hereto. These covenants have been made in order to assist the Underwriter in complying with the Rule.

Prior Undertakings. Within the last five years, the District failed to file in a timely manner certain annual reports and portions of certain annual reports. Specifically, the District filed the fiscal year 2010-11 annual report approximately two weeks late for the 2001 Series A Bonds, the fiscal year 2011-12 annual report approximately two weeks late for the 2011 Refunding Bonds, the fiscal year 2012-13 annual report less than three months late for the District's then-outstanding general obligation bonds, and the fiscal year 2013-14 annual report approximately two months late for the 2001 Series B Bonds. Additionally, the District failed to file the assessed valuation of the District for certain required years in the annual report for fiscal year 2010-11. In connection with the annual reports described above, and within the last five years, the District has never filed a notice of a failure to provide annual financial information, on or before the date specified in its prior continuing disclosure undertakings. Within such time period, the District has also failed to file in a timely manner certain notices of listed events.

Litigation

No litigation is pending or threatened concerning the validity of the Bonds, and a certificate to that effect will be furnished to purchasers at the time of the original delivery of the Bonds. The District is not aware of any litigation pending or threatened questioning the political existence of the District or contesting the District's ability to receive *ad valorem* property taxes or to collect other revenues or contesting the District's ability to issue and retire the Bonds.

There are a small number of lawsuits and claims pending against the District. In the opinion of the District, the aggregate amount of the uninsured liabilities of the District under these lawsuits and claims will not materially affect the finances of the District.

Financial Statements

The financial statements with supplemental information for the year ended June 30, 2015, the independent auditor's report of the District, and the related statements of activities and of cash flows for the year then ended, and the report dated December 1, 2015, of Vavrinek, Trine, Day & Co., LLP (the "Auditor"), are attached to this Official Statement as APPENDIX B. In connection with the inclusion of the financial statements and the report of the Auditor thereon as APPENDIX B to this Official Statement, the District did not request the Auditor to, and the Auditor has not undertaken to, update its report or to take any action intended or likely to elicit information concerning the accuracy, completeness or fairness of the statements made in this Official Statement, and no opinion is expressed by the Auditor with respect to any event subsequent to the date of its report.

Legal Opinions

The legal opinions of Bond Counsel approving the validity of the Bonds will be supplied to the original purchasers thereof without cost. The proposed forms of such legal opinions are attached to this Official Statement as APPENDIX A.

MISCELLANEOUS

Rating

The Bonds have been assigned a rating of "Aa3" by Moody's. The rating reflects only the views of the rating agency, and any explanation of the significance of such rating should be obtained from the rating agency at the following address: Moody's, 7 World Trade Center at 250 Greenwich, New York, NY 10007. Generally, rating agencies base their ratings on information and materials furnished to them (which may include information and material from the District which is not included in this Official Statement) and on investigations, studies and assumptions by the rating agencies. There is no assurance that the rating will be retained for any given period of time or that the same will not be revised downward or withdrawn entirely by the rating agency if, in the judgment of the rating agency, circumstances so warrant. The District undertakes no responsibility to oppose any such revision or withdrawal. Any such downward revision or withdrawal of the rating obtained may have an adverse effect on the market price of the Bonds.

The District has covenanted in a Continuing Disclosure Certificate to file on the Municipal Securities Rulemaking Board's Electronic Municipal Market Access website ("EMMA") notices of any rating changes on the Bonds. See "APPENDIX C - FORM OF CONTINUING DISCLOSURE CERTIFICATE" attached hereto. Notwithstanding such covenant, information relating to rating changes on the Bonds may be publicly available from the rating agency prior to such information being provided to the District and prior to the date the District is obligated to file a notice of rating change on EMMA. Purchasers of the Bonds are directed to the rating agency and its website and official media outlets for the most current rating changes with respect to the Bonds after the initial issuance of the Bonds.

Underwriting

Wells Fargo Bank, National Association (the "Underwriter") has agreed, pursuant to a purchase contract by and between the District and the Underwriter, to purchase all of the New Money Bonds for a purchase price of \$12,902,327.05 (which is equal to the principal amount of the New Money Bonds of \$12,000,000.00, plus net original issue premium of \$952,508.50, and less an underwriting discount of \$50,181.45).

The Underwriter has agreed, pursuant to a purchase contract by and between the District and the Underwriter, to purchase all of the Refunding Bonds for a purchase price of \$19,854,357.93 (which is equal to the principal amount of the Refunding Bonds of \$16,410,000.00, plus original issue premium of \$3,512,981.05, and less an underwriting discount of \$68,623.12).

The purchase contracts for the Bonds provide that the Underwriter will purchase all of the Bonds if any are purchased, the obligation to make such purchase being subject to certain terms and conditions set forth in such purchase contracts, the approval of certain legal matters by bond counsel and certain other conditions. The initial offering prices stated on the inside cover pages of this Official Statement may be changed from time to time by the Underwriter. The Underwriter may offer and sell Bonds to certain dealers and others at prices lower than such initial offering prices.

Underwriter Disclosure. Wells Fargo Bank, National Association, acting through its Municipal Products Group (“WFBNA”), the sole underwriter of the Bonds, has entered into an agreement (the “WFA Distribution Agreement”) with its affiliate, Wells Fargo Advisors, LLC (“WFA”), for the distribution of certain municipal securities offerings, including the Bonds. Pursuant to the WFA Distribution Agreement, WFBNA will share a portion of its underwriting compensation, as applicable, with respect to the Bonds with WFA. WFBNA has also entered into an agreement (the “WFSLLC Distribution Agreement”) with its affiliate Wells Fargo Securities, LLC (“WFSLLC”), for the distribution of municipal securities offerings, including the Bonds. Pursuant to the WFSLLC Distribution Agreement, WFBNA pays a portion of WFSLLC’s expenses based on its municipal securities transactions. WFBNA, WFSLLC, and WFA are each wholly-owned subsidiaries of Wells Fargo & Company.

Wells Fargo Securities is the trade name for certain securities-related capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Bank, National Association which conducts its municipal securities sales, trading and underwriting operations through the Wells Fargo Bank, NA Municipal Products Group, a separately identifiable department of Wells Fargo Bank, National Association, registered with the Securities and Exchange Commission as a municipal securities dealer pursuant to Section 15B(a) of the Securities Exchange Act of 1934.

Additional Information

The purpose of this Official Statement is to supply information to prospective buyers of the Bonds. Quotations from and summaries and explanations of the Bonds, the Resolutions providing for issuance of the Bonds, and the constitutional provisions, statutes and other documents referenced herein, do not purport to be complete, and reference is made to said documents, constitutional provisions and statutes for full and complete statements of their provisions.

Certain of the data contained herein has been taken or constructed from District records. Appropriate District officials, acting in their official capacities, have reviewed this Official Statement and have determined that, as of the date hereof, the information contained herein is, to the best of their knowledge and belief, true and correct in all material respects and does not contain an untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made herein, in light of the circumstances under which they were made, not misleading. This Official Statement has been approved by the District.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended only as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or owners, beneficial or otherwise, of any of the Bonds.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

By: /s/ Richard M. Sheehan, Ed.D.
Superintendent

APPENDIX A

FORMS OF OPINION OF BOND COUNSEL

Upon issuance and delivery of the Bonds, Stradling Yocca Carlson & Rauth, Bond Counsel, proposes to render its final approving opinion with respect to the New Money Bonds substantially in the following form:

August 31, 2016

Board of Education
Covina-Valley Unified School District

Members of the Board of Education:

We have examined a certified copy of the record of the proceedings relative to the issuance and sale of \$12,000,000 Covina-Valley Unified School District Election of 2012 General Obligation Bonds, Series C (the “Bonds”). As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based on our examination as bond counsel of existing law, certified copies of such legal proceedings and such other proofs as we deem necessary to render this opinion, we are of the opinion, as of the date hereof and under existing law, that:

1. Such proceedings and proofs show lawful authority for the issuance and sale of the Bonds pursuant to Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code, a greater than fifty-five percent vote of the qualified electors of the Covina-Valley Unified School District (the “District”) voting at an election held on November 6, 2012, and a resolution adopted by the Board of Education of the District on June 27, 2016 (the “Resolution”).
2. The Bonds constitute valid and binding general obligations of the District, payable as to both principal and interest from the proceeds of a levy of *ad valorem* taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount.
3. Under existing statutes, regulations, rulings and judicial decisions, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations; however, it should be noted that, with respect to corporations, such interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of such corporations.
4. Interest on the Bonds is exempt from State of California personal income tax.
5. The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bonds constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bondowner before receipt of cash attributable to such excludable income. The

amount of original issue discount deemed received by a Bondowner will increase the Bondowner's basis in the applicable Bond. Original issue discount that accrues to the Bondowner is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

6. The amount by which a Bondowner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Internal Revenue Code of 1986, as amended (the "Code"); such amortizable Bond premium reduces the Bondowner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bondowner realizing a taxable gain when a Bond is sold by the Bondowner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Bondowner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The opinions expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolution and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest (and original issue discount) for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than ourselves. Other than expressly stated herein, we express no opinion regarding tax consequences with respect to the Bonds.

The opinions expressed herein as to the exclusion from gross income of interest (and original issue discount) on the Bonds are based upon certain representations of fact and certifications made by the District and others and are subject to the condition that the District complies with all requirements of the Code, that must be satisfied subsequent to the issuance of the Bonds to assure that such interest (and original issue discount) will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

It is possible that subsequent to the issuance of the Bonds there might be federal, state, or local statutory changes (or judicial or regulatory interpretations of federal, state, or local law) that affect the federal, state, or local tax treatment of the Bonds or the market value of the Bonds. No assurance can be given that subsequent to the issuance of the Bonds such changes or interpretations will not occur.

The rights of the owners of the Bonds and the enforceability thereof may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases and by the limitations on legal remedies against public agencies in the State of California.

Respectfully submitted,

Stradling Yocca Carlson & Rauth

Upon issuance and delivery of the Bonds, Stradling Yocca Carlson & Rauth, Bond Counsel, proposes to render its final approving opinion with respect to the Refunding Bonds substantially in the following form:

August 31, 2016

Board of Education
Covina-Valley Unified School District

Members of the Board of Education:

We have examined a certified copy of the record of the proceedings relative to the issuance and sale of \$16,410,000 Covina-Valley Unified School District 2016 General Obligation Refunding Bonds (2019 Crossover) (the “Bonds”). As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based on our examination as bond counsel of existing law, certified copies of such legal proceedings and such other proofs as we deem necessary to render this opinion, we are of the opinion, as of the date hereof and under existing law, that:

1. Such proceedings and proofs show lawful authority for the issuance and sale of the Bonds pursuant to Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California (the “Act”), and a resolution adopted by the Board of Education of the Covina-Valley Unified School District on June 27, 2016 (the “Resolution”).

2. The Bonds, prior to August 1, 2019 (the “Crossover Date”), will be secured by and payable solely from proceeds of the Bonds on deposit in an escrow fund established therefor. From and after the Crossover Date, the Bonds shall constitute valid and binding general obligations of the District, payable as to both principal and interest from the proceeds of a levy of *ad valorem* taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount.

3. Under existing statutes, regulations, rulings and judicial decisions, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations; however, it should be noted that, with respect to corporations, such interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of such corporations.

4. Interest on the Bonds is exempt from State of California personal income tax.

5. The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bonds constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bondowner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a Bondowner will increase the Bondowner’s basis in the applicable Bond. Original issue discount that accrues to the Bondowner is excluded from the gross income of such owner for federal income tax purposes, is

not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

6. The amount by which a Bondowner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Internal Revenue Code of 1986, as amended (the "Code"); such amortizable Bond premium reduces the Bondowner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bondowner realizing a taxable gain when a Bond is sold by the Bondowner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Bondowner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The opinions expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolution and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest (and original issue discount) for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than ourselves. Other than expressly stated herein, we express no opinion regarding tax consequences with respect to the Bonds.

The opinions expressed herein as to the exclusion from gross income of interest (and original issue discount) on the Bonds are based upon certain representations of fact and certifications made by the District and others and are subject to the condition that the District complies with all requirements of the Code, that must be satisfied subsequent to the issuance of the Bonds to assure that such interest (and original issue discount) will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

It is possible that subsequent to the issuance of the Bonds there might be federal, state, or local statutory changes (or judicial or regulatory interpretations of federal, state, or local law) that affect the federal, state, or local tax treatment of the Bonds or the market value of the Bonds. No assurance can be given that subsequent to the issuance of the Bonds such changes or interpretations will not occur.

The rights of the owners of the Bonds and the enforceability thereof may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases, and to the limitations on legal remedies against public agencies in the State of California.

Respectfully submitted,

Stradling Yocca Carlson & Rauth

APPENDIX B

2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT

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COVINA-VALLEY UNIFIED SCHOOL DISTRICT

ANNUAL FINANCIAL REPORT

JUNE 30, 2015

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

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COVINA-VALLEY UNIFIED SCHOOL DISTRICT

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JUNE 30, 2015

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FINANCIAL SECTION



INDEPENDENT AUDITOR'S REPORT

Governing Board
Covina-Valley Unified School District
Covina, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Covina-Valley Unified School District (the District) as of and for the year ended June 30, 2015, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2014-2015 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* issued by the California Education Audit Appeals Panel as regulations. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the Covina-Valley Unified School District, as of June 30, 2015, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter - Change in Accounting Principles

As discussed in Note 1 and 18 to the financial statements, in 2015, the District adopted new accounting guidance, GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the required supplementary information, such as management's discussion and analysis on pages 5 through 16 and budgetary comparison, other postemployment benefit (OPEB) funding progress, District's proportionate share of the net pension liability, and District contribution information on pages 71 through 75, respectively, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Covina-Valley Unified School District's basic financial statements. The accompanying supplementary information such as the combining and individual nonmajor fund financial statements and Schedule of Expenditures of Federal Awards, as required by Office of Management and Budget Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations* and the other supplementary information as listed on the table of contents are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The accompanying supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 1, 2015, on our consideration of the Covina-Valley Unified School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Covina-Valley Unified School District's internal control over financial reporting and compliance.

VAOVNEN, TIZING. Day + CUP

Rancho Cucamonga, California
December 1, 2015



COVINA-VALLEY

UNIFIED SCHOOL DISTRICT

District Superintendent

Richard M. Sheehan, Ed.D.

Board of Education

Sonia Frasquillo

Charles M. Kemp

Sue L. Maulucci

Darrell A. Myrick

Richard M. White

This section of Covina-Valley Unified School District's (the District) annual financial report presents our discussion and analysis of the District's financial performance during the fiscal year that ended on June 30, 2015. Please read it in conjunction with the District's financial statements, which immediately follow this section.

OVERVIEW OF THE FINANCIAL STATEMENTS

The Financial Statements

The financial statements presented herein include all of the activities of the District and its component units using the integrated approach as prescribed by Governmental Accounting Standards Board (GASB) Statement No. 34.

The *Government-Wide Financial Statements* present the financial picture of the District from the economic resources measurement focus using the accrual basis of accounting. They present governmental activities and business-type activities separately. These statements include all assets of the District (including capital assets), as well as all liabilities (including long-term obligations). Additionally, certain eliminations have occurred as prescribed by the statement in regards to interfund activity, payables, and receivables.

The *Fund Financial Statements* include statements for each of the three categories of activities: governmental, business-type, and fiduciary.

The *Governmental Funds* are prepared using the current financial resources measurement focus and modified accrual basis of accounting.

The *Fiduciary Funds* are prepared using the economic resources measurement focus and the accrual basis of accounting.

Reconciliation of the Fund Financial Statements to the Government-Wide Financial Statements is provided to explain the differences created by the integrated approach.

The Primary unit of the government is the Covina-Valley Unified School District.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

REPORTING THE DISTRICT AS A WHOLE

The Statement of Net Position and the Statement of Activities

The *Statement of Net Position* and the *Statement of Activities* report information about the District as a whole and about its activities. These statements include all assets and liabilities of the District using the accrual basis of accounting, which is similar to the accounting used by most private-sector companies. All of the current year's revenues and expenses are taken into account regardless of when cash is received or paid.

These two statements report the District's net position and changes in them. Net position is the difference between assets and deferred outflows of resources, and liabilities and deferred inflows of resources, which is one way to measure the District's financial health, or financial position. Over time, increases or decreases in the District's net position will serve as a useful indicator of whether the financial position of the District is improving or deteriorating. Other factors to consider are changes in the District's property tax base and the condition of the District's facilities.

The relationship between revenues and expenses is the District's *operating results*. Since the governing board's responsibility is to provide services to our students and not to generate profit as commercial entities do, one must consider other factors when evaluating the overall health of the District. The quality of the education and the safety of our schools will likely be an important component in this evaluation.

In the *Statement of Net Position* and the *Statement of Activities*, we separate the District activities as follows:

Governmental Activities - Most of the District's services are reported in this category. This includes the education of kindergarten through grade twelve students, adult education students, the operation of child development activities, and the on-going effort to improve and maintain buildings and sites. Property taxes, State income taxes, user fees, interest income, Federal, State, and local grants, as well as general obligation bonds, finance these activities.

Business-Type Activities - The District charges fees to help it cover the costs of certain services it provides. The District's Daycare Before and After School programs and services are included here.

REPORTING THE DISTRICT'S MOST SIGNIFICANT FUNDS

Fund Financial Statements

The fund financial statements provide detailed information about the most significant funds - not the District as a whole. Some funds are required to be established by State law and by bond covenants. However, management establishes many other funds to help it control and manage money for particular purposes or to show that it is meeting legal responsibilities for using certain taxes, grants, and other money that it receives from the U.S. Department of Education.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2015

Governmental Funds - Most of the District's basic services are reported in governmental funds, which focus on how money flows into and out of those funds and the balances left at year-end that are available for spending. These funds are reported using an accounting method called modified accrual accounting, which measures cash and all other financial assets that can readily be converted to cash. The governmental fund statements provide a detailed short-term view of the District's general government operations and the basic services it provides. Governmental fund information helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. The differences of results in the governmental fund financial statements to those in the government-wide financial statements are explained in a reconciliation following each governmental fund financial statement.

Proprietary Funds - When the District charges users for the services it provides, whether to outside customers or to other departments within the District, these services are generally reported in proprietary funds. Proprietary funds are reported in the same way that all activities are reported in the *Statement of Net Position* and the *Statement of Revenues, Expenses, and Changes in Fund Net Position*. In fact, the District's enterprise funds are the same as the business-type activities we report in the government-wide statements, but provide more detail and additional information, such as cash flows, for proprietary funds. We use internal service funds (the other component of proprietary funds) to report activities that provide supplies and services for the District's other programs and activities, such as the District's Self-Insurance Fund. The internal service funds are reported with governmental activities in the government-wide financial statements.

THE DISTRICT AS A TRUSTEE

Reporting the District's Fiduciary Responsibilities

The District is the trustee, or *fiduciary*, for funds held on behalf of others, like our funds for associated student body activities, scholarships, employee retiree benefits, pensions and pass through of special education funding. The District's fiduciary activities are reported in the *Fiduciary Funds - Statement of Net Position*. We exclude these activities from the District's other financial statements because the District cannot use these assets to finance its operations. The District is responsible for ensuring that the assets reported in these funds are used for their intended purposes.

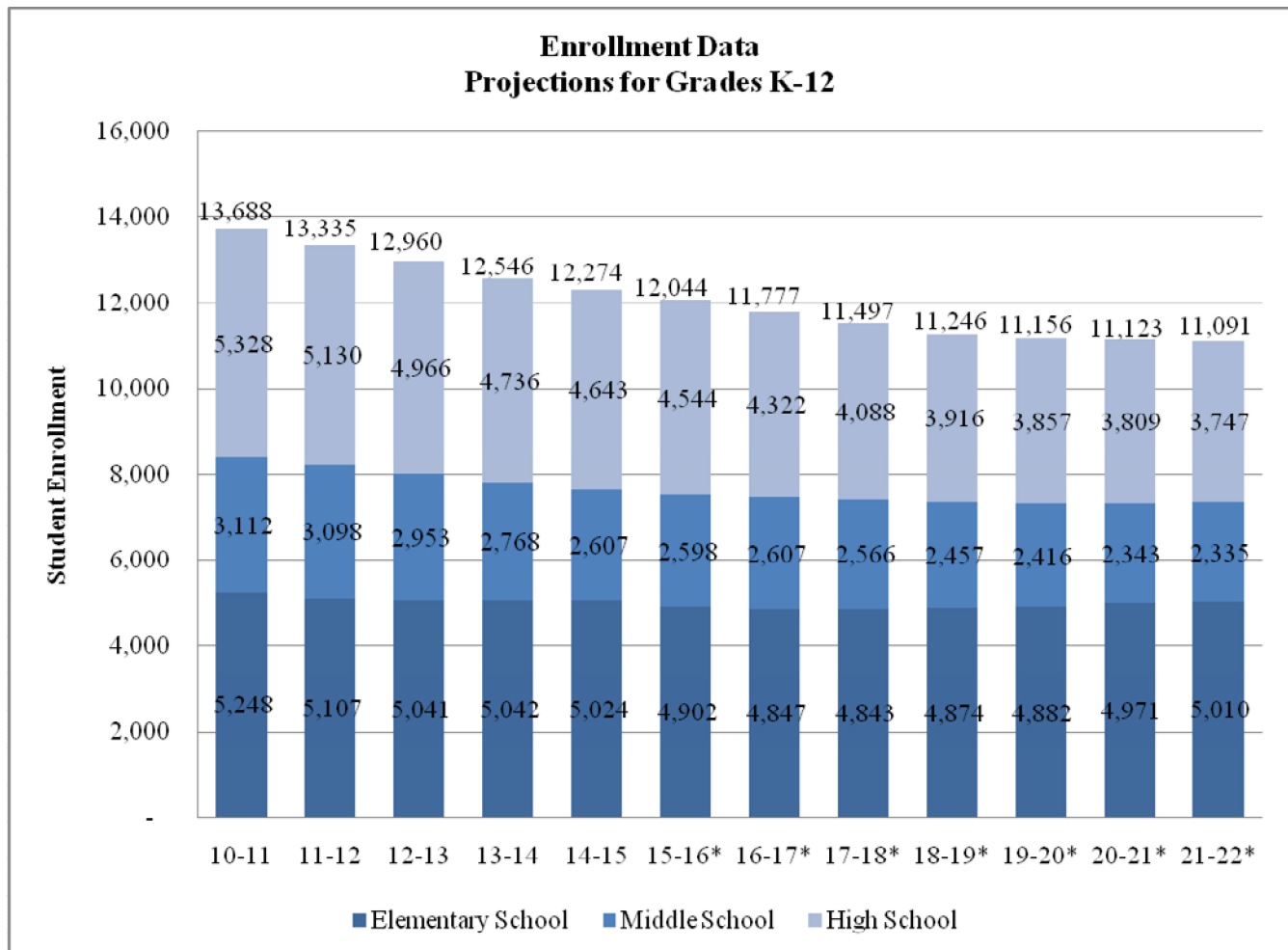
COVINA-VALLEY UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2015

FINANCIAL HIGHLIGHTS

The Local Control Funding Formula (LCFF) was adopted in the 2013-2014 State Budget Act under Assembly Bill AB97. In 2014-2015, enrollment decreased by 2.21 percent and funded ADA decreased by 2.45 percent which resulted in a loss of \$1.05 million in revenue. Using the 2014-2015 as the base student enrollment, the District projects cumulatively during fiscal years 2015-2016, 2016-2017, and 2017-2018 a potential loss of \$8.2 million due to declining enrollment.



The District's limited resources were reevaluated and directed towards maintaining strong educational programs for students served by the District. Further discussions regarding the educational programs of the District are covered later in this report.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

THE DISTRICT AS A WHOLE

Net Position

The District's net position was \$(95.2) million for the fiscal year ended June 30, 2015. Of this amount, \$(117.8) million was unrestricted. Restricted net position are reported separately to show legal constraints from debt covenants and enabling legislation that limit the governing board's ability to use those net position for day-to-day operations. Our analysis below, in summary form, focuses on the net position (Table 1) and change in net position (Table 2) of the District's governmental activities.

Table 1

(Amounts in millions)	Governmental Activities		Business-Type Activities		Total	
	2015	2014 as restated	2015	2014	2015	2014 as restated
Assets						
Current and other assets	\$ 52.7	\$ 90.9	\$ 0.6	\$ 0.3	\$ 53.3	\$ 91.2
Capital assets	124.6	110.5	-	-	124.6	110.5
Total Assets	177.3	201.4	0.6	0.3	177.9	201.7
Deferred Outflows of Resources	7.3	6.2	-	-	7.3	6.2
Liabilities						
Current liabilities	21.3	32.1	0.1	-	21.4	32.1
Long-term obligations	148.2	154.6	-	-	148.2	154.6
Aggregate net pension liability	86.7	109.8	-	-	86.7	109.8
Total Liabilities	256.2	296.5	0.1	-	256.3	296.5
Deferred Inflows of Resources	24.0	-	-	-	24.0	-
Net Position						
Net investment in capital assets	5.1	6.8	-	-	5.1	6.8
Restricted	17.0	19.6	0.5	0.3	17.5	19.9
Unrestricted	(117.8)	(115.3)	-	-	(117.8)	(115.3)
Total Net Position, as Restated	\$ (95.7)	\$ (88.9)	\$ 0.5	\$ 0.3	\$ (95.2)	\$ (88.6)

The \$(117.8) million in unrestricted net position of governmental activities represents the accumulated results of all past years' operations.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

Changes in Net Position

The results of this year's operations for the District as a whole are reported in the *Statement of Activities* on page 18. Table 2 takes the information from the Statement, rounds off the numbers, and rearranges them slightly so you can see our total revenues for the year.

Table 2

(Amounts in millions)	Governmental Activities		Business Activities		School District Activities	
	2015	2014	2015	2014	2015	2014
Revenues						
Program revenues:						
Charges for services	\$ 3.6	\$ 3.5	\$ -	\$ -	\$ 3.6	\$ 3.5
Operating grants and contributions	22.7	25.6	-	-	22.7	25.6
General revenues:						
Federal and State aid not restricted	85.2	79.0	-	-	85.2	79.0
Property taxes	24.0	21.3	-	-	24.0	21.3
Other general revenues	5.7	6.4	3.0	2.9	8.7	9.3
Total Revenues	141.2	135.8	3.0	2.9	144.2	138.7
Expenses						
Instruction-related	100.4	93.8	-	-	100.4	93.8
Pupil services	14.0	13.4	-	-	14.0	13.4
Administration	7.7	9.9	-	-	7.7	9.9
Plant services	13.8	13.7	-	-	13.8	13.7
Other	12.0	16.8	2.9	2.8	14.9	19.6
Total Expenses	\$ 147.9	\$ 147.6	\$ 2.9	\$ 2.8	\$ 150.8	\$ 150.4

Governmental Activities

As reported in the *Statement of Activities* on page 18, the cost of all of our governmental activities this year was \$147.9 million. However, the amount that our taxpayers ultimately financed for these activities through local taxes was only \$24.0 million because the cost was paid by those who benefited from the programs \$(3.6 million) or by other governments and organizations who subsidized certain programs with grants and contributions \$(22.7 million). We paid for the remaining "public benefit" portion of our governmental activities with \$90.9 million in State funds and with other revenues, like interest and general entitlements.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

In Table 3, we have presented the cost and net cost of each of the District's largest functions: instruction-related, pupil services, administration, plant services, and all other costs. As discussed above, net cost shows the financial burden that was placed on the District's taxpayers by each of these functions. Providing this information allows our citizens to consider the cost of each function in comparison to the benefits they believe are provided by that function.

Table 3

(Amounts in millions)	Total Cost of Services		Net Cost of Services	
	2015	2014	2015	2014
Instruction-related	\$ 100.4	\$ 93.8	\$ 84.5	\$ 76.3
Pupil services	14.0	13.4	6.9	6.1
Administration	7.7	9.9	6.3	8.8
Plant services	13.8	13.7	13.6	13.4
Other	12.0	16.8	10.4	13.9
Total	\$ 147.9	\$ 147.6	\$ 121.7	\$ 118.5

THE DISTRICT'S FUNDS

As the District completed this year, our governmental funds reported a combined fund balance of \$30.2 million, which is a decrease of \$26.3 million from last year (Table 4).

Table 4

(Amounts in millions)	Balances and Activity			
	July 1, 2014	Revenues	Expenditures	June 30, 2015
General Fund	\$ 19.8	\$ 124.6	\$ 129.1	\$ 15.3
Cafeteria Fund	5.3	6.3	5.7	5.9
Building Fund	25.1	0.1	22.4	2.8
Bond Interest and Redemption Fund	6.3	9.1	9.4	6.0
Child Development Fund	-	1.7	1.7	-
Capital Facilities Fund	-	0.2	-	0.2
Total	\$ 56.5	\$ 142.0	\$ 168.3	\$ 30.2

The primary reasons for these increases and decreases are:

- As the District's principal operating funding, the General Fund, is comprised of unrestricted as well as restricted dollars. The General Fund is used to account for the ordinary operations of the District. All transactions except those accounted for in another fund are accounted for in this fund.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

In accordance with GASB Statement No. 54 requirements, the fund balance for the General Fund is inclusive of all financial activity recorded in the Adult Education Fund and the Deferred Maintenance Fund. In addition, the fund balance includes all the financial activity for the East San Gabriel Valley SELPA. The District serves as the Administrative Unit for the SELPA and records all financial activity under a sub fund within the District's General Fund.

In total, the General Fund balance decreased by \$4.5 million. A breakdown of the changes is shown on the table below:

Unrestricted General Fund	(\$2.1 million)
Restricted General Fund	(\$0.7 million)
SELPA Reserve Fund	(\$1.2 million)
Deferred Maintenance Fund	(\$0.5 million)

- The Cafeteria Fund is used to account separately for Federal, State, and local resources to operate the Nutrition Services program. The Cafeteria Fund increased by \$.6 million.
- The Building Fund is primarily utilized to account bond proceeds and record expenditures in accordance with bond language. The fund balance in the Building Fund is by \$2.8 million.
- The Bond Interest and Redemption Fund are used for the repayment of bonds issued by the District. The Bond Interest and Redemption fund decreased by \$.3 million primarily due to an increase in tax collection.
- The Fund balances in the Child Development Fund and the Capital Facilities Fund remained fairly stable from the prior year, showing a net increase of approximately \$.2 million.

General Fund Budgetary Highlights

Over the course of the year, the District revises its budget as it attempts to deal with unexpected changes in revenues and expenditures. (A schedule showing the District's original and final budget amounts compared with amounts actually paid and received is provided in our annual report on page 71.)

The anticipated ending balance for the General Fund was projected at \$15.3 million, based on final budgetary revisions through June 30, 2015. Based on year-end totals, the ending fund balance was \$15.3 million, reflecting no change over earlier projections. The decrease in reserves is mainly attributed to under projected LCFF revenues and over projected expenditures.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2015, the District had \$124.6 million in a broad range of capital assets (net of depreciation), including land, buildings, furniture, and equipment. This amount represents a net increase (including additions, deductions, and depreciation) of just over \$14.1 million, or 12.8 percent, from last year (Table 5).

Table 5

(Amounts in millions)	Governmental Activities		Business-Type Activities		Total	
	2015	2014	2015	2014	2015	2014
Land and construction in progress	\$ 25.2	\$ 13.8	\$ -	\$ -	\$ 25.2	\$ 13.8
Buildings and improvements	98.0	95.0	-	-	98.0	95.0
Equipment	1.4	1.7	-	-	1.4	1.7
Total	\$ 124.6	\$ 110.5	\$ -	\$ -	\$ 124.6	\$ 110.5

This year's additions included capital lease agreements, building improvements, and classroom equipment such as computers. No new debt was issued for these additions.

Several capital projects are planned for the 2015-2016 year. We present more detailed information about our capital assets in Note 4 to the financial statements.

Long-Term Obligations

At the end of this year, the District had \$148.2 million in long-term obligations outstanding versus \$154.6 million last year, a decrease of 4.1 percent. Those long-term obligations consisted of:

Table 6

(Amounts in millions)	Governmental Activities		Business-Type Activities		Total	
	2015	2014	2015	2014	2015	2014
General Obligation Bonds - net (financed with property taxes)	\$ 138.3	\$ 143.0	\$ -	\$ -	\$ 138.3	\$ 143.0
Qualified Zone Academy Bonds	3.3	3.6	-	-	3.3	3.6
Capitalized lease obligations	0.1	0.2	-	-	0.1	0.2
Compensated absences	1.4	1.3	-	-	1.4	1.3
Early retirement incentives	3.5	4.5	-	-	3.5	4.5
Other postemployment benefits	-	0.1	-	-	-	0.1
Claims liability	1.6	1.9	-	-	1.6	1.9
Total	\$ 148.2	\$ 154.6	\$ -	\$ -	\$ 148.2	\$ 154.6

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

The District's General Obligation Bond rating continues to be "Aa3." The State limits the amount of general obligation debt that districts can issue to five percent of the assessed value of all taxable property within the District's boundaries. The District's outstanding net obligation debt of \$138.3 million is below statutorily-imposed limit of \$196.8 million.

Other obligations include payable compensated absences, other postemployment benefits, and other long-term obligations. We present more detailed information regarding our long-term obligations in Note 9 of the financial statements.

SIGNIFICANT ACCOMPLISHMENTS OF FISCAL YEAR 2014-2015 ARE NOTED BELOW:

Accomplishments to support student learning during the 2014-2015 school year included professional development activities for teachers, administrators and classified staff to support the District's priorities to increase student achievement, close the achievement gap, and create a four-year college going culture. The primary goal for C-VUSD is to prepare all students for the 21st century and ensure college and career readiness. The District focused on its Theory of Action in which leadership and collaboration lead to innovation. A 21st Century Advisory Committee and LCAP Advisory Committee were utilized to bring District stakeholders together to refine the District's mission. Also implemented was a District Gold Standard that focused on academic competencies and habits of mind; college readiness course of study; engaging 21st century skills; connectedness; safe learning environment; highly qualified team; and uniform practices and decision-making.

Staff development focused on building expertise in Common Core curriculum development, technology integration, Effective First Instruction, rigor and depth of knowledge. Administrators, teachers-leaders, and staff all received intensive training in essential learning. Implementation of revised deconstruction of standards, pacing, and benchmark development were communicated. K-12 teachers and administrators participated in training focused on the Common Core Standards and Smarter Balanced Assessments. All teachers continued implementation of the Common Core Standards and Smarter Balanced Assessments. Report cards and technology competencies were revised which led to alignment to 21st century skills and college readiness, integration of technology and K-12 rubrics for the 4C's. Thinking Maps and Write From the Beginning training was provided to administrators, and trainer-of-trainer at all schools. Implementation of the career tech academy, career pathways, certification programs, associate degrees and world language assisted to build a four-year college-going culture. Support structures, such as articulation, continue to build greater District-wide coherence. In an effort to increase communication with all stakeholders, LCAP meetings, advisory meetings, surveys and training was provided on a variety of topics to increase staff, parent and student access to grades and other pertinent information from home, thereby increasing communication between home and school. The District updated the District and all site web pages to enhance access to important information.

The District continued to analyze data specific to subgroups and Program Improvement sites. The Local Control Accountability Plan (LCAP) was carefully revised and monitored to ensure that these recommendations were integrated into all District program areas. The District continued to ensure alignment of expenditures and purchases toward achievement of the recommendations through the review of each of the Single Plans for Student Achievement, professional development, and purchase orders. The 2014-2015 budget was built with a focus on the goals of the District, specific actions noted in the LCAP, and major support to Program Improvement schools and subgroups exhibiting gaps.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2015

For 2014-2015, school districts did not receive an Academic Performance Index (API) Score. Therefore, the District's API remained at the 800 target. Over a nine-year period, C-VUSD experienced a 100-point gain in the Academic Performance Indicator (API) scores from 699 in 2003-2004 to 800 in 2013-2014.

ECONOMIC FACTORS AND NEXT YEAR'S BUDGETS AND RATES

In considering the District Adopted Budget for the 2015-16 fiscal year, the Governing Board and management used the following criteria:

The key assumptions in our revenue forecast are:

- LCFF Revenue is budgeted at \$8,900 per ADA, comprised 1.02 percent COLA, 70 percent Unduplicated and 53.08 percent LCFF Funding Gap. Enrollment projections indicate a decline in student population that directly affects the LCFF Revenue Funding. Projected Second Period Apportionment (P2 ADA) is projected at 11,692, included 50.57 LACOE operated programs ADA. The District will be funded on the prior year P2 ADA of 12,057.85.
- LCFF income is budgeted at \$107.6 million, an increase of \$11.1 million, or 11.5 percent from the prior year. This included property tax revenues budgeted at \$12.1 million and EPA revenues budgeted at \$14.8 million.
- Federal Income is budgeted at \$5.4 million, a decrease of \$1.4 million. The increase is mainly attributed to Title I, II, III carryovers and Special Education.
- State income is budgeted at \$20.6 million, an increase of \$6.9 million. The increase is mainly attributed to Prop. 39 Clean Energy of \$1.0 million and one-time funds for outstanding mandated claims.
- Other Local Revenue is budgeted at \$4.7 million, same level as previous year.
- Interest income from reserves held at the Los Angeles County Treasury Office is projected at \$200 thousand with an interest rate of 0.7 percent; same level as previous year.
- Unrestricted Lottery Revenue is budgeted at \$1.6 million, a decrease of \$378 thousand over the prior year due to Adult Education and ROC/P ADA not included in Lottery funding beginning 2015-2016.
- Restricted Lottery Revenue is budgeted at \$0.52 million, a decrease of \$73 thousand from prior year.

Expenditures are based on the following forecasts:

- Health and Welfare costs are expected to increase by \$1.1 million from the prior year.
- The contribution for statutory benefits is equal to 13.20 percent for certificated personnel and 20.517 percent for classified personnel.
- Salary projections incorporate added costs for step, column, and longevity totaling approximately \$2.4 million.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

- Substitute teacher costs are budgeted at \$1.4 million.
- Liability and property damage insurance is budgeted at \$0.5 million.
- Utilities and other operating costs are budgeted at \$3.5 million.
- The following represent projected certificated personal staffing ratios:

	Staffing Ratio	Enrollment
Grades kindergarten through three	24:1	3,287
Grades four through five	33:1	1,615
Grades sixth through twelve	33:1	7,142

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, students, and investors and creditors with a general overview of the District's finances and to show the District's accountability for the money it receives. If you have questions about this report or need any additional financial information, contact Jennifer Root, the Chief Business Officer at Covina-Valley Unified School District, 519 East Badillo Street, Covina, California, 91723 or e-mail at jroot@cvusd.k12.ca.us.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

STATEMENT OF NET POSITION JUNE 30, 2015

	Governmental Activities	Business-Type Activities	Total
ASSETS			
Deposits and investments	\$ 44,437,662	\$ 425,988	\$ 44,863,650
Receivables	8,019,613	143,405	8,163,018
Stores inventories	144,399	37,632	182,031
Net OPEB assets	58,307	-	58,307
Capital Assets			
Land and construction in process	25,220,385	-	25,220,385
Other capital assets	194,042,662	-	194,042,662
Less: Accumulated depreciation	(94,668,046)	-	(94,668,046)
Total Capital Assets	124,595,001	-	124,595,001
Total Assets	177,254,982	607,025	177,862,007
DEFERRED OUTFLOWS OF RESOURCES			
Current year pension contribution	7,308,991	-	7,308,991
LIABILITIES			
Accounts payable	19,583,661	150,286	19,733,947
Accrued interest payable	1,528,724	-	1,528,724
Unearned revenue	222,580	-	222,580
Current portion of long-term obligations other than pensions	7,651,418	-	7,651,418
Noncurrent portion of long-term obligations other than pensions	140,575,797	-	140,575,797
Total Long-Term Obligations	148,227,215	-	148,227,215
Aggregate net pension liability	86,716,607	-	86,716,607
Total Liabilities	256,278,787	150,286	256,429,073
DEFERRED INFLOWS OF RESOURCES			
Difference between projected and actual earnings on pension plan investments	23,073,217	-	23,073,217
Net change in proportionate share of netpension liability	904,677	-	904,677
Total Deferred Inflows of Resources	23,977,894	-	23,977,894
NET POSITION			
Net investment in capital assets	5,128,612	-	5,128,612
Restricted for:			
Debt service	4,457,516	-	4,457,516
Capital projects	182,312	-	182,312
Educational programs	5,467,288	-	5,467,288
Other activities	5,822,669	-	5,822,669
Other restrictions	1,032,569	456,739	1,489,308
Unrestricted	(117,783,674)	-	(117,783,674)
Total Net Position	\$ (95,692,708)	\$ 456,739	\$ (95,235,969)

The accompanying notes are an integral part of these financial statements.

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COVINA-VALLEY UNIFIED SCHOOL DISTRICT

STATEMENT OF ACTIVITIES FOR THE YEAR ENDED JUNE 30, 2015

Functions/Programs	Expenses	Program Revenues	
		Charges for Services and Sales	Operating Grants and Contributions
Governmental Activities:			
Instruction	\$ 85,407,246	\$ 1,760,364	\$ 10,978,446
Instruction-related activities:			
Supervision of instruction	4,503,850	268,457	1,541,435
Instructional library, media, and technology	1,509,924	-	1,056,095
School site administration	8,947,912	35,624	241,608
Pupil services:			
Home-to-school transportation	2,663,982	205	483
Food services	5,472,858	677,520	4,823,627
All other pupil services	5,897,158	185,490	1,447,612
Administration:			
Data processing	2,184,423	-	-
All other administration	5,496,625	188,624	1,173,928
Plant services	13,846,441	37,652	232,897
Facility acquisition and construction	2,101,047	-	-
Enterprise services	52,926	-	-
Interest on long-term obligations	5,096,203	-	-
Other outgo	4,785,496	458,725	1,175,093
Total Governmental Activities	147,966,091	3,612,661	22,671,224
Business-Type Activities			
Enterprise services	2,863,891	-	-
Total Business-Type Activities	2,863,891	-	-
Total School District Activities	\$ 150,829,982	\$ 3,612,661	\$ 22,671,224

General revenues and subventions:

Property taxes, levied for general purposes
 Property taxes, levied for debt service
 Taxes levied for other specific purposes
 Federal and State aid not restricted to specific purposes
 Interest and investment earnings
 Transfers
 Miscellaneous

Subtotal, General Revenues

Change in Net Position

Net Position - Beginning, as restated
 Net Position - Ending

The accompanying notes are an integral part of these financial statements.

Net (Expenses) Revenues and Changes in Net Position		
Governmental Activities	Business- Type Activities	Total
\$ (72,668,436)	\$ -	\$ (72,668,436)
(2,693,958)	-	(2,693,958)
(453,829)	-	(453,829)
(8,670,680)	-	(8,670,680)
(2,663,294)	-	(2,663,294)
28,289	-	28,289
(4,264,056)	-	(4,264,056)
(2,184,423)	-	(2,184,423)
(4,134,073)	-	(4,134,073)
(13,575,892)	-	(13,575,892)
(2,101,047)	-	(2,101,047)
(52,926)	-	(52,926)
(5,096,203)	-	(5,096,203)
(3,151,678)	-	(3,151,678)
(121,682,206)	-	(121,682,206)
-	(2,863,891)	(2,863,891)
-	(2,863,891)	(2,863,891)
(121,682,206)	(2,863,891)	(124,546,097)
14,642,588	-	14,642,588
9,069,771	-	9,069,771
256,392	-	256,392
85,183,840	-	85,183,840
514,625	1,996	516,621
(1,552,634)	1,552,634	-
6,733,074	1,492,929	8,226,003
114,847,656	3,047,559	117,895,215
(6,834,550)	183,668	(6,650,882)
(88,858,158)	273,071	(88,585,087)
\$ (95,692,708)	\$ 456,739	\$ (95,235,969)

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

GOVERNMENTAL FUNDS

BALANCE SHEET

JUNE 30, 2015

	General Fund	Cafeteria Fund	Building Fund
ASSETS			
Deposits and investments	\$ 22,142,338	\$ 5,059,825	\$ 5,402,553
Receivables	6,633,264	919,626	46,256
Stores inventories	87,507	56,892	-
Total Assets	\$ 28,863,109	\$ 6,036,343	\$ 5,448,809
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 13,326,524	\$ 156,782	\$ 2,650,644
Unearned revenue	222,580	-	-
Total Liabilities	13,549,104	156,782	2,650,644
Fund Balances:			
Nonspendable	122,507	56,892	-
Restricted	5,449,677	5,822,669	2,798,165
Assigned	541,740	-	-
Unassigned	9,200,081	-	-
Total Fund Balances	15,314,005	5,879,561	2,798,165
Total Liabilities and Fund Balances	\$ 28,863,109	\$ 6,036,343	\$ 5,448,809

The accompanying notes are an integral part of these financial statements.

Bond Interest and Redemption Fund	Non-Major Governmental Funds	Total Governmental Funds
\$ 5,986,240	\$ (25,803)	\$ 38,565,153
-	313,260	7,912,406
-	-	144,399
<u>\$ 5,986,240</u>	<u>\$ 287,457</u>	<u>\$ 46,621,958</u>
\$ -	\$ 87,534	\$ 16,221,484
-	-	222,580
<u>-</u>	<u>87,534</u>	<u>16,444,064</u>
-	-	179,399
5,986,240	199,923	20,256,674
-	-	541,740
-	-	9,200,081
<u>5,986,240</u>	<u>199,923</u>	<u>30,177,894</u>
<u>\$ 5,986,240</u>	<u>\$ 287,457</u>	<u>\$ 46,621,958</u>

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT OF NET POSITION JUNE 30, 2015

Total Fund Balance - Governmental Funds		\$ 30,177,894
Amounts Reported for Governmental Activities in the Statement of Net Position are Different Because:		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds.		
The cost of capital assets is	\$ 219,263,047	
Accumulated depreciation is	<u>(94,668,046)</u>	
Net Capital Assets		124,595,001
Expenditures relating to contributions made to pension plans were recognized on the modified accrual basis, but are not recognized on the accrual basis.		7,308,991
Expenditures relating to postemployment benefits were recognized on the modified accrual basis, but contributions made in excess of the annual required contribution (ARC) should be recorded as an asset in the government-wide financial statements.		58,307
In governmental funds, unmatured interest on long-term obligations is recognized in the period when it is due. On the government-wide financial statements, unmatured interest on long-term obligations is recognized when it is incurred.		(1,528,724)
An internal service fund is used by the District's management to charge the costs of the workers' compensation insurance program to the individual funds. The assets and liabilities of the internal service fund are included with governmental activities.		1,032,569
The net change in proportionate share of net pension liability as of the measurement date is not recognized as an expenditure under the modified accrual basis, but is recognized on the accrual basis over the expected remaining service life of members receiving pension benefits.		(904,677)
The difference between projected and actual earnings on pension plan investments are not recognized on the modified accrual basis, but are recognized on the accrual basis as an adjustment to pension expense.		(23,073,217)
Net pension liability is not due and payable in the current period, and is not reported as a liability in the funds.		(86,716,607)
Long-term obligations at year-end consist of:		
General obligation bonds	(111,306,141)	
Unamortized premium	(7,584,930)	
Qualified zone academy bonds	(3,264,693)	
Capital leases	(108,790)	
Compensated absences (vacations)	(1,422,001)	
Early retirement incentives	(3,515,397)	
In addition, the District has issued "capital appreciation" bonds. The accretion of interest on those bonds to date is:	(19,440,293)	
Total Long-Term Obligations		(146,642,245)
Total Net Position - Governmental Activities		\$ <u>(95,692,708)</u>

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COVINA-VALLEY UNIFIED SCHOOL DISTRICT

GOVERNMENTAL FUNDS

STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE YEAR ENDED JUNE 30, 2015

	General Fund	Cafeteria Fund	Building Fund
REVENUES			
Local Control Funding Formula	\$ 96,381,587	\$ -	\$ -
Federal sources	6,686,542	5,085,936	-
Other State sources	15,407,114	411,336	-
Other local sources	6,192,639	775,031	130,974
Total Revenues	124,667,882	6,272,303	130,974
EXPENDITURES			
Current			
Instruction	76,774,059	-	-
Instruction-related activities:			
Supervision of instruction	4,437,404	-	-
Instructional library, media, and technology	1,489,213	-	-
School site administration	8,708,231	-	-
Pupil services:			
Home-to-school transportation	2,402,903	-	-
Food services	-	5,383,333	-
All other pupil services	5,539,121	-	-
Administration:			
Data processing	2,130,309	-	-
All other administration	5,926,886	271,742	-
Plant services	13,194,951	65,619	-
Facility acquisition and construction	1,618,210	-	22,049,842
Other outgo	4,785,496	-	-
Enterprise services	25,633	-	-
Debt service			
Principal	96,996	2,543	325,606
Interest and other	345,479	-	35,903
Total Expenditures	127,474,891	5,723,237	22,411,351
Excess (Deficiency) of Revenue Over Expenditures	(2,807,009)	549,066	(22,280,377)
Other Financing Sources (Uses)			
Transfers in	-	-	-
Transfers out	(1,652,880)	-	-
Net Financing Sources (Uses)	(1,652,880)	-	-
NET CHANGE IN FUND BALANCES	(4,459,889)	549,066	(22,280,377)
Fund Balance - Beginning	19,773,894	5,330,495	25,078,542
Fund Balance - Ending	\$ 15,314,005	\$ 5,879,561	\$ 2,798,165

The accompanying notes are an integral part of these financial statements.

Bond Interest and Redemption Fund	Non-Major Governmental Funds	Total Governmental Funds
\$ -	\$ -	\$ 96,381,587
-	400,910	12,173,388
82,969	1,141,139	17,042,558
9,060,743	229,649	16,389,036
9,143,712	1,771,698	141,986,569
-	1,331,190	78,105,249
-	78,643	4,516,047
-	-	1,489,213
-	57,934	8,766,165
-	-	2,402,903
-	15,902	5,399,235
-	192	5,539,313
-	-	2,130,309
-	111,519	6,310,147
-	106,105	13,366,675
-	-	23,668,052
-	-	4,785,496
-	-	25,633
5,750,000	-	6,175,145
3,686,363	-	4,067,745
9,436,363	1,701,485	166,747,327
(292,651)	70,213	(24,760,758)
-	100,245	100,245
-	-	(1,652,880)
-	100,245	(1,552,635)
(292,651)	170,458	(26,313,393)
6,278,891	29,465	56,491,287
\$ 5,986,240	\$ 199,923	\$ 30,177,894

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES TO THE STATEMENT OF ACTIVITIES FOR THE YEAR ENDED JUNE 30, 2015

Total Net Change in Fund Balances - Governmental Funds	\$	(26,313,393)
Amounts Reported for Governmental Activities in the Statement of Activities are Different Because:		
Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures; however, for governmental activities, those costs are shown in the Statement of Net Position and allocated over their estimated useful lives as annual depreciation expenses in the Statement of Activities.		
This is the amount by which capital outlays exceeds depreciation in the period.		
Capital outlays	\$	21,582,862
Depreciation expense		<u>(7,446,790)</u>
Net Expense Adjustment		14,136,072
In the Statement of Activities, certain operating expenses, such as compensated absences (vacations) are measured by the amounts earned during the year. In the governmental funds, however, expenditures for these items are measured by the amount of financial resources used (essentially, the amounts actually paid). This year, early retirement incentives paid were \$985,093. Vacation earned was more than the amounts used by \$90,420.		894,673
Contributions for postemployment benefits are recorded as an expense in the governmental funds when paid. However, the difference between the annual required contribution and the actual contribution made, if less, is recorded in the government wide statements as an expense. The actual amount of the contribution was more than the annual required contribution.		159,158
In the governmental funds, pension costs are based on employer contributions made to pension plans during the year. However, in the Statement of Activities, pension expense is the net effect of all changes in the deferred outflows, deferred inflows and net pension liability during the year.		154,539
Governmental funds report the effect of premiums, discounts, and the deferred charges on a refunding when the debt is issued, whereas the amounts are deferred and amortized in the Statement of Activities.		
Premium on issuance		1,302,961
Repayment of debt obligations is an expenditure in the governmental funds, but it reduces long-term obligations in the Statement of Net Position and does not affect the Statement of Activities:		
General obligation bonds		5,750,000
Qualified zone academy bonds		325,606
Capital lease obligations		99,539
Interest on long-term obligations in the Statement of Activities differs from the amount reported in the governmental funds because interest is recorded as an expenditure in the funds when it is due, and thus requires the use of current financial resources. In the Statement of Activities, however, interest expense is recognized as the interest accrues, regardless of when it is due. The additional interest reported in the Statement of Activities is the result of two factors. First, accrued interest on the general obligation bonds decreased by \$38,551, and second, \$2,369,970 of accumulated interest was accreted on the District's "capital appreciation" general obligation bonds.	\$	(2,331,419)
An internal service fund is used by the District's management to charge the costs of the workers' compensation program to the individual funds. The net revenue of the Internal Service Fund is reported with governmental activities.		(1,012,286)
Change in Net Position of Governmental Activities	\$	<u>(6,834,550)</u>

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

PROPRIETARY FUNDS STATEMENT OF NET POSITION JUNE 30, 2015

	Business-Type Enterprise Fund Child Care Fund	Governmental Activities Internal Service Fund
ASSETS		
Current Assets		
Deposits and investments	\$ 425,988	\$ 5,872,509
Receivables	143,405	107,207
Stores inventories	37,632	-
Total Current Assets	607,025	5,979,716
LIABILITIES		
Current Liabilities		
Accounts payable	150,286	3,362,177
Current portion of long-term obligations	-	798,823
Total Current Liabilities	150,286	4,161,000
Noncurrent Liabilities		
Noncurrent portion of long-term obligations	-	786,147
NET POSITION		
Restricted	456,739	1,032,569
Total Net Position	\$ 456,739	\$ 1,032,569

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

PROPRIETARY FUNDS

STATEMENT OF REVENUES, EXPENSES, AND CHANGES

IN FUND NET POSITION

FOR THE YEAR ENDED JUNE 30, 2015

	Business-Type Activities Enterprise Fund Child Care Fund	Governmental Activities Internal Service Fund
OPERATING REVENUES		
Local and intermediate sources	\$ 1,492,931	\$ 14,313,598
OPERATING EXPENSES		
Payroll costs	1,405,750	-
Supplies and materials	170,792	-
Facility rental	31,093	-
Other operating cost	1,256,256	15,350,615
Total Operating Expenses	2,863,891	15,350,615
Operating Loss	(1,370,960)	(1,037,017)
NONOPERATING REVENUES		
Interest income	1,993	24,731
Transfers in	1,552,635	-
Total Nonoperating Revenues	1,554,628	24,731
Change in Net Position	183,668	(1,012,286)
Total Net Position - Beginning	273,071	2,044,855
Total Net Position - Ending	\$ 456,739	\$ 1,032,569

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

PROPRIETARY FUNDS STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2015

	Business-Type Activities Enterprise Fund Child Care Fund	Governmental Activities Internal Service Fund
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash receipts from customers	\$ 1,355,265	\$ 129,735
Cash receipts from interfund services provided	-	14,187,732
Cash payments to other suppliers of goods or services	(75,613)	(15,192,950)
Cash payments to employees for services	(1,405,750)	-
Other operating cash payments	(1,287,349)	-
Net Cash Used by Operating Activities	(1,413,447)	(875,483)
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES		
Transfers from other funds	1,552,635	-
CASH FLOWS FROM INVESTING ACTIVITIES		
Interest on investments	1,993	24,731
Net Increase (Decrease) in Cash and Cash Equivalents	141,181	(850,752)
Cash and Cash Equivalents - Beginning	284,807	6,723,261
Cash and Cash Equivalents - Ending	\$ 425,988	\$ 5,872,509
RECONCILIATION OF OPERATING LOSS TO NET CASH USED BY OPERATING ACTIVITIES		
Operating loss	\$ (1,370,960)	\$ (1,037,017)
Adjustments to reconcile operating loss to net cash used by operating activities:		
Changes in assets and liabilities:		
Receivables	(137,666)	3,869
Inventories	(37,632)	-
Accrued liabilities	132,811	413,029
Claims liability	-	(255,364)
NET CASH USED BY OPERATING ACTIVITIES	\$ (1,413,447)	\$ (875,483)

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

FIDUCIARY FUNDS

STATEMENT OF NET POSITION

JUNE 30, 2015

	Student Body Fund	Special Education Pass-Through Fund
ASSETS		
Deposits and investments	\$ 589,070	\$ 62,023
Receivables	-	10,736,538
Stores inventories	29,196	-
Total Assets	\$ 618,266	\$ 10,798,561
LIABILITIES		
Accounts payable	\$ 47,979	\$ -
Due to student groups	570,287	-
Due to member districts	-	10,798,561
Total Liabilities	\$ 618,266	\$ 10,798,561

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Financial Reporting Entity

The Covina-Valley Unified School District (the District) was unified on December 15, 1959 under the laws of the State of California. The District operates under a locally elected five-member Board form of government and provides educational services to grades K-12 as mandated by the State and/or Federal agencies. The District operates ten elementary schools, three middle schools, three high schools, an alternative high school, a children's center program and adult education centers.

A reporting entity is comprised of the primary government, component units, and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments, boards, and agencies that are not legally separate from the District. For Covina-Valley Unified School District, this includes general operations, food service, and student related activities of the District.

Component Units

Component units are legally separate organizations for which the District is financially accountable. Component units may also include organizations that are fiscally dependent on the District, in that the District approves their budget, the issuance of their debt or the levying of their taxes. In addition, component units are other legally separate organizations for which the District is not financially accountable but the nature and significance of the organization's relationship with the District is such that exclusion would cause the District's financial statements to be misleading or incomplete.

The District has financial and operational relationships with the Covina-Valley Unified School District Facilities Finance Corporation (Corporation), as represented by the Qualified Zone Academy Bonds, which meets the reporting entity definition criteria of GASB Statement No. 14, *The Financial Reporting Entity*, as a component unit of the District. Accordingly, the financial activities of the Corporation have been included in the financial statements of the District.

For financial presentation purposes, the Corporation's financial activity has been blended, or combined, with the financial data for the District. The financial statements present the Corporation's financial activity within the Building Fund. Qualified zone academy bonds issued are included as long-term obligation in the government-wide financial statements.

Basis of Presentation - Fund Accounting

The accounting system is organized and operated on a fund basis. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts, which are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. The District's funds are grouped into three broad fund categories: governmental, proprietary, and fiduciary.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Governmental Funds Governmental funds are those through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses, and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets and liabilities is reported as fund balance. The following are the District's major and non-major governmental funds:

Major Governmental Funds

General Fund The General Fund is the chief operating fund for all districts. It is used to account for the ordinary operations of the District. All transactions except those accounted for in another fund are accounted for in this fund.

Two funds currently defined as special revenue funds in the California State Accounting Manual (CSAM) do not meet the GASB Statement No. 54 special revenue fund definition. Specifically, Fund 11, Adult Education Fund and Fund 14, Deferred Maintenance Fund, are not substantially composed of restricted or committed revenue sources. While these funds are authorized by statute and will remain open for internal reporting purposes, these funds function effectively as an extension of the General Fund, and accordingly have been combined with the General Fund for presentation in these audited financial statements.

As a result, the General Fund reflects an increase in assets, fund balance, revenues, and expenditures and other uses of \$74,468, \$74,468, \$108,517, and \$563,713, respectively.

Cafeteria Fund The Cafeteria Fund is used to account separately for Federal, State, and local resources to operate the food service program (*Education Code* Sections 38090-38093) and is used only for those expenditures authorized by the governing board as necessary for the operation of the District's food service program (*Education Code* Sections 38091 and 38100).

Building Fund The Building Fund exists primarily to account separately for proceeds from the sale of bonds (*Education Code* Section 15146) and may not be used for any purposes other than those for which the bonds were issued.

Bond Interest and Redemption Fund The Bond Interest and Redemption Fund is used for the repayment of bonds issued for a district (*Education Code* Sections 15125-15262).

Non-Major Governmental Funds

Special Revenue Funds The Special Revenue funds are established to account for the proceeds from specific revenue sources (other than trusts, major capital projects, or debt service) that are restricted or committed to the financing of particular activities and that compose a substantial portion of the inflows of the fund. Additional resources that are restricted, committed, or assigned to the purpose of the fund may also be reported in the fund.

Child Development Fund The Child Development Fund is used to account separately for Federal, State, and local revenues to operate child development programs and is to be used only for expenditures for the operation of child development programs.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Capital Project Funds The Capital Project funds are used to account for financial resources that are restricted, committed, or assigned to the acquisition or construction of major capital facilities and other capital assets (other than those financed by proprietary funds and trust funds).

Capital Facilities Fund The Capital Facilities Fund is used primarily to account separately for monies received from fees levied on developers or other agencies as a condition of approving a development (*Education Code* Sections 17620-17626). Expenditures are restricted to the purposes specified in *Government Code* Sections 65970-65981 or to the items specified in agreements with the developer (*Government Code* Section 66006).

Proprietary Funds Proprietary funds are used to account for activities that are more business-like than government-like in nature. Business-type activities include those for which a fee is charged to external users or to other organizational units of the local education agency, normally on a full cost-recovery basis. Proprietary funds are generally intended to be self-supporting and are classified as enterprise or internal service. The District has the following proprietary funds:

Internal Service Fund Internal service funds may be used to account for goods or services provided to other funds of the District in return for a fee to cover the cost of operations. The District operates a self-insurance fund that is accounted for as an internal service fund.

Enterprise Fund Enterprise funds may be used to account for any activity for which a fee is charged to external users for goods or services. The child care enterprise fund of the District accounts for the financial transactions related to the before and after day care operations of the District.

Fiduciary Funds Fiduciary funds are used to account for assets held in trustee or agent capacity for others that cannot be used to support the District's own programs. The fiduciary fund category is split into four classifications: pension trust funds, investment trust funds, private-purpose trust funds, and agency funds. The key distinction between trust and agency funds is that trust funds are subject to a trust agreement that affects the degree of management involvement and the length of time that the resources are held. Agency funds are custodial in nature (assets equal liabilities) and do not involve measurement of results of operations. Such funds have no equity accounts since all assets are due to individuals or entities at some future time. The District's agency funds account for student body activities (ASB), and for payroll and related expenses paid in advance.

The District is an Administrative Unit of East San Gabriel Valley SELPA. , The Special Education Pass-Through Fund, an agency fund, is used by the District to account for Special Education revenue passed through to the other member districts of the East San Gabriel Valley SELPA.

Basis of Accounting - Measurement Focus

Government - Wide Financial Statements The government-wide financial statements are prepared using the economic resources measurement focus and the accrual basis of accounting. This is the same approach used in the preparation of the proprietary fund financial statements, but differs from the manner in which governmental fund financial statements are prepared.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

The government-wide statement of activities presents a comparison between expenses, both direct and indirect, and program revenues for each segment of the business-type activities of the District and for each governmental function, and exclude fiduciary activity. Direct expenses are those that are specifically associated with a service, program, or department and are therefore, clearly identifiable to a particular function. Indirect expenses for centralized services and administrative overhead are allocated among the programs, functions, and segments using a full cost allocation approach. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the District. Eliminations have been made to minimize the double counting of internal activities.

Net position should be reported as restricted when constraints placed on net asset use are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation. The net position restricted for other activities result from special revenue funds and the restrictions on their net asset use.

Fund Financial Statements Fund financial statements report detailed information about the District. The focus of governmental and proprietary fund financial statements is on major funds rather than reporting funds by type. Each major fund is presented in a separate column. Non-major funds are aggregated and presented in a single column. The Internal Service Fund is presented in a single column on the face of the proprietary fund statements.

Governmental Funds All governmental funds are accounted for using the flow of current financial resources measurement focus and the modified accrual basis of accounting. With this measurement focus, only current assets and current liabilities generally are included on the balance sheet. The statement of revenues, expenditures, and changes in fund balances reports on the sources (revenues and other financing sources) and uses (expenditures and other financing uses) of current financial resources. This approach differs from the manner in which the governmental activities of the government-wide financial statements are prepared. Governmental fund financial statements, therefore, include reconciliations with brief explanations to better identify the relationship between the government-wide financial statements, prepared using the economic resources measurement focus and the accrual basis of accounting, and the governmental fund financial statements, prepared using the flow of current financial resources measurement focus and the modified accrual basis of accounting.

Proprietary Funds Proprietary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. All assets and all liabilities associated with the operation of this fund are included in the statement of net position. The statement of changes in fund net position presents increases (revenues) and decreases (expenses) in net total assets. The statement of cash flows provides information about how the District finances and meets the cash flow needs of its proprietary fund.

Fiduciary Funds Fiduciary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. Fiduciary funds are excluded from the government-wide financial statements because they do not represent resources of the District.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Revenues – Exchange and Non-Exchange Transactions Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter, to be used to pay liabilities of the current fiscal year. Generally, available is defined as collectible within 45 or 60 days. However, to achieve comparability of reporting among California districts and so as not to distort normal revenue patterns, with specific respect to reimbursement grants and corrections to State-aid apportionments, the California Department of Education has defined available for districts as collectible within one year. The following revenue sources are considered to be both measurable and available at fiscal year-end: State apportionments, interest, certain grants, and other local sources.

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, certain grants, entitlements, and donations. Revenue from property taxes is recognized in the fiscal year in which the taxes are received. Revenue from certain grants, entitlements, and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include time and purpose restrictions. On a modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Unearned Revenue Unearned revenue arises when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period or when resources are received by the District prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and revenue is recognized.

Certain grants received before the eligibility requirements are met are recorded as unearned revenue. On the governmental fund financial statements, receivables that will not be collected within the available period are also recorded as unearned revenue.

Expenses/Expenditures On the accrual basis of accounting, expenses are recognized at the time they are incurred. The measurement focus of governmental fund accounting is on decreases in net financial resources (expenditures) rather than expenses. Expenditures are generally recognized in the accounting period in which the related fund liability is incurred, if measurable, and typically paid within 90 days. Principal and interest on long-term obligations, which has not matured, are recognized when paid in the governmental funds as expenditures. Allocations of costs, such as depreciation and amortization, are not recognized in the governmental funds but are recognized in the entity-wide statements.

Cash and Cash Equivalents

The District's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition. Cash equivalents also include cash with county treasury balances for purposes of the statement of cash flows.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Investments

Investments held at June 30, 2015, with original maturities greater than one year are stated at fair value. Fair value is estimated based on quoted market prices at year-end. All investments not required to be reported at fair value are stated at cost or amortized cost. Fair values of investments in county and State investment pools are determined by the program sponsor.

Stores Inventories

Inventories consist of expendable food and supplies held for consumption. Inventories are stated at cost, on the weighted average basis. The costs of inventory items are recorded as expenditures in the governmental funds and expenses in the proprietary and fiduciary funds when used.

Capital Assets and Depreciation

The accounting and reporting treatment applied to the capital assets associated with a fund are determined by its measurement focus. Capital assets are long-lived assets of the District. The District maintains a capitalization threshold of \$15,000. The District does not possess any infrastructure. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized, but are expensed as incurred.

When purchased, such assets are recorded as expenditures in the governmental funds and capitalized in the government-wide statement of net position. The valuation basis for capital assets is historical cost, or where historical cost is not available, estimated historical cost based on replacement cost. Donated capital assets are capitalized at estimated fair market value on the date donated.

Capital assets in the proprietary funds are capitalized in the fund in which they are utilized. The valuation basis for proprietary fund capital assets is the same as those used for the capital assets of governmental funds.

Depreciation is computed using the straight-line method. Estimated useful lives of the various classes of depreciable capital assets are as follows: buildings, 25 to 50 years; improvements/infrastructure, 20 years; equipment, 5 to 15 years.

Interfund Balances

On fund financial statements, receivables and payables resulting from short-term interfund loans are classified as "interfund receivables/payables". These amounts are eliminated in the governmental and business-type activities columns of the statement of net position, except for the net residual amounts due between governmental and business-type activities, which are presented as internal balances.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Compensated Absences

Compensated absences are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the government-wide statement of net position. For governmental funds, the current portion of unpaid compensated absences is recognized upon the occurrence of relevant events such as employee resignations and retirements that occur prior to year-end that have not yet been paid with expendable available financial resources. These amounts are reported in the fund from which the employees who have accumulated leave are paid.

Sick leave is accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recognized as a liability in the District's financial statements. However, credit for unused sick leave is applicable to all classified school members who retire after January 1, 1999. At retirement, each member will receive .004 year of service credit for each day of unused sick leave. Credit for unused sick leave is applicable to all certificated employees and is determined by dividing the number of unused sick days by the number of base service days required to complete the last school year, if employed full-time.

Accrued Liabilities and Long - Term Obligations

All payables, accrued liabilities, and long-term obligations are reported in the government-wide and proprietary fund financial statements. In general, governmental fund payables and accrued liabilities that, once incurred, are paid in a timely manner and in full from current financial resources are reported as obligations of the governmental funds.

However, claims and judgments, compensated absences, special termination benefits, and contractually required pension contributions that will be paid from governmental funds are reported as a liability in the governmental fund financial statements only to the extent that they are due for payment during the current year. Bonds, capital leases, and other long-term obligations are recognized as liabilities in the governmental fund financial statements when due.

Debt Issuance Costs, Premiums and Discounts

In the government-wide financial statements and in the proprietary fund type financial statements, long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund statement of net position. Debt premiums and discounts are amortized over the life of the bonds using the straight-line method.

In governmental fund financial statements, bond premiums and discounts, as well as debt issuance costs are recognized in the current period. The face amount of the debt is reported as other financing sources. Premiums received on debt issuance are also reported as other financing sources. Issuance costs, whether or not withheld from the actual debt proceeds, are reported as debt service expenditures.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position also reports deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The District reports deferred outflows of resources for the unamortized loss on the refunding of general obligation bonds and current year pension contributions.

In addition to liabilities, the Statement of Net Position reports a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The District reports deferred inflows of resources for the difference between projected and actual earnings on pension plan investments specific to the net pension liability and for the unamortized amount on net change in proportionate share of net pension liability.

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the California State Teachers Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) plan for schools (Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Member contributions are recognized in the period in which they are earned. Investments are reported at fair value.

Current Loans

Current loans consist of amounts outstanding at June 30, 2015, for Tax Revenue and Anticipation Notes. The notes were issued as short-term obligations to provide cash flow needs. This liability is offset with cash deposits in the County Treasurer.

Fund Balances - Governmental Funds

As of June 30, 2015, fund balances of the governmental funds are classified as follows:

Nonspendable - amounts that cannot be spent either because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted - amounts that can be spent only for specific purposes because of constitutional provisions or enabling legislation or because of constraints that are externally imposed by creditors, grantors, contributors, or the laws or regulations of other governments.

Committed - amounts that can be used only for specific purposes determined by a formal action of the governing board. The governing board is the highest level of decision-making authority for the District. Commitments may be established, modified, or rescinded only through resolutions or other action as approved by the governing board. The District currently does not have any committed funds.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Assigned - amounts that do not meet the criteria to be classified as restricted or committed but that are intended to be used for specific purposes. Under the District's adopted policy, only the governing board or chief business officer/assistant superintendent of business services may assign amounts for specific purposes.

Unassigned - all other spendable amounts.

Spending Order Policy

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance is available, the District considers restricted funds to have been spent first. When an expenditure is incurred for which committed, assigned, or unassigned fund balances are available, the District considers amounts to have been spent first out of committed funds, then assigned funds, and finally unassigned funds, as needed, unless the governing board has provided otherwise in its commitment or assignment actions.

Minimum Fund Balance Policy

The governing board adopted a minimum fund balance policy for the General Fund in order to protect the District against revenue shortfalls or unpredicted one-time expenditures. The policy requires a Reserve for Economic Uncertainties consisting of unassigned amounts equal to no less than three percent of General Fund expenditures and other financing uses.

Net Position

Net position represents the difference between assets and liabilities. Net position net of investment in capital assets consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments. The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position is available. The government-wide financial statements report \$16,962,354 of restricted net position.

Operating Revenues and Expenses

Operating revenues are those revenues that are generated directly from the primary activity of the proprietary funds. For the District, these revenues are charges to other funds. Operating expenses are necessary costs incurred to provide the goods or service that is the primary activity of the fund. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Interfund Activity

Transfers between governmental and business-type activities in the government-wide financial statements are reported in the same manner as general revenues.

Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after non-operating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented in the financial statements. Interfund transfers are eliminated in the governmental and business-type activities columns of the Statement of Activities, except for the net residual amounts transferred between governmental and business-type activities.

Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgetary Data

The budgetary process is prescribed by provisions of the California *Education Code* and requires the governing board to hold a public hearing and adopt an operating budget no later than July 1st of each year. The District governing board satisfied these requirements. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoption with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for. For budget purposes, on behalf payments have not been included as revenue and expenditures as required under generally accepted accounting principles.

Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County of Los Angeles bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Change in Accounting Principles

In June 2012, the GASB issued Statement No. 68, *Accounting and Financial Reporting for Pensions—an amendment of GASB Statement No. 27*. The primary objective of this Statement is to improve accounting and financial reporting by state and local governments for pensions. It also improves information provided by state and local governmental employers about financial support for pensions that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for pensions with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement replaces the requirements of Statement No. 27, *Accounting for Pensions by State and Local Governmental Employers*, as well as the requirements of Statement No. 50, *Pension Disclosures*, as they relate to pensions that are provided through pension plans administered as trusts or equivalent arrangements (hereafter jointly referred to as trusts) that meet certain criteria. The requirements of Statements No. 27 and No. 50 remain applicable for pensions that are not covered by the scope of this Statement.

The scope of this Statement addresses accounting and financial reporting for pensions that are provided to the employees of state and local governmental employers through pension plans that are administered through trusts that have the following characteristics:

- Contributions from employers and non-employer contributing entities to the pension plan and earnings on those contributions are irrevocable.
- Pension plan assets are dedicated to providing pensions to plan members in accordance with the benefit terms.
- Pension plan assets are legally protected from the creditors of employers, non-employer contributing entities, and the pension plan administrator. If the plan is a defined benefit pension plan, plan assets also are legally protected from creditors of the plan members.

This Statement establishes standards for measuring and recognizing liabilities, deferred outflows of resources, and deferred inflows of resources, and expense/expenditures. For defined benefit pensions, this Statement identifies the methods and assumptions that should be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service.

Note disclosure and required supplementary information requirements about pensions also are addressed. Distinctions are made regarding the particular requirements for employers based on the number of employers whose employees are provided with pensions through the pension plan and whether pension obligations and pension plan assets are shared. Employers are classified in one of the following categories for purposes of this Statement:

- Single employers are those whose employees are provided with defined benefit pensions through single-employer pension plans—pension plans in which pensions are provided to the employees of only one employer (as defined in this Statement).

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

- Agent employers are those whose employees are provided with defined benefit pensions through agent multiple-employer pension plans—pension plans in which plan assets are pooled for investment purposes but separate accounts are maintained for each individual employer so that each employer's share of the pooled assets is legally available to pay the benefits of only its employees.
- Cost-sharing employers are those whose employees are provided with defined benefit pensions through cost-sharing multiple-employer pension plans—pension plans in which the pension obligations to the employees of more than one employer are pooled and plan assets can be used to pay the benefits of the employees of any employer that provides pensions through the pension plan.

In addition, this Statement details the recognition and disclosure requirements for employers with liabilities (payables) to a defined benefit pension plan and for employers whose employees are provided with defined contribution pensions. This Statement also addresses circumstances in which a non-employer entity has a legal requirement to make contributions directly to a pension plan.

The District has implemented the Provisions of this Statement for the year ended June 30, 2015.

In November 2013, the GASB issued Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date — An Amendment of GASB Statement No. 68*. The objective of this Statement is to address an issue regarding application of the transition provisions of Statement No. 68, *Accounting and Financial Reporting for Pensions*. The issue relates to amounts associated with contributions, if any, made by a state or local government employer or nonemployer contributing entity to a defined benefit pension plan after the measurement date of the government's beginning net pension liability.

Statement No. 68 requires a state or local government employer (or nonemployer contributing entity in a special funding situation) to recognize a net pension liability measured as of a date (the measurement date) no earlier than the end of its prior fiscal year. If a state or local government employer or nonemployer contributing entity makes a contribution to a defined benefit pension plan between the measurement date of the reported net pension liability and the end of the government's reporting period, Statement No. 68 requires that the government recognize its contribution as a deferred outflow of resources. In addition, Statement No. 68 requires recognition of deferred outflows of resources and deferred inflows of resources for changes in the net pension liability of a state or local government employer or nonemployer contributing entity that arise from other types of events. At transition to Statement No. 68, if it is not practical for an employer or nonemployer contributing entity to determine the amounts of *all* deferred outflows of resources and deferred inflows of resources related to pensions, paragraph 137 of Statement No. 68 required that beginning balances for deferred outflows of resources and deferred inflows of resources not be reported.

Consequently, if it is not practical to determine the amounts of all deferred outflows of resources and deferred inflows of resources related to pensions, contributions made after the measurement date of the beginning net pension liability could not have been reported as deferred outflows of resources at transition. This could have resulted in a significant understatement of an employer or nonemployer contributing entity's beginning net position and expense in the initial period of implementation.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

This Statement amends paragraph 137 of Statement No. 68 to require that, at transition, a government recognize a beginning deferred outflow of resources for its pension contributions, if any, made subsequent to the measurement date of the beginning net pension liability. Statement No. 68, as amended, continues to require that beginning balances for other deferred outflows of resources and deferred inflows of resources related to pensions be reported at transition only if it is practical to determine all such amounts.

The District has implemented the Provisions of this Statement for the year ended June 30, 2015.

As the result of implementing GASB Statement No. 68, the District has restated the beginning net position in the government wide Statement of Net Position, effectively decreasing net position as of July 1, 2014, by \$102,238,294. The decrease results from recognizing the net pension liability, net of related deferred outflows of resources. The restatement does not include deferred inflows of resources, as this information was not available.

New Accounting Pronouncements

In February 2015, the GASB issued Statement No. 72, *Fair Value Measurement and Application*. This Statement addresses accounting and financial reporting issues related to fair value measurements. The definition of *fair value* is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. This Statement provides guidance for determining a fair value measurement for financial reporting purposes. This Statement also provides guidance for applying fair value to certain investments and disclosures related to all fair value measurements.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2015. Early implementation is encouraged.

In June 2015, the GASB issued Statement No. 73, *Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement No. 68, and Amendments to Certain Provisions of GASB Statements No. 67 and No. 68*. The objective of this Statement is to improve the usefulness of information about pensions included in the general purpose external financial reports of state and local governments for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement establishes requirements for defined benefit pensions that are not within the scope of Statement No. 68, *Accounting and Financial Reporting for Pensions*, as well as for the assets accumulated for purposes of providing those pensions. In addition, it establishes requirements for defined contribution pensions that are not within the scope of Statement No. 68. It also amends certain provisions of Statement No. 67, *Financial Reporting for Pension Plans*, and Statement No. 68 for pension plans and pensions that are within their respective scopes.

The requirements of this Statement extend the approach to accounting and financial reporting established in Statement No. 68 to all pensions, with modifications as necessary to reflect that for accounting and financial reporting purposes, any assets accumulated for pensions that are provided through pension plans that are not administered through trusts that meet the criteria specified in Statement No. 68 should not be considered pension plan assets. It also requires that information similar to that required by Statement No. 68 be included in notes to financial statements and required supplementary information by all similarly situated employers and nonemployer contributing entities.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

This Statement also clarifies the application of certain provisions of Statements No. 67 and No. 68 with regard to the following issues:

- Information that is required to be presented as notes to the ten-year schedules of required supplementary information about investment-related factors that significantly affect trends in the amounts reported.
- Accounting and financial reporting for separately financed specific liabilities of individual employers and nonemployer contributing entities for defined benefit pensions.
- Timing of employer recognition of revenue for the support of nonemployer contributing entities not in a special funding situation.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2016. Early implementation is encouraged.

In June 2015, the GASB issued Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*. The objective of this Statement is to improve the usefulness of information about postemployment benefits other than pensions (other postemployment benefits or OPEB) included in the general purpose external financial reports of state and local governmental OPEB plans for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement replaces Statements No. 43, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*. It also includes requirements for defined contribution OPEB plans that replace the requirements for those OPEB plans in Statement No. 25, *Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans*, as amended, Statement No. 43, and Statement No. 50, *Pension Disclosures*.

Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, establishes new accounting and financial reporting requirements for governments whose employees are provided with OPEB, as well as for certain nonemployer governments that have a legal obligation to provide financial support for OPEB provided to the employees of other entities.

The scope of this Statement includes OPEB plans—defined benefit and defined contribution—administered through trusts that meet the following criteria:

- Contributions from employers and nonemployer contributing entities to the OPEB plan and earnings on those contributions are irrevocable.
- OPEB plan assets are dedicated to providing OPEB to plan members in accordance with the benefit terms.
- OPEB plan assets are legally protected from the creditors of employers, nonemployer contributing entities, and the OPEB plan administrator. If the plan is a defined benefit OPEB plan, plan assets also are legally protected from creditors of the plan members.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

This Statement also includes requirements to address financial reporting for assets accumulated for purposes of providing defined benefit OPEB through OPEB plans that are not administered through trusts that meet the specified criteria.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2016. Early implementation is encouraged.

In June 2015, the GASB issued Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pension*. The primary objective of this Statement is to improve accounting and financial reporting by state and local governments for postemployment benefits other than pensions (other postemployment benefits or OPEB). It also improves information provided by state and local governmental employers about financial support for OPEB that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement replaces the requirements of Statements No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*, for OPEB. Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, establishes new accounting and financial reporting requirements for OPEB plans.

The scope of this Statement addresses accounting and financial reporting for OPEB that is provided to the employees of state and local governmental employers. This Statement establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expense/expenditures. For defined benefit OPEB, this Statement identifies the methods and assumptions that are required to be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. Note disclosure and required supplementary information requirements about defined benefit OPEB also are addressed.

In addition, this Statement details the recognition and disclosure requirements for employers with payables to defined benefit OPEB plans that are administered through trusts that meet the specified criteria and for employers whose employees are provided with defined contribution OPEB. This Statement also addresses certain circumstances in which a nonemployer entity provides financial support for OPEB of employees of another entity. In this Statement, distinctions are made regarding the particular requirements depending upon whether the OPEB plans through which the benefits are provided are administered through trusts that meet the following criteria:

- Contributions from employers and nonemployer contributing entities to the OPEB plan and earnings on those contributions are irrevocable.
- OPEB plan assets are dedicated to providing OPEB to plan members in accordance with the benefit terms.
- OPEB plan assets are legally protected from the creditors of employers, nonemployer contributing entities, the OPEB plan administrator, and the plan members.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2017. Early implementation is encouraged.

In June 2015, the GASB issued Statement No. 76, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*. The objective of this Statement is to identify—in the context of the current governmental financial reporting environment—the hierarchy of generally accepted accounting principles (GAAP). The "GAAP hierarchy" consists of the sources of accounting principles used to prepare financial statements of state and local governmental entities in conformity with GAAP and the framework for selecting those principles. This Statement reduces the GAAP hierarchy to two categories of authoritative GAAP and addresses the use of authoritative and non-authoritative literature in the event that the accounting treatment for a transaction or other event is not specified within a source of authoritative GAAP.

This Statement supersedes Statement No. 55, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2015, and should be applied retroactively. Earlier implementation is permitted.

NOTE 2 - DEPOSITS AND INVESTMENTS

Summary of Deposits and Investments

Deposits and investments as of June 30, 2015, are classified in the accompanying financial statements as follows:

Governmental activities	\$ 44,437,662
Business-type activities	425,988
Fiduciary funds	651,093
Total Deposits and Investments	<u>\$ 45,514,743</u>

Deposits and investments as of June 30, 2015, consisted of the following:

Cash on hand and in banks	\$ 661,037
Cash in revolving	35,000
Investments	44,818,706
Total Deposits and Investments	<u>\$ 45,514,743</u>

Policies and Practices

The District is authorized under *California Government Code* to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered State warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; and collateralized mortgage obligations.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Investment in County Treasury - The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (*Education Code* Section 41001). The fair value of the District's investment in the pool is reported in the accounting financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

General Authorizations

Limitations as they relate to interest rate risk, credit risk, and concentration of credit risk are indicated in the schedules below:

Authorized Investment Type	Maximum Remaining Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agency Securities	5 years	None	None
Banker's Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20% of base	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
Joint Powers Authority Pools	N/A	None	None

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. The District manages its exposure to interest rate risk by investing in the Los Angeles County Investment Pool and purchasing a combination of shorter term and longer term investments and by timing cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Specific Identification

The District maintains an investment of \$44,818,706 with the Los Angeles County Investment Pool with a fair value of approximately \$44,471,970. This investment has an average weighted maturity of 595 days.

Custodial Credit Risk - Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk for deposits. However, the California Government Code requires that a financial institution secure deposits made by State or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law (unless so waived by the governmental unit). The market value of the pledged securities in the collateral pool must equal at least 110 percent of the total amount deposited by the public agency. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150 percent of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105 percent of the secured deposits. As of June 30, 2015, the District's bank balance of \$285,983 was exposed to custodial credit risk because it was uninsured and collateralized with securities held by the pledging financial institution's trust department or agent, but not in the name of the District.

NOTE 3 - RECEIVABLES

Receivables at June 30, 2015, consisted of intergovernmental grants, entitlements, interest, and other local sources. All receivables are considered collectible in full.

	General Fund	Cafeteria Fund	Building Fund	Non-Major Governmental Funds	Internal Service Fund	Total Governmental Activities	Enterprise Fund	Fiduciary Funds
Federal Government								
Categorical aid	\$ 2,895,034	\$ 832,870	\$ -	131,114	\$ -	\$ 3,859,018	\$ -	\$ 9,450,096
State Government								
Categorical aid	-	70,504	-	178,749	-	249,253	-	1,286,321
Lottery	1,391,648	-	-	-	-	1,391,648	-	-
Special education	1,020,325	-	-	-	-	1,020,325	-	-
Local Government								
Interest	79,097	16,252	46,072	291	10,340	152,052	974	121
Other Local Sources	1,247,160	-	184	3,106	96,867	1,347,317	142,431	-
Total	<u>\$ 6,633,264</u>	<u>\$ 919,626</u>	<u>\$ 46,256</u>	<u>\$ 313,260</u>	<u>\$ 107,207</u>	<u>\$ 8,019,613</u>	<u>\$ 143,405</u>	<u>\$ 10,736,538</u>

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 4 - CAPITAL ASSETS

Capital asset activity for the fiscal year ended June 30, 2015, was as follows:

	Balance July 1, 2014	Additions	Deductions	Balance June 30, 2015
Governmental Activities				
Capital Assets Not Being Depreciated:				
Land	\$ 2,886,240	\$ -	\$ -	\$ 2,886,240
Construction in progress	10,900,603	21,523,294	10,089,752	22,334,145
Total Capital Assets Not Being Depreciated	13,786,843	21,523,294	10,089,752	25,220,385
Capital Assets Being Depreciated:				
Land improvements	77,958,492	-	-	77,958,492
Buildings and improvements	93,180,065	10,048,726	-	103,228,791
Furniture and equipment	12,754,785	100,594	-	12,855,379
Total Capital Assets Being Depreciated	183,893,342	10,149,320	-	194,042,662
Total Capital Assets	197,680,185	31,672,614	10,089,752	219,263,047
Less Accumulated Depreciation:				
Land improvements	27,079,340	3,796,411	-	30,875,751
Buildings and improvements	49,039,587	3,310,297	-	52,349,884
Furniture and equipment	11,102,329	340,082	-	11,442,411
Total Accumulated Depreciation	87,221,256	7,446,790	-	94,668,046
Governmental Activities Capital Assets, Net	\$ 110,458,929	\$ 24,225,824	\$ 10,089,752	\$ 124,595,001

Depreciation expense was charged as a direct expense to governmental functions as follows:

Governmental Activities	
Instruction	\$ 6,702,110
Home-to-school transportation	223,404
All other pupil services	297,872
Plant services	223,404
Total Depreciation Expenses All Activities	<u>\$ 7,446,790</u>

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 5 - INTERFUND TRANSACTIONS

Operating Transfers

Interfund transfers for the year ended June 30, 2015, consisted of the following:

	Transfer To	Transfer From General Fund
Non-Major Governmental Funds		\$ 100,245
Enterprise Fund		1,552,635
Total		<u>\$ 1,652,880</u>

The General Fund transferred \$100,245 to the Child Development Non-Major Governmental Fund for the Cal-Safe program.

The General Fund transferred \$1,552,635 to the Enterprise Fund to cover program expenditures.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 6 - ACCOUNTS PAYABLE

Accounts payable at June 30, 2015, consisted of the following:

	General Fund	Cafeteria Fund	Building Fund	Non-Major Governmental Funds
Salaries and benefits	\$ 7,231,327	\$ 92,264	\$ 3,093	\$ 78,476
LCFF apportionment	1,418,808	-	-	-
Supplies	768,707	34,180	52,851	1,500
Services	2,653,039	30,338	686,765	7,558
Construction	-	-	1,907,935	-
Due to SELPA	1,069,896	-	-	-
Other vendor payables	184,747	-	-	-
Total	<u>\$ 13,326,524</u>	<u>\$ 156,782</u>	<u>\$ 2,650,644</u>	<u>\$ 87,534</u>

	Internal Service Fund	Total Governmental Activities	Enterprise Funds	Fiduciary Funds
Salaries and benefits	\$ 2,981,168	\$ 10,386,328	\$ 97,752	\$ -
LCFF apportionment	-	1,418,808	-	-
Supplies	-	857,238	1,537	-
Services	381,009	3,758,709	50,997	-
Construction	-	1,907,935	-	-
Due to SELPA	-	1,069,896	-	-
Other vendor payables	-	184,747	-	47,979
Total	<u>\$ 3,362,177</u>	<u>\$ 19,583,661</u>	<u>\$ 150,286</u>	<u>\$ 47,979</u>

NOTE 7 - UNEARNED REVENUE

Unearned revenue at June 30, 2015, consists of the following:

	General Fund
Federal financial assistance	\$ 191,170
State categorical aid	31,410
Total	<u>\$ 222,580</u>

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 8 - TAX AND REVENUE ANTICIPATION NOTES (TRANS)

The District issued \$11,910,000 of Tax Revenue Anticipation Notes dated February 25, 2014 through the California School Cash Reserve Program Authority. The notes mature on October 1, 2014, and yield 0.10 percent interest. The notes were sold to supplement cash flow. Repayment requires that a percentage of principal and interest be deposited with the Fiscal Agent until 100 percent of principal and interest due is on account by October 1, 2014. As of June 30, 2015, the tax and revenue anticipation notes obligation has been fulfilled by the District.

Changes in the outstanding liabilities for the Tax and Revenue Anticipation Notes is as follows:

Issue Date	Rate	Maturity Date	Outstanding July 1, 2014	Additions	Payments	Outstanding June 30, 2015
2/25/2014	0.10%	10/1/2014	\$ 11,910,000	\$ -	\$ 11,910,000	\$ -

NOTE 9 - LONG-TERM OBLIGATIONS

Summary

The changes in the District's long-term obligations during the year consisted of the following:

	Balance July 1, 2014	Additions	Deductions	Balance June 30, 2015	Due in One Year
General obligation bonds	\$ 134,126,464	\$ 2,369,970	\$ 5,750,000	\$ 130,746,434	\$ 5,795,000
Premium on issuance	8,887,891	-	1,302,961	7,584,930	-
Qualified zone academy bonds	3,590,299	-	325,606	3,264,693	341,886
Early retirement incentives	4,500,490	-	985,093	3,515,397	606,919
Capital lease	208,329	-	99,539	108,790	108,790
Other postemployment benefits	100,851	-	100,851	-	-
Accumulated vacation - net	1,331,581	90,420	-	1,422,001	-
Claims liability	1,840,334	543,459	798,823	1,584,970	798,823
	<u>\$ 154,586,239</u>	<u>\$ 3,003,849</u>	<u>\$ 9,362,873</u>	<u>\$ 148,227,215</u>	<u>\$ 7,651,418</u>

Payments on the general obligation bonds are made by the Bond Interest and Redemption Fund with local revenues. Payments on qualified zone academy bonds are paid by the Building Fund. Payments on early retirement incentive are made by the General Fund. Payments on capital leases are paid by the General Fund and the Cafeteria Fund. Other postemployment benefits will be paid by the General Fund. The accrued vacation will be paid by the fund for which the employee worked. Claims liability will be paid by the Internal Service Fund.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

2001 Election General Obligation Bonds, Series B

On June 19, 2003, the District issued the \$30,000,000 2001 Election General Obligation Bonds, Series B. The Series B bonds were issued as both current interest bonds and capital appreciation bonds, with the value of the capital appreciation bonds accreting \$29,170,000, and an aggregate principal debt service balance of \$59,170,000. The bonds have a final maturity to occur June 1, 2028, with interest rates of 2.20 to 5.20 percent. Proceeds from the sale of the bonds were used to improve health and safety conditions of neighborhood schools, relieve classroom overcrowding, replace inadequate electrical, heating and ventilation systems, roofs, plumbing, and sewer systems, renovate outdated science laboratories, and renovate and/or add classrooms and other facilities. At June 30, 2015, the principal balance outstanding of the 2002 General Obligation Bonds, Series 2005 B was \$28,794,447. Unamortized premium received on issuance of the bonds amounted to \$422,721 as of June 30, 2015.

2006 Election General Obligation Bonds, 2006 Series A

On August 31, 2006, the District issued the \$47,000,000 2006 Election General Obligation Bonds, 2006 Series A. The bonds have a fund maturity to occur August 1, 2031, with interest rates yields of 4.00 to 5.00 percent.

On May 9, 2013 the District issued the \$40,500,000 2013 General Obligation Refunding Bonds. The net proceeds from the Refunding Bonds were used to advance refund a portion of the District's outstanding 2006 Election General Obligation Bonds, 2006 Series A. The final payment on the remaining obligation for the 2006 Election General Obligation Bonds, 2006 Series A occurred during the 2014-2015 fiscal period.

2006 Election General Obligation Bonds, 2007 Series B

On October 3, 2007, the District issued the \$18,999,949 2006 Election General Obligation Bonds, 2007 Series B. The 2007 Series B bonds were issued as capital appreciation bonds, with the value of the capital appreciation bonds accreting \$19,460,051, and an aggregate principal debt service balance of \$38,460,000. The bonds have a final maturity to occur on August 1, 2032, with interest rate yields of 3.50 to 5.25 percent. Proceeds from the sale of the bonds were used to repair or replace deteriorating plumbing, restrooms, heating, ventilation, and electrical systems; upgrade classroom technology and computers, construct new library/media centers, and upgrade inadequate classrooms, equipment, school facilities and grounds. At June 30, 2015, the principal balance outstanding of the 2006 Election General Obligation Bonds, 2007 Series B was \$21,181,987. Unamortized premium received on issuance of the bonds amounted to \$308,749 as of June 30, 2015.

2001 Election General Obligation Refunding Bonds, 2011 Series A

On December 6, 2011, the District issued the \$13,495,000 2001 Election General Obligation Refunding Bonds, 2011 Series A. The bonds have a final maturity to occur on August 1, 2026, with interest rates from 3.00 to 5.25 percent. The net proceeds of \$15,050,332 (representing the principal amount of \$13,495,000 plus premium on issuance of \$1,555,332) from the issuance were used to advance refund the District's outstanding 2001 Election General Obligation Bonds, Series A and to pay the costs of issuance associated with the refunding bonds, with the prepayment to occur on August 1, 2012. At June 30, 2015, the principal balance outstanding on the 2001 Election General Obligation Refunding Bonds, 2011 Series A was \$12,215,000. Unamortized premium received on issuance of the bonds amounted to \$1,296,108 as of June 30, 2015.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

2012 General Obligation Bonds, Series A

On May 9, 2013, the District issued \$30,000,000 2012 General Obligation Bonds, Series A. The Series A bonds represent the first series of the authorized bonds to be issued under the authorization as approved by voters. The bonds were issued as current interest bonds. The bonds have a final maturity to occur August 1, 2052, with interest rates from 2.00 to 4.15 percent. Proceeds from the bonds will be used to finance repair, upgrading, acquisition, construction and equipping school property and facilities approved by the voters and pay costs associated with the issuance of the bonds. At June 30, 2015, the principal balance outstanding was \$28,750,000. Unamortized premium received on issuance of the bonds amounted to \$1,033,724 as of June 30, 2015.

2013 General Obligation Refunding Bonds

On May 9, 2013, the District issued the \$40,500,000 2013 General Obligation Refunding Bonds. The bonds have a final maturity to occur on August 1, 2031, with interest rates from 2.00 to 5.00 percent. The net proceeds of \$46,380,717 (representing the principal amount of \$40,500,000 plus premium on issuance of \$5,880,717) from the issuance were used to advance refund the District's outstanding 2006 General Obligation Bonds, 2006 Series A and to pay the costs of issuance associated with the refunding bonds, with the prepayment to occur on August 1, 2014. At June 30, 2015, the principal balance outstanding was \$39,805,000. Unamortized premium received on issuance of the bonds amounted to \$4,523,628 as of June 30, 2015.

Bonded Debt

The outstanding general obligation bonded debt is as follows:

Issue Date	Maturity Date	Interest Rate	Original Issue	Bonds Outstanding July 1, 2014	Issued/ Accreted	Redeemed	Bonds Outstanding June 30, 2015
6/19/2003	6/1/2028	2.20%-5.20%	\$ 30,000,000	\$ 29,506,418	\$ 1,398,029	\$ 2,110,000	\$ 28,794,447
8/31/2006	8/1/2031	4.00%-5.00%	47,000,000	1,035,000	-	1,035,000	-
10/3/2007	8/1/2032	3.50%-5.25%	18,999,949	21,035,046	971,941	825,000	21,181,987
12/6/2011	8/1/2026	3.00%-5.25%	13,495,000	12,715,000	-	500,000	12,215,000
5/9/2013	8/1/2052	2.00%-4.15%	30,000,000	30,000,000	-	1,250,000	28,750,000
5/9/2013	8/1/2031	2.00%-5.00%	40,500,000	39,835,000	-	30,000	39,805,000
				<u>\$ 134,126,464</u>	<u>\$ 2,369,970</u>	<u>\$ 5,750,000</u>	<u>\$ 130,746,434</u>

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Debt Service Requirements to Maturity

The bonds mature through 2053 as follows:

Fiscal Year	Principal Including Accreted Interest To Date	Accreted Interest	Current Interest	Total
2016	\$ 5,748,040	\$ 46,960	\$ 3,638,611	\$ 9,433,611
2017	6,062,762	202,238	3,537,111	9,802,111
2018	4,940,766	369,234	3,458,949	8,768,949
2019	5,146,870	548,130	3,405,024	9,100,024
2020	5,335,467	734,533	3,329,399	9,399,399
2021-2025	30,400,071	6,834,929	15,016,684	52,251,684
2026-2030	32,865,781	10,129,219	10,685,011	53,680,011
2031-2035	15,016,677	6,248,323	6,251,987	27,516,987
2036-2040	2,825,000	-	5,336,625	8,161,625
2041-2045	5,465,000	-	4,436,150	9,901,150
2046-2050	9,120,000	-	2,863,125	11,983,125
2051-2053	7,820,000	-	548,100	8,368,100
Total	<u>\$ 130,746,434</u>	<u>\$ 25,113,566</u>	<u>\$ 62,506,776</u>	<u>\$ 218,366,776</u>

Qualified Zone Academy Bonds (QZAB)

On December 19, 2008, the District entered into a lease-lease back agreement whereby the District is leasing Fairvalley High School from the Covina-Valley Unified School District Facilities Finance Corporation in exchange for repaying the QZABs. The purpose of the agreement was to provide \$5,000,000 for financing the cost of purchasing equipment and certain improvements to the property. The financing for the improvements is proved by the issuance of QZABs, pursuant to Section 1397E of the Internal Revenue Code. The District is required to make annual repayments, which will be invested in a special fund. The repayments, along with the interest earned, is expected to be sufficient to pay the remaining principal on the bonds. At June 30, 2015, the outstanding balance on the QZABs is \$3,264,693.

Year Ending June 30,	Principal	Interest	Total
2016	\$ 341,886	\$ 32,647	\$ 374,533
2017	358,980	29,228	388,208
2018	376,929	25,638	402,567
2019	395,775	21,869	417,644
2020	415,564	17,911	433,475
2021-2023	1,375,559	27,959	1,403,518
Total	<u>\$ 3,264,693</u>	<u>\$ 155,252</u>	<u>\$ 3,419,945</u>

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Early Retirement Incentive

During the 2007-2008 school year, the District adopted a supplemental retirement plan whereby certain eligible certificated and classified employees are provided an annuity to supplement the retirement benefits they are entitled to through their respective retirement systems. The criteria for participation were as follows: employees must be employed by the District as of February 12, 2008, eligible to retire under CalSTRS or CalPERS as of June 30, 2008, have resigned from the District after the completion of the 2007-2008 school year on or before June 30, 2008, have retired from CalSTRS or CalPERS no later than July 1, 2008, and have applied for benefits under this plan. The annuities offered to the employees are to be paid over a five-year period. The annuities, which were purchased for 102 employees, were purchased from Pacific Life Insurance Company.

During the 2010-2011 school year, the District adopted three additional early retirement incentives; STRS Golden Handshake, PERS Golden Handshake, and one other supplemental retirement program.

During the 2013-2014 school year, the District adopted an early retirement incentive: STRS Golden Handshake and PERS Golden Handshake. The incentives were provided for 52 employees.

As of June 30, 2015, the balance of the combined obligations associated with the supplemental retirement plans was \$3,515,397.

Capital Leases

The District has entered into agreements to lease various facilities and equipment. Such agreements are, in substance, purchases (capital leases) and are reported as capital lease obligations. The District's liability on lease agreements with options to purchase is summarized below:

	Equipment
Balance, July 1, 2014	\$ 246,756
Payments	123,378
Balance, June 30, 2015	<u>\$ 123,378</u>

The capital leases have minimum lease payments as follows:

Year Ending June 30,	Lease Payment
<u>2016</u>	<u>\$ 123,378</u>
Less: Amount Representing Interest	14,588
Present Value of Minimum Lease Payments	<u>\$ 108,790</u>

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Other Postemployment Benefits (OPEB) Asset

The District's annual required contribution for the year ended June 30, 2015, was \$893,807, and contributions made by the District during the year were \$1,054,763. Interest on the net OPEB obligation and adjustments to the annual required contribution were \$(4,034) and \$5,832, respectively, which resulted in a (decrease) to the net OPEB obligation of \$159,158. As of June 30, 2015, the net OPEB asset was \$58,307. See Note 12 for additional information regarding the OPEB asset and the postemployment benefits plan.

Accumulated Unpaid Employee Vacation

The long-term portion of accumulated unpaid employee vacation for the District at June 30, 2015, amounted to \$1,422,001.

Claims Liability

Liabilities associated with workers' compensation claims are reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Liabilities include an amount for claims that have been incurred but not reported (IBNR). Claim liabilities are based upon estimated ultimate cost of settling the claims, considering recent claim settlement trends including the frequency and amount of payouts and other economic and social factors. The liability for workers' compensation claims is reported in the Internal Service Fund. The outstanding claims liability at June 30, 2015, amounted to \$1,584,970, using a discount factor of two percent.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 10 - FUND BALANCES

Fund balances are composed of the following elements:

	General Fund	Cafeteria Fund	Building Fund	Bond Interest and Redemption Fund	Non-Major Governmental Funds	Total
Nonspendable						
Revolving cash	\$ 35,000	\$ -	\$ -	\$ -	\$ -	\$ 35,000
Stores inventories	87,507	56,892	-	-	-	144,399
Total Nonspendable	122,507	56,892	-	-	-	179,399
Restricted						
Legally restricted programs	5,449,677	5,822,669	-	-	17,611	11,289,957
Capital projects	-	-	2,798,165	-	182,312	2,980,477
Debt services	-	-	-	5,986,240	-	5,986,240
Total Restricted	5,449,677	5,822,669	2,798,165	5,986,240	199,923	20,256,674
Assigned						
Deferred maintenance program	57,799	-	-	-	-	57,799
Shop cards	4,321	-	-	-	-	4,321
Donations	258,101	-	-	-	-	258,101
Rotary mini grant	6,354	-	-	-	-	6,354
Lost book replacement	76,845	-	-	-	-	76,845
Library collections	18,032	-	-	-	-	18,032
DHH donations	3,470	-	-	-	-	3,470
Parent project	2,814	-	-	-	-	2,814
Sacramento trip	1,987	-	-	-	-	1,987
Advance placement exam fees	9,799	-	-	-	-	9,799
Star testing	4,473	-	-	-	-	4,473
CASHSEE testing	11,093	-	-	-	-	11,093
Friend of Covina Valley	6,652	-	-	-	-	6,652
Mandated block grant reserve	80,000	-	-	-	-	80,000
Total Assigned	541,740	-	-	-	-	541,740
Unassigned						
Reserve for economic uncertainties	3,765,216	-	-	-	-	3,765,216
Remaining unassigned	5,434,865	-	-	-	-	5,434,865
Total Unassigned	9,200,081	-	-	-	-	9,200,081
Total	\$ 15,314,005	\$ 5,879,561	\$ 2,798,165	\$ 5,986,240	\$ 199,923	\$ 30,177,894

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

NOTE 11 - EXPENDITURES (BUDGET VERSUS ACTUAL)

At June 30, 2015, the following District major fund exceeded the budgeted amount in total as follows:

	Expenditures and Other Financing Uses		
	Budget	Actual	Excess
General Fund	<u>\$ 125,501,318</u>	<u>\$ 129,127,771</u>	<u>\$ 3,626,453</u>

Actual expenditures include on-behalf payments of \$3,056,868 as required by generally accepted accounting principles, in addition to expenditures from Fund 11, Adult Education and Fund 14, Deferred Maintenance, due to their consolidation into the General Fund for reporting purposes.

NOTE 12 - POSTEMPLOYMENT HEALTH CARE PLAN AND OTHER POSTEMPLOYMENT BENEFITS (OPEB) ASSET

Plan Description

The postemployment benefit plan (the Plan) is a single-employer defined benefit healthcare plan administered by the Covina-Valley Unified School District. The Plan provides medical and dental insurance benefits to eligible retirees and their spouses. Membership of the Plan consists of 106 retirees and beneficiaries currently receiving benefits, 14 terminated plan members entitled to but not yet receiving benefits, and 940 active plan members.

Contribution Information

The contribution requirements of plan members and the District are established and may be amended by the District and the Teachers Association (CEA), the local California Service Employees Association (CSEA), and unrepresented groups. The required contribution is based on projected pay-as-you-go financing requirements. For fiscal year 2014-2015, the District contributed \$1,054,763 to the plan, all of which was used for current premiums.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Annual OPEB Cost and Net OPEB Asset

The District's annual OPEB cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial accrued liabilities (UAAL) (or funding excess) over a period not to exceed thirty years. The following table shows the components of the District's annual OPEB cost for the year, the amount actually contributed to the plan, and changes in the District's net OPEB asset to the Plan:

Annual required contribution	\$ 893,807
Interest on net OPEB asset	(4,034)
Adjustment to annual required contribution	5,832
Annual OPEB cost (expense)	895,605
Contributions made	(1,054,763)
Increase in net OPEB asset	(159,158)
Net OPEB obligation, beginning of year	100,851
Net OPEB asset, end of year	\$ (58,307)

Trend Information

Trend information for annual OPEB cost, the percentage of annual OPEB cost contributed to the Plan, and the net OPEB (asset)/obligation is as follows:

Year Ended June 30,	Annual OPEB Cost	Actual Contribution	Percentage Contributed	Net OPEB (Asset)/Obligation
2013	\$ 727,961	\$ 848,757	117%	\$ (95,016)
2014	895,502	699,635	78%	100,851
2015	895,605	1,054,763	118%	(58,307)

Funded Status and Funding Progress

A schedule of funding progress as of the most recent actuarial valuation is as follow:

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) - Unprojected Unit Credit (b)	Unfunded AAL (UAAL) (b - a)	Funded Ratio (a / b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ([b - a] / c)
July 1, 2013	\$ -	\$ 8,355,091	\$ 8,355,091	0%	\$ 74,920,958	11%

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the July 1, 2013, actuarial valuation, the unprojected unit credit method was used. The actuarial assumptions included a five percent investment rate of return (net of administrative expenses), based on the plan being funded in an irrevocable employee benefit trust invested in a combined equity and fixed income portfolio. Healthcare cost trend rates ranged from an initial five percent to an ultimate rate of eight percent. The cost trend rate used for the Dental and Vision programs was four percent. The UAAL is being amortized at a level dollar method. The remaining amortization period at June 30, 2015, was 24 years. The actuarial value of assets was not determined in this actuarial valuation.

NOTE 13 - RISK MANAGEMENT

Property and Liability

The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees and natural disasters. During the fiscal year ending June 30, 2015, the District was self-insured for property and liability coverage, and participated in the Alliance of Schools for Cooperative Insurance Programs (ASCIP) risk management pool for amounts in excess of the District's member retention limit \$25,000 for property and liability claims.

Workers' Compensation

For the fiscal year of 2014-2015, the District was self-funded for its workers' compensation coverage. The workers' compensation experience of the District was calculated and applied to a premium rate, which was utilized to charge funds for the administration of the program. The District's self-insured retention limit for the 2014-2015 fiscal year was \$250,000. Excess liability coverage for workers' compensation claims is provided by Schools Excess Liability Fund (SELF) public entity risk pool, through ASCIP.

Employee Medical Benefits

The District has contracted with various vendors to provide employee health benefits through the purchase of commercial insurance. Kaiser and Anthem Blue Cross provide medical care, Delta Dental and Delta Care provide dental care, VSP provides vision care and Mutual of Omaha provides life insurance. In addition, the District has contracted with Southern California Schools Employee Benefits Association (SCSEBA), a joint powers authority, to provide employee medical benefits. SCSEBA obtains benefit programs on behalf of the District through the purchase of commercial insurance. Rates are set through an annual calculation process.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Claims Liabilities

The District records an estimated liability for indemnity torts and other claims against the District. Claims liabilities are based on estimates of the ultimate cost of reported claims (including future claim adjustment expenses) and an estimate for claims incurred, but not reported based on historical experience.

Unpaid Claims Liabilities

The fund establishes a liability for both reported and unreported events, which includes estimates of both future payments of losses and related claim adjustment expenses. The following represent the changes in approximate aggregate liabilities for the District from July 1, 2013 to June 30, 2015:

	Workers' Compensation
Liability Balance, July 1, 2013	\$ 1,517,506
Claims and changes in estimates	888,870
Claims payments	566,042
Liability Balance, June 30, 2014	1,840,334
Claims and changes in estimates	543,459
Claims payments	798,823
Liability Balance, June 30, 2015	\$ 1,584,970
Assets available to pay claims at June 30, 2015	\$ 5,979,716

NOTE 14 - EMPLOYEE RETIREMENT SYSTEMS

Qualified employees are covered under multiple-employer defined benefit pension plans maintained by agencies of the State of California. Academic employees are members of the California State Teachers' Retirement System (CalSTRS) and classified employees are members of the California Public Employees' Retirement System (CalPERS).

The District implemented GASB Statements No. 68 and No. 71 for the fiscal year ended June 30, 2015. As a result, the District reported its proportionate share of the net pension liabilities, pension expense and deferred inflow of resources for each of the above plans and a deferred outflow of resources for each of the above plans as follows:

Pension Plan	Proportionate Share of Net Pension Liability	Deferred Outflow of Resources	Proportionate Share of Deferred Inflow of Resources	Proportionate Share of Pension Expense
CalSTRS	\$ 69,056,755	\$ 5,248,838	\$ 17,005,094	\$ 5,961,828
CalPERS	17,659,852	2,060,153	6,972,800	1,569,600
Total	\$ 86,716,607	\$ 7,308,991	\$ 23,977,894	\$ 7,531,428

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The details of each plan are as follows:

California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the State Teachers Retirement Plan (STRP) administered by the California State Teachers' Retirement System (CalSTRS). STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2013, annual actuarial valuation report, Defined Benefit Program Actuarial Valuation. This report and CalSTRS audited financial information are publically available reports that can be found on the CalSTRS website under Publications at:
<http://www.calstrs.com/member-publications>.

Benefits Provided

The STRP provides retirement, disability and survivor benefits to beneficiaries. Benefits are based on members' final compensation, age and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service.

The STRP is comprised of four programs: Defined Benefit Program, Defined Benefit Supplement Program, Cash Balance Benefit Program and Replacement Benefits Program. The STRP holds assets for the exclusive purpose of providing benefits to members and beneficiaries of these programs. CalSTRS also uses plan assets to defray reasonable expenses of administering the STRP. Although CalSTRS is the administrator of the STRP, the state is the sponsor of the STRP and obligor of the trust. In addition, the state is both an employer and nonemployer contributing entity to the STRP.

The District contributes exclusively to the STRP Defined Benefit Program, thus disclosures are not included for the other plans.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The STRP provisions and benefits in effect at June 30, 2015, are summarized as follows:

	STRP Defined Benefit Program	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 60	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	60	62
Monthly benefits as a percentage of eligible compensation	2.0% - 2.4%	2.0% - 2.4%
Required employee contribution rate	8.15%	8.15%
Required employer contribution rate	8.88%	8.88%
Required state contribution rate	5.95%	5.95%

Contributions

Required member, District and State of California contributions rates are set by the California Legislature and Governor and detailed in Teachers' Retirement Law. The contributions rates are expressed as a level percentage of payroll using the entry age normal actuarial method. In accordance with AB 1469, employer contributions into the CalSTRS will be increasing to a total of 19.1 percent of applicable member earnings phased over a seven year period. The contribution rates for each plan for the year ended June 30, 2015, are presented above and the District's total contributions were \$5,248,838.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2015, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related state support and the total portion of the net pension liability that was associated with the District were as follows:

Total net pension liability, including State share:

District's proportionate share of net pension liability	\$	69,056,755
State's proportionate share of the net pension liability associated with the District		41,699,450
Total	\$	<u>110,756,205</u>

The net pension liability was measured as of June 30, 2014. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts and the State, actuarially determined. At June 30, 2015, the District's proportion was 0.1182 percent.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

For the year ended June 30, 2015, the District recognized pension expense of \$5,961,828. In addition, the District recognized revenue and pension expense of \$3,600,009 for support provided by the State. At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 5,248,838	\$ -
Difference between projected and actual earnings on pension plan investments	-	17,005,094
Total	<u>\$ 5,248,838</u>	<u>\$ 17,005,094</u>

The deferred outflow of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. The deferred inflow of resources will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Amortization
2016	\$ 4,251,274
2017	4,251,274
2018	4,251,274
2019	4,251,272
Total	<u>\$ 17,005,094</u>

Actuarial Methods and Assumptions

Total pension liability for STRP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2013, and rolling forward the total pension liability to June 30, 2014. The financial reporting actuarial valuation as of June 30, 2013, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2013
Measurement date	June 30, 2014
Experience study	July 1, 2006 through June 30, 2010
Actuarial cost method	Entry age normal
Discount rate	7.60%
Investment rate of return	7.60%
Consumer price inflation	3.00%
Wage growth	3.75%

CalSTRS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are based on RP2000 series tables adjusted to fit CalSTRS experience.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant. Based on the model for CalSTRS consulting actuary' investment practice, a best estimate range was determined by assuming the portfolio is re-balanced annually and that the annual returns are lognormally distributed and independently from year to year to develop expected percentile for the long-term distribution of annualized returns. The assumed asset allocation is based on board policy for target asset allocation in effect on February 2, 2012, the date the current experience study was approved by the board. Best estimates of 10-year geometric real rates of return and the assumed asset allocation for each major asset class used as input to develop the actuarial investment rate of return are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	47%	4.50%
Private equity	12%	6.20%
Real estate	15%	4.35%
Inflation sensitive	5%	3.20%
Fixed income	20%	0.20%
Cash/liquidity	1%	0.00%

Discount Rate

The discount rate used to measure the total pension liability was 7.60 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.60 percent) and assuming that contributions, benefit payments and administrative expense occurred midyear. Based on these assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.60%)	\$ 107,641,420
Current discount rate (7.60%)	69,056,755
1% increase (8.60%)	36,884,156

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

California Public Employees Retirement System (CalPERS)

Plan Description

Qualified employees are eligible to participate in the School Employer Pool (SEP) under the California Public Employees' Retirement System (CalPERS), a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2013 annual actuarial valuation report, Schools Pool Actuarial Valuation, 2013. This report and CalPERS audited financial information are publically available reports that can be found on the CalPERS website under Forms and Publications at:
<https://www.calpers.ca.gov/page/forms-publications>.

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of service credit, a benefit factor and the member's final compensation. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 50 with statutorily reduced benefits. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 52 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after five years of service. The Basic Death Benefit is paid to any member's beneficiary if the member dies while actively employed. An employee's eligible survivor may receive the 1957 Survivor Benefit if the member dies while actively employed, is at least age 50 (or 52 for members hired on or after January 1, 2013), and has at least five years of credited service. The cost of living adjustments for each plan are applied as specified by the Public Employees' Retirement Law. The CalPERS provisions and benefits in effect at June 30, 2015, are summarized as follows:

	School Employer Pool (CalPERS)	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 55	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	55	62
Monthly benefits as a percentage of eligible compensation	1.1% - 2.5%	1.0% - 2.5%
Required employee contribution rate	7.000%	6.000%
Required employer contribution rate	11.771%	11.771%

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Contributions

Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. Total plan contributions are calculated through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The District is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. The contributions rates are expressed as percentage of annual payroll. The contribution rates for each plan for the year ended June 30, 2015, are presented above and the total District contributions were \$2,060,153.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2015, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$17,659,852. The net pension liability was measured as of June 30, 2014. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. At June 30, 2015, the District's proportion was 0.1556 percent.

For the year ended June 30, 2015, the District recognized pension expense of \$1,569,600. At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 2,060,153	\$ -
Net change in proportionate share of net pension liability	-	904,677
Difference between projected and actual earnings on pension plan investments	-	6,068,123
Total	<u>\$ 2,060,153</u>	<u>\$ 6,972,800</u>

The deferred outflow of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The deferred inflows of resources related to the net change in proportionate share of net pension liability will be amortized over the expected average remaining service lives (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the 2013-2014 measurement period is 3.9 years and the pension expense will be recognized as follows:

Year Ended June 30,	Amortization
2016	\$ 301,559
2017	301,559
2018	301,559
	<u>\$ 904,677</u>

The deferred inflow of resources related to differences between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Amortization
2016	\$ 1,517,031
2017	1,517,031
2018	1,517,031
2019	1,517,030
Total	<u>\$ 6,068,123</u>

Actuarial Methods and Assumptions

Total pension liability for the SEP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2013, and rolling forward the total pension liability to June 30, 2014. The financial reporting actuarial valuation as of June 30, 2013, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2013
Measurement date	June 30, 2014
Experience study	July 1, 1997 through June 30, 2011
Actuarial cost method	Entry age normal
Discount rate	7.50%
Investment rate of return	7.50%
Consumer price inflation	2.75%
Wage growth	3.00%

Mortality assumptions are based on mortality rates resulting from the most recent CalPERS experience study adopted by the CalPERS Board. For purposes of the post-retirement mortality rates, those revised rates include five years of projected ongoing mortality improvement using Scale AA published by the Society of Actuaries.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Using historical returns of all the funds' asset classes, expected compound returns were calculated over the short-term (first ten years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent. The target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	47%	5.25%
Global fixed income	19%	0.99%
Private equity	12%	6.83%
Real estate	11%	4.50%
Inflation sensitive	6%	0.45%
Infrastructure and Forestland	3%	4.50%
Liquidity	2%	-0.55%

Discount Rate

The discount rate used to measure the total pension liability was 7.50 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Based on these assumptions, the School Employer Pool fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount rate	Net Pension Liability
1% decrease (6.50%)	\$ 30,979,411
Current discount rate (7.50%)	17,659,852
1% increase (8.50%)	6,530,017

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Tax Deferred Annuity/Social Security

As established by Federal law, all public sector employees who are not members of their employer's existing retirement system (CalSTRS or CalPERS) must be covered by Social Security or an alternative plan. The District has elected to use Social Security as its alternative plan. District and employee contributions are determined by statute.

On Behalf Payments

The State of California makes contributions to CalSTRS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS in the amount of \$3,056,868 (5.679 percent of annual payroll). Contributions are no longer appropriated in the annual *Budget Act* for the legislatively mandated benefits to CalPERS. Therefore, there is no on behalf contribution rate for CalPERS. Under accounting principles generally accepted in the United States of America, these amounts are to be reported as revenues and expenditures. Accordingly, these amounts have been recorded in these financial statements. On behalf payments have been excluded from the calculation of available reserves, and have not been included in the budgeted amounts reported in the *General Fund - Budgetary Comparison Schedule*.

NOTE 15 - COMMITMENTS AND CONTINGENCIES

Grants

The District received financial assistance from Federal and State agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2015.

Litigation

The District is involved in various litigation arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2015.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Construction Commitments

As of June 30, 2015, the District had the following commitments with respect to the unfinished capital projects:

Capital Project	Remaining Construction Commitment	Expected Date of Completion
Northview High Aquatics Center Phase 1	\$ 2,000,000	February 1, 2016
District Wide Flooring	658,293	September 1, 2015
Various Sites Exterior Painting	349,381	December 1, 2015
Valencia Mini Mod	1,449,688	July 1, 2016
Covina High Track and Field	1,179,752	June 1, 2016
District Sports Complex	4,764,423	October 1, 2015
	<u>\$ 10,401,537</u>	

NOTE 16 - PARTICIPATION IN PUBLIC ENTITY RISK POOLS, JOINT POWERS AUTHORITIES AND OTHER RELATED PARTY TRANSACTIONS

The District is a member of the Southern California Schools Employee Benefits Association (SCSEBA), joint power authority, and the Alliance of Schools for Cooperative Insurance Programs (ASCIP) public entity risk pool and, through participation in ASCIP, the Schools Excess Liability Fund (SELF) public entity risk pool. The District pays an annual premium to SCSEBA and ASCIP for its medical and property/liability and workers' compensation excess liability coverage, respectively. The relationships between the District and the pools are such that they are not component units of the District for financial reporting purposes.

These entities have budgeting and financial reporting requirements independent of member units and their financial statements are not presented in these financial statements; however, fund transactions between the entities and the District are included in these statements. Audited financial statements are available from the respective entities.

During the year ended June 30, 2015, the District made a payment of \$9,515,088 and \$983,715 to SCSEBA and ASCIP, respectively, for services received.

NOTE 17 - SUBSEQUENT EVENTS

On July 9, 2015, the District issued the 2012 General Obligation Bonds, Series B in the amount of \$37,000,000 with interest rates ranging from 2.0 to 5.0 percent. The 2012 General Obligation Bonds have a final maturity of August 1, 2044. Proceeds from the sale of the bonds will be used to finance the repair, upgrading, acquisition, construction and equipping of certain District property and facilities, and to pay the costs of issuing the Bonds.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

NOTE 18 - RESTATEMENT OF PRIOR YEAR NET POSITION

The District adopted GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*, in the current year. As a result, the effect on the current fiscal year is as follows:

	Governmental Activities
Statement of Net Position	
Net Position - Beginning	\$ 14,681,891
Inclusion of net pension liability from the adoption of GASB Statement No. 68	(109,750,872)
Inclusion of deferred outflows of resources from the adoption of GASB Statement No. 68	6,210,823
Net Position - Beginning, as restated	<u><u>\$ (88,858,158)</u></u>

REQUIRED SUPPLEMENTARY INFORMATION

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

GENERAL FUND

BUDGETARY COMPARISON SCHEDULE

FOR THE YEAR ENDED JUNE 30, 2015

	Budgeted Amounts		Actual	Variances - Positive (Negative) Final to Actual
	Original	Final	(GAAP Basis)	
REVENUES				
Local Control Funding Formula	\$94,597,298	\$94,374,861	\$ 96,381,587	\$ 2,006,726
Federal sources	6,628,995	6,701,319	6,686,542	(14,777)
Other State sources	12,440,378	15,050,881	15,407,114	356,233
Other local sources	5,086,175	4,895,974	6,192,639	1,296,665
Total Revenues ¹	<u>118,752,846</u>	<u>121,023,035</u>	<u>124,667,882</u>	<u>3,644,847</u>
EXPENDITURES				
Current				
Certificated salaries	56,997,108	58,043,448	57,994,840	48,608
Classified salaries	19,152,413	17,611,275	18,497,834	(886,559)
Employee benefits	22,853,476	23,218,736	26,339,822	(3,121,086)
Books and supplies	6,058,326	8,562,127	6,996,608	1,565,519
Services and operating expenditures	11,036,607	12,131,303	11,945,001	186,302
Capital outlay	946,870	884,002	1,250,639	(366,637)
Other outgo	5,820,704	4,484,487	4,450,147	34,340
Total Expenditures ¹	<u>122,865,504</u>	<u>124,935,378</u>	<u>127,474,891</u>	<u>(2,539,513)</u>
Excess (Deficiency) of Revenues Over Expenditures	<u>(4,112,658)</u>	<u>(3,912,343)</u>	<u>(2,807,009)</u>	<u>1,105,334</u>
Other Financing Sources (Uses)				
Transfers in	50,000	-	-	-
Transfers out	-	(565,940)	(1,652,880)	(1,086,940)
Net Financing Sources (Uses)	<u>50,000</u>	<u>(565,940)</u>	<u>(1,652,880)</u>	<u>(1,086,940)</u>
NET CHANGE IN FUND BALANCES	<u>(4,062,658)</u>	<u>(4,478,283)</u>	<u>(4,459,889)</u>	<u>18,394</u>
Fund Balance - Beginning	<u>19,773,894</u>	<u>19,773,894</u>	<u>19,773,894</u>	<u>-</u>
Fund Balance - Ending	<u>\$15,711,236</u>	<u>\$15,295,611</u>	<u>\$ 15,314,005</u>	<u>\$ 18,394</u>

¹ On behalf payments of \$3,056,868 are included in the actual revenues and expenditures, but have not been included in the budgeted amounts. In addition, due to the consolidation of Fund 11, Adult Education Fund and Fund 14, Deferred Maintenance Fund, for reporting purposes into the General Fund, additional revenues and expenditures pertaining to these funds are included in the Actual (GAAP Basis) revenues and expenditures, but are not included in the original and final General Fund budgets.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

CAFETERIA FUND

BUDGETARY COMPARISON SCHEDULE

FOR THE YEAR ENDED JUNE 30, 2015

	Budgeted Amounts		Actual	Variances -
	Original	Final	(GAAP Basis)	Positive (Negative) Final to Actual
REVENUES				
Federal sources	\$ 4,452,070	\$4,645,210	\$ 5,085,936	\$ 440,726
Other State sources	385,765	387,811	411,336	23,525
Other local sources	863,240	794,433	775,031	(19,402)
Total Revenues	5,701,075	5,827,454	6,272,303	444,849
EXPENDITURES				
Current				
Classified salaries	2,097,208	2,034,615	1,871,207	163,408
Employee benefits	687,547	698,191	547,412	150,779
Books and supplies	2,622,117	2,955,152	2,880,922	74,230
Services and operating expenditures	223,925	225,595	149,411	76,184
Other outgo	201,227	318,901	271,742	47,159
Debt service - principal	2,542	2,638	2,543	95
Total Expenditures	5,834,566	6,235,092	5,723,237	511,855
NET CHANGE IN FUND BALANCES	(133,491)	(407,638)	549,066	956,704
Fund Balance - Beginning	5,330,495	5,330,495	5,330,495	-
	\$ 5,197,004	\$4,922,857	\$ 5,879,561	\$ 956,704

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

**SCHEDULE OF OTHER POSTEMPLOYMENT BENEFITS (OPEB) FUNDING
PROGRESS
FOR THE YEAR ENDED JUNE 30, 2015**

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) - Unprojected Unit Credit (b)	Unfunded AAL (UAAL) (b - a)	Funded Ratio (a / b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ([b - a] / c)
July 1, 2009	\$ -	\$ 6,976,855	\$ 6,976,855	0%	\$ 68,551,431	10%
July 1, 2011	-	6,737,951	6,737,951	0%	70,102,418	10%
July 1, 2013	-	8,355,091	8,355,091	0%	74,920,958	11%

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY FOR THE YEAR ENDED JUNE 30, 2015

	<u>2015</u>
CalSTRS	
District's proportion of the net pension liability	<u>0.1182%</u>
District's proportionate share of the net pension liability	\$ 69,056,755
State's proportionate share of the net pension liability associated with the District	<u>41,699,450</u>
Total	<u><u>\$ 110,756,205</u></u>
District's covered - employee payroll	<u>\$ 55,766,890</u>
District's proportionate share of the net pension liability as a percentage of its covered - employee payroll	<u>123.83%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>77%</u>
 CalPERS	
District's proportion of the net pension liability	<u>0.1556%</u>
District's proportionate share of the net pension liability	<u>\$ 17,659,852</u>
District's covered - employee payroll	<u>\$ 16,402,026</u>
District's proportionate share of the net pension liability as a percentage of its covered - employee payroll	<u>107.67%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>83%</u>

Note: In the future, as data become available, ten years of information will be presented.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

SCHEDULE OF DISTRICT CONTRIBUTIONS FOR THE YEAR ENDED JUNE 30, 2015

	<u>2015</u>
CalSTRS	
Contractually required contribution	\$ 5,248,838
Contributions in relation to the contractually required contribution	<u>5,248,838</u>
Contribution deficiency (excess)	<u>\$ -</u>
 District's covered - employee payroll	 <u>\$ 59,108,536</u>
 Contributions as a percentage of covered - employee payroll	 <u>8.88%</u>
 CalPERS	
Contractually required contribution	\$ 2,060,153
Contributions in relation to the contractually required contribution	<u>2,060,153</u>
Contribution deficiency (excess)	<u>\$ -</u>
 District's covered - employee payroll	 <u>\$ 17,503,424</u>
 Contributions as a percentage of covered - employee payroll	 <u>11.77%</u>

Note: In the future, as data become available, ten years of information will be presented.

SUPPLEMENTARY INFORMATION

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS FOR THE YEAR ENDED JUNE 30, 2015

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal CFDA Number	Pass-Through Entity Identifying Number	Federal Expenditures
U.S. DEPARTMENT OF EDUCATION			
Passed through California Department of Education (CDE)			
No Child Left Behind Act (NCLB)			
Title I, Part A - Low Income and Neglected	84.010	14329	\$ 2,523,026
Title I, Part G - Advance Placement Test Fee Reimbursement Program	84.330B	14831	34,595
Title II, Part A - Improving Teacher Quality	84.367	14341	199,468
Title III, Limited English Proficiency	84.365	10084	165,035
Title X, McKinney-Vento Homeless Children Assistance	84.196	14332	2,492
Carl D. Perkins Career and Technical Education Act	84.048	14894	
Career and Technical Education Cluster			
Career and Technical Education - Secondary, Section 131	84.048	14894	94,447
Career and Technical Education - Adult, Section 132	84.048	14893	18,882
Subtotal - Career and Technical Education Cluster			113,329
Passed Through East San Gabriel Valley SELPA to CVUSD			
Special Education (IDEA) Cluster:			
Local Assistance	84.027	13379	2,614,308
Private School Grant, Part B Section 611	84.027	10115	50,167
Preschool Grant, Part B, Section 619	84.173	13430	55,483
Preschool Local Grant, Part B	84.027A	13682	77,717
Mental Health Allocation Part B	84.027	14468	218,227
Subtotal Special Education (IDEA) Cluster			3,015,902
Early Intervention Programs, Part C	84.181	23761	170,597
Passed Through East San Gabriel Valley SELPA to Other Districts			
Special Education (IDEA) Cluster:			
Local Assistance	84.027	13379	14,243,627
Preschool Grant, Part B, Section 619	84.173	13430	352,251
Preschool Local Grant, Part B	84.027A	13682	431,768
Mental Health Allocation Part B	84.027	14468	752,014
Preschool Staff Development	84.173A	13431	2,728
Subtotal Special Education (IDEA) Cluster			15,782,388
Early Intervention Programs, Part C	84.181	23761	113,730
Total U.S. Department of Education			22,120,562

See accompanying note to supplementary information.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS, Continued FOR THE YEAR ENDED JUNE 30, 2015

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal CFDA Number	Pass-Through Entity Identifying Number	Federal Expenditures
Passed Through California Department of Health Services			
Medi-Cal Billing Options	93.778	10013	\$ 494,317
Child Care Development Fund Cluster:			
Child Development: Federal Child Care, Center-Based	93.575	13609 and 15136	246,580
Child Development: Federal State Preschool	93.596	13609	154,330
Subtotal - Child Development Fund Cluster			<u>400,910</u>
Total U.S. Department of Health and Human Services			<u>895,227</u>
U.S. DEPARTMENT OF AGRICULTURE			
Passed through CDE			
Child Nutrition Cluster:			
National School Lunch Program	10.555	13523	3,467,631
Basic School Breakfast	10.553	13525	1,213,733
Food Distribution	10.555	13523	404,572
Subtotal Child Nutrition Cluster			<u>5,085,936</u>
U.S. DEPARTMENT OF LABOR			
Passed Through East San Gabriel Valley SELPA			
Youth Career Connect Program	17.274	YC-25405-14-60-A-6	13,044
Total Federal Programs			<u>\$ 28,114,769</u>

See accompanying note to supplementary information.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

LOCAL EDUCATION AGENCY ORGANIZATION STRUCTURE JUNE 30, 2015

ORGANIZATION

The Covina-Valley Unified School District (the District) was unified on December 15, 1959 under the laws of the State of California. The District operates under a locally elected five-member Board form of government and provides educational services to grades K-12 as mandated by the State and/or Federal agencies. The District operates ten elementary schools, three middle schools, three high schools, an alternative high school, a children's center program and adult education centers.

GOVERNING BOARD

<u>MEMBER</u>	<u>OFFICE</u>	<u>TERM EXPIRES</u>
Darrell A. Myrick	President	2017
Richard M. White	Vice President	2017
William L. Knoll	Clerk	2015
Charles M. Kemp	Member	2015
Sue L. Maulucci	Member	2015

ADMINISTRATION

<u>NAME</u>	<u>TITLE</u>
Catherine J. Nichols, Ed.D.	District Superintendent
Louise Taylor	Interim Assistant Superintendent, Personnel Services
Elizabeth Eminhizer	Assistant Superintendent, Educational Services
Jennifer Root	Chief Business Officer

See accompanying note to supplementary information.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

SCHEDULE OF AVERAGE DAILY ATTENDANCE FOR THE YEAR ENDED JUNE 30, 2015

	Final Report	
	Second Period Report	Annual Report
Regular ADA		
Transitional kindergarten through third	3,208.30	3,203.91
Fourth through sixth	2,465.22	2,456.16
Seventh and eighth	1,735.19	1,729.14
Ninth through twelfth	4,521.22	4,485.00
Total Regular ADA	11,929.93	11,874.21
Extended Year Special Education		
Transitional kindergarten through third	4.39	4.39
Fourth through sixth	7.15	7.15
Seventh and eighth	4.11	4.11
Ninth through twelfth	12.18	12.18
Total Extended Year Special Education	27.83	27.83
Special Education, Nonpublic, Nonsectarian Schools		
Transitional kindergarten through third	3.77	3.72
Fourth through sixth	3.66	3.78
Seventh and eighth	3.41	3.31
Ninth through twelfth	10.36	9.93
Total Special Education, Nonpublic, Nonsectarian Schools	21.20	20.74
Extended Year Special Education, Nonpublic, Nonsectarian Schools		
Transitional kindergarten through third	0.31	0.31
Fourth through sixth	0.53	0.53
Seventh and eighth	0.32	0.32
Ninth through twelfth	1.03	1.03
Total Extended Year Special Education, Nonpublic, Nonsectarian Schools	2.19	2.19
Community Day School		
Seventh and eighth	0.59	0.51
Ninth through twelfth	2.79	2.86
Total Community Day School	3.38	3.37
Total ADA	11,984.53	11,928.34

See accompanying note to supplementary information.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

SCHEDULE OF INSTRUCTIONAL TIME FOR THE YEAR ENDED JUNE 30, 2015

Grade Level	1986-87	Reduced	2014-15 Actual Minutes	Number of Days		Status
	Minutes Requirement	1986-87 Minutes Requirement		Traditional Calendar	Multitrack Calendar	
Kindergarten	36,000	35,000	43,950	180	-	Complied
Grades 1 - 3	50,400	49,000				
Grade 1			49,672	180	-	Complied
Grade 2			50,512	180	-	Complied
Grade 3			50,512	180	-	Complied
Grades 4 - 6	54,000	52,500				
Grade 4			53,004	180	-	Complied
Grade 5			53,004	180	-	Complied
Grade 6			55,344	180	-	Complied
Grades 7 - 8	54,000	52,500				
Grade 7			55,344	180	-	Complied
Grade 8			55,344	180	-	Complied
Grades 9 - 12	64,800	63,000				
Grade 9			63,970	180	-	Complied
Grade 10			63,970	180	-	Complied
Grade 11			63,970	180	-	Complied
Grade 12			63,970	180	-	Complied

See accompanying note to supplementary information.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

RECONCILIATION OF ANNUAL FINANCIAL AND BUDGET REPORT WITH AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED JUNE 30, 2015

There were no adjustments to the Unaudited Actual Financial Report, which require reconciliation to the audited financial statements at June 30, 2015.

See accompanying note to supplementary information.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

SCHEDULE OF FINANCIAL TRENDS AND ANALYSIS FOR THE YEAR ENDED JUNE 30, 2015

	(Budget) 2016 ¹	2015	2014	2013
GENERAL FUND ⁴				
Revenues	\$ 138,314,980	\$ 124,559,365	\$ 118,395,558	\$ 115,830,081
Other sources	-	-	201,085	1,826,957
Total Revenues and Other Sources	138,314,980	124,559,365	118,596,643	117,657,038
Expenditures	127,112,909	126,200,148	120,986,952	114,613,550
Other uses and transfers out	-	2,363,910	1,465,808	2,915,203
Total Expenditures and Other Uses	127,112,909	128,564,058	122,452,760	117,528,753
INCREASE (DECREASE) IN FUND BALANCE	\$ 11,202,071	\$ (4,004,693)	\$ (3,856,117)	\$ 128,285
ENDING FUND BALANCE	\$ 26,441,608	\$ 15,239,537	\$ 19,244,230	\$ 23,100,347
AVAILABLE RESERVES ²	\$ 18,240,869	\$ 9,200,081	\$ 9,777,307	\$ 14,923,939
AVAILABLE RESERVES AS A PERCENTAGE OF TOTAL OUTGO ³	14.35%	7.33%	8.18%	13.00%
LONG-TERM OBLIGATIONS	N/A	\$ 148,227,215	\$ 154,586,239	\$ 155,151,284
K-12 AVERAGE DAILY ATTENDANCE AT P-2	11,437	11,985	12,289	12,577

The General Fund balance has decreased by \$7,860,810 over the past two years. The fiscal year 2015-2016 budget projects an increase of \$11,202,071 (73.5 percent). For a district this size, the State recommends available reserves of at least three percent of total General Fund expenditures, transfers out, and other uses (total outgo).

The District has incurred operating deficits in two of the past three years but anticipates incurring an operating surplus during the 2015-2016 fiscal year. Total long-term obligations have decreased by \$6,924,069 over the past two years.

Average daily attendance has decreased by 592 over the past two years. An additional decline of 548 ADA is anticipated during fiscal year 2015-2016.

¹ Budget 2016 is included for analytical purposes only and has not been subjected to audit.

² Available reserves consist of all unassigned fund balances including all amounts reserved for economic uncertainties contained with the General Fund.

³ On behalf payments of \$3,056,868, \$2,915,876, and \$2,754,736, have been excluded from the calculation of available reserves for the fiscal years ending June 30, 2015, 2014, and 2013, respectively.

⁴ General Fund amounts do not include activity related to the consolidation of Fund 11, Adult Education Fund, and Fund 14, Deferred Maintenance Fund.

See accompanying note to supplementary information.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NON-MAJOR GOVERNMENTAL FUNDS COMBINING BALANCE SHEET JUNE 30, 2015

	Child Development Fund	Capital Facilities Fund	Total Non-Major Governmental Funds
ASSETS			
Deposits and investments	\$ (207,862)	\$ 182,059	\$ (25,803)
Receivables	313,007	253	313,260
Total Assets	<u>\$ 105,145</u>	<u>\$ 182,312</u>	<u>\$ 287,457</u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 87,534	\$ -	\$ 87,534
Fund Balances:			
Restricted	17,611	182,312	199,923
Total Liabilities and Fund Balances	<u>\$ 105,145</u>	<u>\$ 182,312</u>	<u>\$ 287,457</u>

See accompanying note to supplementary information.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NON-MAJOR GOVERNMENTAL FUNDS COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE YEAR ENDED JUNE 30, 2015

	Child Development Fund	Capital Facilities Fund	Total Non-Major Governmental Funds
REVENUES			
Federal sources	\$ 400,910	\$ -	\$ 400,910
Other State sources	1,141,139	-	1,141,139
Other local sources	46,607	183,042	229,649
Total Revenues	1,588,656	183,042	1,771,698
EXPENDITURES			
Current			
Instruction	1,331,190	-	1,331,190
Supervision of instruction	78,643	-	78,643
School site administration	57,934	-	57,934
Pupil services:			
Food services	15,902	-	15,902
All other pupil services	192	-	192
Administration:			
All other administration	109,726	1,793	111,519
Plant services	106,105	-	106,105
Total Expenditures	1,699,692	1,793	1,701,485
Excess (Deficiency) of Revenue Over Expenditures	(111,036)	181,249	70,213
Other Financing Sources			
Transfers in	100,245	-	100,245
NET CHANGE IN FUND BALANCES	(10,791)	181,249	170,458
Fund Balance - Beginning	28,402	1,063	29,465
Fund Balance - Ending	\$ 17,611	\$ 182,312	\$ 199,923

See accompanying note to supplementary information.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

GENERAL FUND SELECTED FINANCIAL INFORMATION THREE-YEAR SUMMARY OF REVENUES, EXPENDITURES, AND CHANGES OF FUND BALANCE FOR THE YEAR ENDED JUNE 30, 2015

(Amounts in thousands)

	Actual Results for the Years					
	2014-2015		2013-2014		2012-2013	
	Amount	Percent of Revenue	Amount	Percent of Revenue	Amount	Percent of Revenue
REVENUES						
Federal revenue	\$ 6,791	5.4	\$ 5,714	4.8	\$ 6,359	5.5
State and local revenue included in Local Control Funding Formula	96,382	77.4	87,712	74.1	68,345	59.0
Other State revenue	15,283	12.3	18,884	16.0	34,380	29.7
Other local revenue	3,209	2.6	3,323	2.8	6,746	5.8
Tuition and transfers in	2,894	2.3	2,763	2.3	-	0.0
Total Revenues	<u>124,559</u>	<u>100.0</u>	<u>118,396</u>	<u>100.0</u>	<u>115,830</u>	<u>100.0</u>
EXPENDITURES						
Salaries and Benefits						
Certificated salaries	57,536	46.2	54,688	46.2	52,962	45.7
Classified salaries	17,702	14.2	17,554	14.8	16,578	14.3
Employee benefits	25,899	20.8	24,536	20.7	22,797	19.7
Total Salaries and Benefits	101,137	81.2	96,778	81.7	92,337	79.7
Books and supplies	6,960	5.6	4,151	3.5	3,550	3.1
Contracts and operating expenses	12,784	10.2	11,753	9.9	11,630	10.1
Capital outlay	768	0.6	1,594	1.4	692	0.6
Other outgo	4,551	3.7	6,711	5.7	6,405	5.5
Total Expenditures	<u>126,200</u>	<u>101.3</u>	<u>120,987</u>	<u>102.2</u>	<u>114,614</u>	<u>99.0</u>
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(1,641)	(1.3)	(2,591)	(2.2)	1,216	1.0
OTHER FINANCING SOURCES (USES)						
Operating transfers, net	(2,364)	(1.9)	(1,265)	(1.1)	(1,088)	(0.9)
INCREASE (DECREASE) IN FUND BALANCE	(4,005)	<u>(3.2)</u>	(3,856)	<u>(3.3)</u>	128	<u>0.1</u>
FUND BALANCE, BEGINNING	19,244		23,100		22,972	
FUND BALANCE, ENDING	<u>\$ 15,239</u>		<u>\$ 19,244</u>		<u>\$ 23,100</u>	

NOTE: General Fund amounts do not include activity related to the consolidation of Fund 11, Adult Education Fund, and Fund 14, Deferred Maintenance Fund.

See accompanying note to supplementary information.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTE TO SUPPLEMENTARY INFORMATION JUNE 30, 2015

NOTE 1 - PURPOSE OF SCHEDULES

Schedule of Expenditures of Federal Awards

The accompanying Schedule of Expenditures of Federal Awards includes the Federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of the United States Office of Management and Budget Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the financial statements.

The following schedule provides reconciliation between revenues reported on the Statement of Revenues, Expenditures, and Changes in Fund Balances and the related expenditures reported on the Schedule of Expenditures of Federal Awards. The reconciling amounts consist of Medi-Cal Billing Options funds that in the current year were recorded as revenues but were unspent. These unspent balances have been expended in the current period.

Description	CFDA Number	Amount
Total Federal Revenues From the Statement of Revenues, Expenditures and Changes in Fund Balances:		\$ 28,069,506
Medi-Cal Billing Options	93.778	45,263
Total Schedule of Expenditures of Federal Awards		<u>\$ 28,114,769</u>

Local Education Agency Organization Structure

This schedule provides information about the District's boundaries and schools operated, members of the governing board, and members of the administration.

Schedule of Average Daily Attendance (ADA)

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

Schedule of Instructional Time

The District has received incentive funding for increasing instructional time as provided by the Incentives for Longer Instructional Day. The District neither met nor exceeded its target funding. This schedule presents information on the amount of instructional time offered by the District and whether the District complied with the provisions of *Education Code* Sections 46200 through 46206.

Districts must maintain their instructional minutes at 1986-87 requirements, as required by *Education Code* Section 46201.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

NOTE TO SUPPLEMENTARY INFORMATION JUNE 30, 2015

Reconciliation of Annual Financial and Budget Report With Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Unaudited Actual Financial Report to the audited financial statements.

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

Non-Major Governmental Funds - Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances

The Non-Major Governmental Funds Combining Balance Sheet and Combining Statement of Revenues, Expenditures, and Changes in Fund Balances is included to provide information regarding the individual funds that have been included in the Non-Major Governmental Funds column on the Governmental Funds Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances.

General Fund Selected Financial Information

This schedule provides a comparison of revenues and expenditures as a percentage of total revenue for the General Fund for the past three years.

INDEPENDENT AUDITOR'S REPORTS



**INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER
FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS
BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN
ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS**

Governing Board
Covina-Valley Unified School District
Covina, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of Covina-Valley Unified School District (the District) as of and for the year ended June 30, 2015, and the related notes to the financial statements, which collectively comprise Covina-Valley Unified School District's basic financial statements, and have issued our report thereon dated December 1, 2015.

Emphasis of Matter - Change in Accounting Principles

As discussed in Note 1 and 18 to the financial statements, the District adopted new accounting guidance, GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*. Our opinion is not modified with respect to this matter.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Covina-Valley Unified School District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Covina-Valley Unified School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Covina-Valley Unified School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Compliance and Other Matters

We noted certain matters that we reported to management of Covina-Valley Unified School District in a separate letter dated December 1, 2015.

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Rancho Cucamonga, California
December 1, 2015



**INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR
EACH MAJOR PROGRAM AND REPORT ON INTERNAL CONTROL
OVER COMPLIANCE REQUIRED BY OMB CIRCULAR A-133**

Governing Board
Covina-Valley Unified School District
Covina, California

Report on Compliance for Each Major Federal Program

We have audited Covina-Valley Unified School District's (the District) compliance with the types of compliance requirements described in the *OMB Circular A-133 Compliance Supplement* that could have a direct and material effect on each of Covina-Valley Unified School District's major Federal programs for the year ended June 30, 2015. Covina-Valley Unified School District's major Federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to its Federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Covina-Valley Unified School District's major Federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and OMB Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Those standards and OMB Circular A-133 require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major Federal program occurred. An audit includes examining, on a test basis, evidence about Covina-Valley Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major Federal program. However, our audit does not provide a legal determination of Covina-Valley Unified School District's compliance.

In our opinion, Covina-Valley Unified School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major Federal programs for the year ended June 30, 2015.

Management of Covina-Valley Unified School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Covina-Valley Unified School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major Federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major Federal program and to test and report on internal control over compliance in accordance with OMB Circular A-133, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Covina-Valley Unified School District's internal control over compliance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

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INDEPENDENT AUDITOR'S REPORT ON STATE COMPLIANCE

Governing Board
Covina-Valley Unified School District
Covina, California

Report on State Compliance

We have audited Covina-Valley Unified School District's (the District) compliance with the types of compliance requirements as identified in the *2014-2015 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* that could have a direct and material effect on each of the Covina-Valley Unified School District's State government programs as noted below for the year ended June 30, 2015.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to its State's programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance of each of the Covina-Valley Unified School District's State programs based on our audit of the types of compliance requirements referred to above. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2014-2015 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. These standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the compliance requirements referred to above that could have a material effect on the applicable government programs noted below. An audit includes examining, on a test basis, evidence about Covina-Valley Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion. Our audit does not provide a legal determination of Covina-Valley Unified School District's compliance with those requirements.

Unmodified Opinion on Each of the Programs

In our opinion, Covina-Valley Unified School District complied, in all material respects, with the compliance requirements referred to above that are applicable to the government programs noted below that were audited for the year ended June 30, 2015.

In connection with the audit referred to above, we selected and tested transactions and records to determine the Covina-Valley Unified School District's compliance with the State laws and regulations applicable to the following items:

	Procedures Performed
Attendance Accounting:	
Attendance Reporting	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	Yes
Independent Study	No, see below
Continuation Education	Yes
Instructional Time	Yes
Instructional Materials	Yes
Ratios of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	No, see below
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	No, see below
Middle or Early College High Schools	No, see below
K-3 Grade Span Adjustment	Yes
Transportation Maintenance of Effort	Yes
Regional Occupational Centers or Programs Maintenance of Effort	Yes
Adult Education Maintenance of Effort	Yes
California Clean Energy Jobs Act	No, see below
After School Education and Safety Program:	
General Requirements	Yes
After School	Yes
Before School	No, see below
Proper Expenditure of Education Protection Account Funds	Yes
Common Core Implementation Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control Accountability Plan	Yes
Charter Schools:	
Attendance	No, see below
Mode of Instruction	No, see below
Non Classroom-Based Instruction/Independent Study	No, see below
Determination of Funding for Non Classroom-Based Instruction	No, see below
Annual Instruction Minutes Classroom-Based	No, see below
Charter School Facility Grant Program	No, see below

We did not perform testing for Independent Study because the ADA for this program was below the materiality threshold as indicated in the 2014-2015 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting.

The District did not offer an Early Retirement Incentive Program; therefore, we did not perform procedures related to the Early Retirement Incentive Program.

The District does not have any Juvenile Court Schools; therefore, we did not perform any procedures related to Juvenile Court Schools.

The District does not have any Middle or Early College High Schools; therefore, we did not perform procedures related to Middle or Early College High Schools.

We did not perform testing over California Clean Energy Jobs Act as no expenditures were noted in the current year.

The District does not offer a Before School Education and Safety Program; therefore, we did not perform any procedures related to the Before School Education and Safety Program.

The District does not have any Charter Schools; therefore, we did not perform any procedures for Charter School Programs.

VA0295121212. Day + cup

Rancho Cucamonga, California
December 1, 2015

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

SUMMARY OF AUDITOR'S RESULTS FOR THE YEAR ENDED JUNE 30, 2015

FINANCIAL STATEMENTS

Type of auditor's report issued:	<u>Unmodified</u>
Internal control over financial reporting:	
Material weakness identified?	<u>No</u>
Significant deficiency identified?	<u>None reported</u>
Noncompliance material to financial statements noted?	<u>No</u>

FEDERAL AWARDS

Internal control over major Federal programs:	
Material weakness identified?	<u>No</u>
Significant deficiency identified?	<u>None reported</u>
Type of auditor's report issued on compliance for major Federal programs:	<u>Unmodified</u>
Any audit findings disclosed that are required to be reported in accordance with Section .510(a) of OMB Circular A-133?	<u>No</u>

Identification of major Federal programs:

<u>CFDA Numbers</u>	<u>Name of Federal Program or Cluster</u>
84.027, 84.027A, 84.173, 84.173A	<u>Special Education (IDEA) Cluster</u>
<u>93.778</u>	<u>Medi-Cal Billing Options</u>

Dollar threshold used to distinguish between Type A and Type B programs:	<u>\$ 843,443</u>
Auditee qualified as low-risk auditee?	<u>Yes</u>

STATE AWARDS

Type of auditor's report issued on compliance for programs:	<u>Unmodified</u>
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COVINA-VALLEY UNIFIED SCHOOL DISTRICT

**FINANCIAL STATEMENT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2015**

None reported.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

**FEDERAL AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2015**

None reported.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

**STATE AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2015**

None reported.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS FOR THE YEAR ENDED JUNE 30, 2015

Except as specified in previous sections of this report, summarized below is the current status of all audit findings reported in the prior year's schedule of financial statement findings.

State Awards Findings

Unduplicated Local Control Funding Formula Pupil Counts

2014-001 Code 40000

Criteria or Specific Requirements

The School District is required to maintain supporting documentation such as a Free and Reduce Price Meal (FRPM) eligibility application or an alternative household income data collection form that indicates the student was eligible for the designation indicated on the California Longitudinal Pupil Achievement Data System (CALPADS) 2013-2014 certified report.

Condition

The District did not have supporting documentation for 11 of the 135 students selected, who had a status designation of Free or Reduce on the "1.18 – FRPM/English Learner/Foster Youth – Student List" CALPADS report. It appeared the District did not receive a current year application for these students and the 1.18 report was not updated. A population of 2,332 students was identified by the District who had a Free or Reduced designation in the prior year and who did not turn in an application in the current year. The District reviewed the remaining students and determined there were 74 additional exceptions. This resulted in 85 exceptions noted in total.

Questioned Costs

The question costs associated with this condition resulted in a decrease in Local Control Formula Funding of \$56,387.

Context

The condition was identified as a result of selecting a sample of students from the "1.18 – FRPM/English Learner/Foster Youth – Student List" CALPADS report. The "1.18 – FRPM/English Learner/Foster Youth – Student List" was agreed to the "1.17 – FRPM/English Learner/Foster Youth Count" certified CALPADS report to ensure the correct 1.18 report was used. The initial sample was selected from six school sites which resulted in exceptions noted at one site. It appeared the errors were a result of students who had a Free or Reduced designation in the prior year and who did not turn in an application in the current year by the October 2, 2013 certified date. Additional procedures were performed resulting in the review of the remaining population of 2,332 students. The District did not have supporting documentation for 85 students in total after all procedures were performed.

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS FOR THE YEAR ENDED JUNE 30, 2015

Effect

As a result of our testing, it appeared the District did not update the 1.18 – FRPM/English Learner/Foster Youth – Student List" CALPADS report for pupils that no supporting documentation was received indicating the student was eligible for the Free or Reduce designation as indicated on the CALPADS.

The following is a schedule of unduplicated pupil counts summarizing these results:

School Code	School Name	Total Enrollment	Unduplicated FRPM/EL/Foster Youth Total(4)	Adjustment	Adjusted Total unduplicated pupil count
6012439	Barranca Elementary	641	491	(2)	489
6012447	Ben Lomond Elementary	463	391	(2)	389
1932086	Covina High	1369	981	(8)	973
6012538	Las Palmas Middle	926	754	(4)	750
6012561	Mesa Elementary	618	312	(6)	306
1936418	Northview High	1388	1051	(20)	1031
6012587	Rowland Avenue Elementary	502	387	(1)	386
6012595	Sierra Vista Middle	970	655	(9)	646
1938372	South Hills High	1824	1047	(33)	1014
TOTAL - Selected		8701	6069	(85)	5984

Cause

It appears the cause was due to the District being unsure which CALPADS report the changes had to be made to, and the timeline for which the District needed to make necessary changes to the reports.

Recommendation

The District should emphasize the importance of completing the Form 1.18 accurately, which would include ensuring that all changes are accurately and timely updated based on new eligibility documentation received. In addition, the District should evaluate whether or not their 2014-2015 unduplicated pupil count percentage is higher than their 2013-2014 unduplicated percentage. If the District determines that their 2014-2015 unduplicated percentage is higher, the District's LCFF calculation will be based on the 2014-2015 unduplicated percentage, thus mitigating the financial impact the exceptions noted above have on compliance.

Current Status

Implemented



Governing Board
Covina-Valley Unified School District
Covina, California

In planning and performing our audit of the financial statements of Covina-Valley Unified School District (the District) for the year ended June 30, 2015, we considered its internal control structure in order to determine our auditing procedures for the purpose of expressing our opinion on the financial statements and not to provide assurance on the internal control structure.

However, during our audit, we noted matters that are opportunities for strengthening internal controls and operating efficiency. The following items represent conditions noted by our audit that we consider important enough to bring to your attention. This letter does not affect our report dated December 1, 2015, on the government-wide financial statements of the District.

Internal Controls - Receipts

Untimely Deposits of General Fund Local Revenues

Observation

Per review of the supporting documents pertaining to the District's General Fund local revenues, it appears that deposits are not always made in a timely manner. Based on our review of sample transmittals selected for testing, it appears that the delay in deposits ranged from 20 to 21 days. The delay in deposits of cash collections may increase the probability of loss.

Recommendation

The District should adhere to its established procedures related to frequency of deposits. The frequency of deposits may need to be increased depending on the volume and amount of cash collected. At a minimum, the District should make a single deposit once a week to reduce the risks associated with loss.

Untimely Deposits of Adult Education Fund Local Revenues

Observation

Per review of the supporting documents pertaining to the District's Adult Education Fund local revenues, it appears that the deposits are not always made in a timely manner. Based on our review of sample transmittals selected for testing, it appears that the delay in deposits ranged from 11 to 110 days. The delay in deposits of cash may increase the probability of loss.

Recommendation

The District should adhere to its established procedures related to frequency of deposits. The frequency of deposits may need to be increased depending on the volume and amount of cash collected. At a minimum, the District should make a single deposit once a week to reduce the risks associated with loss.

Untimely Deposits of Kids Korner Local Revenues

Observation

Per review of the supporting documents pertaining to the District's Kids Korner local revenues, it appears that the deposits are not always made in a timely manner. Based on our review of sample transmittals selected for testing, it appears that the delay in deposits ranged from 15 to 38 days. The delay in deposits of cash may increase the probability of loss.

Recommendation

The District should adhere to its established procedures related to frequency of deposits. The frequency of deposits may need to be increased depending on the volume and amount of cash collected. At a minimum, the District should make a single deposit once a week to reduce the risks associated with loss.

Internal Controls - Disbursements

Observations

The following weaknesses were noted with disbursements:

1. During our review of credit card disbursements, the auditor noted three disbursements that are unallowed under the CAL-Card purchasing policies and procedures. Two of the three purchases were for gasoline and one was for a computer hard drive. Per the approved CAL-Card policy, gasoline purchases are prohibited and technology supplies are not allowed unless pre-approved by the Director of Technology.
2. Five out of 40 disbursement reviewed had the invoice dated prior to the requisition date. This would indicate that items are being purchased prior to being approved.

Recommendations

1. The District should adhere to its CAL-Card Purchasing Card Program policies and procedures. Administrators of each department should inform its personnel of the type of expenses allowed under the approved CAL-Card program.
2. The District should take the necessary steps to ensure that all items have been reviewed and approved prior to being purchased. This will help ensure items are appropriate and funds are available.

ASSOCIATE STUDENT BODY

Sierra Vista Middle School

Observation

Based on the review of the cash receipting procedures, it was noted that 3 out of 14 receipts tested were not deposited in a timely manner. The delay in deposit ranged from 11 to 74 days from the date of receipt. This could result in large cash balances being maintained at the sites which can hinder the safeguarding of ASB assets.

Recommendation

The ASBs should, at a minimum, make their deposits once a week to minimize the amount of cash held at the sites. During weeks of high cash activity, there may be a need to make more than one deposit. The District should communicate specific guidelines for this procedure, including the maximum cash on hand that should be maintained at the site.

South Hills High School

Cash Receipts

Observations

1. Cash collected by teachers, advisors, or clubs is not always accounted for properly. Cash collections are not always supported by sub-receipts or logs that tie the total to the Student Body Deposit Slip. All 13 deposits tested did not have sufficient support or a paper trail; therefore, the auditor was unable to confirm if these collections were deposited intact.
2. Based on the review of the cash receipting procedures, it was noted that 4 of 13 receipts tested were not deposited in a timely manner. The delay in deposit ranged from 13 to 19 days from the date of receipt. This could result in large cash balances being maintained at the sites which can hinder the safeguarding of ASB assets.

Recommendations

1. Pre-numbered triplicate receipts or logs should be utilized when collecting money for all ASB events and transactions. If utilizing a log, the students name and amount being turned in should be documented. If using a receipt book, the receipts should be issued in sequential order to all individuals turning in monies. Teachers and administrators who collect monies should be equipped with a triplicate receipts book or log sheet. The white copy of the receipt should be issued to the person turning in the monies, the yellow receipt or log sheet should be utilized for deposit back-up, and the pink copy should be retained in the receipt book for audit purposes. When teachers are turning in monies for deposit, a Student Body Deposit Slip should be turned in with the yellow copy of the receipts and monies to clearly identify the total amount being turned in.
2. The ASBs should, at a minimum, make their deposits once a week to minimize the amount of cash held at the sites. During weeks of high cash activity, there may be a need to make more than one deposit. The District should communicate specific guidelines for this procedure including the maximum cash on hand that should be maintained at the site.

Disbursements

Observations

1. Open purchase orders ("Expenditure Approval") are liberally used for ASB disbursements. Many of the Expenditure Approvals were created for the entire year for a flat amount to cover general purchases. All 25 disbursements tested utilized open Expenditure Approval.
2. One out of 25 disbursements tested was paid without supporting documentation such as an invoice or receipt to substantiate the payment being processed.
3. ASB disbursements were being made without explicit receiving documentation for goods being ordered. As a result, 7 of 25 vendor invoices were paid without documented evidence of whether or not the goods being ordered have been received by the ASBs.
4. Based on the review of the disbursement procedures, it was noted that 4 of 25 disbursements tested were not consistently approved prior to transactions taking place. This could potentially lead to spending in excess of available funds. Additionally, expenditures of a questionable nature could arise if disbursements are not pre-approved.
5. Based on our review of ASB disbursements, we noted one disbursement was an expenditure that was a donation to a not for profit charity, which is not an allowable ASB expense.
6. Based on the review of the disbursement procedures, it was noted that disbursement documentation requires three signatures, None of the three signatures is for the site administrator.

Recommendations

1. The ASB should minimize the use of open purchase with high authorization amounts. The ASB should also be cognizant of its operating budget when creating these open purchase orders in order to prevent any instances of deficit spending. Furthermore, all purchase orders created and approved by the ASB should identify specific vendors that the ASB would engage in business transactions with. This would allow the ASB to facilitate the pre-approval of disbursement transactions.
2. All ASB disbursements should be accompanied by supporting invoices or receipts which document the reasons and the amount being paid. Disbursements should not be made if supporting invoices or receipts are not present during the approval process.
3. All goods being ordered should be documented with explicit receiving documentation. Documentation should indicate the date that the goods have been received and documentation regarding whether or not the goods have been received intact, undamaged, and in the correct quantities. Payments for vendor invoices should only be made once the receiving documentation is available.
4. In order to ensure proper internal controls over the ASB disbursements, the site should ensure that all disbursement transactions are pre-approved by authorized administrative personnel and the student council. This would allow the reviewing administrator and/or the student council to determine if the proposed activities are appropriate and to determine if sufficient funding is available to finance the activities or the purchases.
5. According to the student government accounting manual, student government money should not be used for expenditures for goods/services that do not involve the student body. We noted ASB funds were used to donate to a not for profit charity, an unallowable expense. The ASB should be provided proper training to ensure unallowable expenditures do not occur.
6. We recommend that the site implement a process to verify that all three approvers (ASB representative, faculty advisor, or site administrators) sign the pre-approval forms prior to making contact with the vendors.

Fundraising Activities

Observations

1. During our review of fundraising activities, it was noted that two out of four fund raises tested were not noted as pre approved within the ASB minutes. In addition, all four fundraisers tested did not have revenue potential forms completed.
2. During our review of fundraising activities, it was noted there is not adequate backup for the money received from students, advisors, and teachers for the fundraising activities.

Recommendations

1. All fundraisers should reflect pre-approval within the ASB minutes. All revenue potential forms must be completely filled out before and at the end of each fundraiser. The revenue potential form is important because it demonstrates the profitability of a fundraising activity. The form is also used to document any variances between projected to actual sales and an explanation of the difference. The form also requires an explanation of any overages/shortages between sales receipted to monies deposited. The site administrator should ensure that these forms are completed and turned into the bookkeeper at the conclusion of the fundraiser.
2. We recommend the site implement a system to keep track of items sold for purposes for collecting monies for ASB fundraising activities. This may be done through a physical inventory count prior to sales taking place, as well as performing an inventory count after sales. In addition, sites may implement a tally sheet documenting items being sold, as well as the selling price. After, the sales advisors should reconcile the tally sheet to the cash collected and submit all documentation to the individual depositing cash to the bank.

Other

Observations

1. During our review of student store activities, it was noted daily sales reports are not prepared for student store sales. The auditor noted the student store had significant amounts of unexplained discrepancies between daily sales totals and monies collected. The overages and shortages were documented by the site; however, no procedures were in place to identify the reasoning for the discrepancies. In addition, the site does not maintain perpetual inventory records for inventory of the student store. Therefore, no reconciliation is being performed between perpetual inventories to the physical count.
2. During the review of ASB activities, it was noted that the site maintains a change fund in the amount of \$1,845. However, the account analysis reports the change fund in the amount of \$800.

Recommendations

1. Daily sales reports provide a reconciliation between the sales recorded for the day and the amount of money collected for the day. From these reports, the ASB can determine if there is an overage or shortage of funds collected. Daily overages and shortages in the register may indicate that merchandise was sold and not accounted for correctly on the register. To enhance the accountability and accounting of the student store activity, the importance of ringing all merchandise sales up and correctly reconciling sales daily should be emphasized to all who work the register. If there is a discrepancy, the ASB can evaluate and develop methods to reduce such variances from occurring. Additionally, the ASB can analyze the daily sales reports to view trends in sales. These trends may help the ASB predict/adjust their inventory to meet demand. Without the daily sales report, the ASB cannot effectively reconcile the amount of recorded sales for the day and money collected. The site should implement a perpetual inventory system that will allow the site to track daily sales. This will aid the site in reconciling actual cash collection to estimated cash collections based on items sold. In addition, a perpetual inventory system will aid the site in reconciling the inventory to the monthly physical counts and identify any variances which may have resulted due to stolen goods.
2. The site should maintain documentation showing the District approved the change/petty cash fund and the specific amount of the approved change fund. This amount should be displayed on the site's year end ASB financial statements.

We will review the status of the current year comments during our next audit engagement.

VAOZNER, TRIN. Day + equip

Rancho Cucamonga, California
December 1, 2015

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APPENDIX C

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Covina-Valley Unified School District (the “District”) in connection with the issuance of (i) \$12,000,000 of the District’s Election of 2012 General Obligation Bonds, Series C and (ii) \$16,410,000 of the District’s 2016 General Obligation Refunding Bonds (2019 Crossover) (collectively, the “Bonds”). The Bonds are being issued pursuant to resolutions of the Board of Education of the District adopted on June 27, 2016 (collectively, the “Resolution”). The District covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriter in complying with Securities and Exchange Commission Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Resolution, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

“Dissemination Agent” shall mean initially the District, or any successor Dissemination Agent designated in writing by the District (which may be the District) and which has filed with the District a written acceptance of such designation.

“Holders” shall mean registered owners of the Bonds.

“Listed Events” shall mean any of the events listed in Section 5(a) or Section 5(b) of this Disclosure Certificate.

“Participating Underwriter” shall mean Wells Fargo Bank, National Association, as the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Repository” shall mean the Municipal Securities Rulemaking Board, which can be found at <http://emma.msrb.org/>, or any other repository of disclosure information that may be designated by the Securities and Exchange Commission as such for purposes of the Rule in the future.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“State” shall mean the State of California.

SECTION 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than nine months after the end of the District's fiscal year (presently ending June 30), commencing with the report for the 2015-16 fiscal year, provide to the Repository an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; *provided* that the audited financial statements of the District may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the District's fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(c).

(b) Not later than 30 days (nor more than 60 days) prior to said date the Dissemination Agent shall give notice to the District that the Annual Report shall be required to be filed in accordance with the terms of this Disclosure Certificate. Not later than 15 Business Days prior to said date, the District shall provide the Annual Report in a format suitable for reporting to the Repository to the Dissemination Agent (if other than the District). If the District is unable to provide to the Repository an Annual Report by the date required in subsection (a), the District shall send a timely notice to the Repository in substantially the form attached as Exhibit A with a copy to the Dissemination Agent, no later than the date required by subsection (a). The Dissemination Agent shall not be required to file a Notice to Repository of Failure to File an Annual Report.

(c) The Dissemination Agent shall file a report with the District stating it has filed the Annual Report in accordance with its obligations hereunder, stating the date it was provided to the Repository.

SECTION 4. Content and Form of Annual Reports. (a) The District's Annual Report shall contain or include by reference the following:

1. The audited financial statements of the District for the prior fiscal year, prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District's audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

2. Material financial information and operating data with respect to the District of the type included in the Official Statement in the following categories (to the extent not included in the District's audited financial statements):

- (a) State funding received by the District for the last completed fiscal year;
- (b) average daily attendance of the District for the last completed fiscal year;
- (c) outstanding District indebtedness;
- (d) summary financial information on revenues, expenditures and fund balances for the District's general fund reflecting adopted budget for the current fiscal year;

- (e) assessed valuation of taxable property within the District for the current fiscal year; and
- (f) secured *ad valorem* property tax levy collections and delinquencies within the District for the last completed fiscal year, except to the extent the Teeter Plan, if adopted by Los Angeles County, applies to both the 1% general purpose *ad valorem* property tax levy and to the tax levy for general obligation bonds of the District.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which have been submitted to the Repository or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the Municipal Securities Rulemaking Board. The District shall clearly identify each such other document so included by reference.

(b) The Annual Report shall be filed in an electronic format accompanied by identifying information prescribed by the Municipal Securities Rulemaking Board.

SECTION 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5(a), the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner not in excess of 10 business days after the occurrence of the event:

1. principal and interest payment delinquencies.
2. tender offers.
3. optional, contingent or unscheduled Bond calls.
4. defeasances.
5. rating changes.
6. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, or Notices of Proposed Issue (IRS Form 5701-TEB).
7. unscheduled draws on the debt service reserves reflecting financial difficulties.
8. unscheduled draws on credit enhancement reflecting financial difficulties.
9. substitution of the credit or liquidity providers or their failure to perform.
10. bankruptcy, insolvency, receivership or similar event of the District. For the purposes of the event identified in this Section 5(a)(9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order

confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District.

(b) Pursuant to the provisions of this Section 5(b), the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material:

1. non-payment related defaults.
2. modifications to rights of Bondholders.
3. unless described under Section 5(a)(5) above, material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds.
4. release, substitution or sale of property securing repayment of the Bonds.
5. the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms.
6. appointment of a successor or additional trustee or paying agent with respect to the Bonds or the change of name of such a trustee or paying agent.

(c) Whenever the District obtains knowledge of the occurrence of a Listed Event under Section 5(b) hereof, the District shall as soon as possible determine if such event would be material under applicable federal securities laws.

(d) If the District determines that knowledge of the occurrence of a Listed Event under Section 5(b) hereof would be material under applicable federal securities laws, the District shall (i) file a notice of such occurrence with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event or (ii) provide notice of such reportable event to the Dissemination Agent in format suitable for filing with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event. The Dissemination Agent shall have no duty to independently prepare or file any report of Listed Events. The Dissemination Agent may conclusively rely on the District's determination of materiality pursuant to Section 5(c).

SECTION 6. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 5(a).

SECTION 7. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent (or substitute Dissemination Agent) to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent may resign upon 15 days written notice to the District. Upon such resignation, the District shall act as its own Dissemination Agent until it appoints a successor. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the District pursuant to this Disclosure Certificate and shall not be responsible to verify the accuracy, completeness or materiality of any continuing disclosure information provided by the District.

The District shall compensate the Dissemination Agent for its fees and expenses hereunder as agreed by the parties. Any entity succeeding to all or substantially all of the Dissemination Agent's corporate trust business shall be the successor Dissemination Agent without the execution or filing of any paper or further act.

SECTION 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

- (a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, or 5(a) or 5(b), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;
- (b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances;
- (c) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Holders or Beneficial Owners of the Bonds; and
- (d) No duties of the Dissemination Agent hereunder shall be amended without its written consent thereto.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5(a), and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate any Holder or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Resolution, and the sole remedy under this

Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 11. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate. The Dissemination Agent acts hereunder solely for the benefit of the District; this Disclosure Certificate shall confer no duties on the Dissemination Agent to the Participating Underwriter, the Holders and the Beneficial Owners. The District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorney's fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's gross negligence or willful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds. The Dissemination Agent shall have no liability for the failure to report any event or any financial information as to which the District has not provided an information report in format suitable for filing with the Repository. The Dissemination Agent shall not be required to monitor or enforce the District's duty to comply with its continuing disclosure requirements hereunder.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriter and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Dated: August 31, 2016

COVINA-VALLEY UNIFIED SCHOOL
DISTRICT

By: _____
Richard M. Sheehan, Ed.D.
Superintendent

EXHIBIT A

NOTICE TO REPOSITORY OF FAILURE TO FILE ANNUAL REPORT

Name of District: COVINA-VALLEY UNIFIED SCHOOL DISTRICT

Name of Bond Issue: Election of 2012 General Obligation Bonds, Series C
2016 General Obligation Refunding Bonds (2019 Crossover)

Date of Issuance: August 31, 2016

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect to the above-named Bonds as required by the Continuing Disclosure Certificate relating to the Bonds. The District anticipates that the Annual Report will be filed by _____.

Dated: _____

COVINA-VALLEY UNIFIED SCHOOL DISTRICT

By _____ [form only; no signature required]

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APPENDIX D

GENERAL ECONOMIC AND DEMOGRAPHIC INFORMATION FOR THE CITY OF COVINA, THE CITY OF WEST COVINA AND LOS ANGELES COUNTY

The following information regarding economic activity within the cities of Covina (“Covina”) and West Covina (“West Covina,” and together with Covina, the “Cities”) and Los Angeles County (the “County”), in which the District is located is provided as background information only, to describe the general economic health of the region. The Bonds are not a debt or obligation of the Cities or the County.

General

Covina is a small city in the County, approximately 22 miles east of downtown Los Angeles. Incorporated in 1901, Covina is run by an elected City Council and hired City Manager. Originally famous for high-quality orange groves, Covina today is largely a residential area.

West Covina is a general-law city located to the south of Covina. Incorporated in 1923, West Covina is a residential and commercial center that includes retail merchandising as the principal business. The City Council appoints a City Manager as chief administrator of all West Covina services.

The County was incorporated on February 18, 1850 and is one of the original counties in the State of California (the “State”). With 4,061 square miles, the County borders 70 miles of coast on the Pacific Ocean. The County is home to 88 incorporated cities and many unincorporated areas. In between the large desert portions of the county — which make up around 40% of its land area — and the heavily urbanized central and southern portions sits the San Gabriel Mountains containing Angeles National Forest. Significant portions of the County are heavily urbanized.

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Population

The following table shows the population estimates of the Cities, the County and the State for the past 10 years.

POPULATION ESTIMATES
2006 through 2015
City of Covina, City of West Covina, Los Angeles County and State of California

<u>Year⁽¹⁾</u>	<u>City of Covina</u>	<u>City of West Covina</u>	<u>Los Angeles County</u>	<u>State of California</u>
2007	47,871	106,985	9,780,808	36,399,676
2008	47,701	106,426	9,785,474	36,704,375
2009	47,726	106,231	9,801,096	36,966,713
2010 ⁽²⁾	47,796	106,098	9,818,605	37,253,956
2011	48,017	106,499	9,874,887	37,536,835
2012	48,411	106,934	9,956,722	37,881,357
2013	48,722	106,642	10,023,753	38,239,207
2014	48,915	106,897	10,093,053	38,567,459
2015	49,078	107,081	10,155,069	38,907,642
2016	49,291	107,873	10,241,335	39,255,883

⁽¹⁾ January 1 data.

⁽²⁾ April 1 data.

Source: California Department of Finance.

Personal Income

The following table shows of per capita personal income for the County, the State and the United States from 2005 through 2014.

PER CAPITAL PERSONAL INCOME⁽¹⁾
2005 through 2014
Los Angeles County, State of California, and United States

<u>Year</u>	<u>Los Angeles County</u>	<u>State of California</u>	<u>United States</u>
2005	\$37,095	\$39,046	\$35,904
2006	40,326	41,693	38,144
2007	42,187	43,182	39,821
2008	43,633	43,786	41,082
2009	41,714	41,588	39,376
2010	42,540	42,411	40,277
2011	44,627	44,852	42,453
2012	47,713	47,614	44,266
2013	47,580	48,125	44,438
2014	49,400	49,985	46,049

⁽¹⁾ Per capita personal income is the total personal income divided by the total mid-year population estimates of the U.S. Bureau of the Census. All dollar estimates are in current dollars (not adjusted for inflation).

Source: U.S. Department of Commerce, Bureau of Economic Analysis.

Commercial Activity

The following tables show summaries of annual taxable sale data for the Cities and County for the five most recently available years.

**TAXABLE SALES
2010 through 2014
City of Covina
(Dollars in Thousands)**

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores Taxable Transactions</u>	<u>Total Permits</u>	<u>Total Outlets Taxable Transactions</u>
2010	937	\$522,388	1,506	\$580,967
2011	944	270,263	1,493	306,543
2012	935	602,149	1,455	693,698
2013	912	600,954	1,417	676,414
2014	N/A	648,505	N/A	733,790

Source: "Taxable Sales in California (Sales & Use Tax)," California Board of Equalization.

**TAXABLE SALES
2010 through 2014
City of West Covina
(Dollars in Thousands)**

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores Taxable Transactions</u>	<u>Total Permits</u>	<u>Total Outlets Taxable Transactions</u>
2010	1,244	\$977,145	1,679	\$1,088,803
2011	1,256	1,042,016	1,683	1,156,370
2012	1,353	1,142,431	1,755	1,260,366
2013	1,315	1,220,415	1,705	1,334,588
2014	N/A	1,322,086	N/A	1,441,450

Source: "Taxable Sales in California (Sales & Use Tax)," California Board of Equalization.

**TAXABLE SALES
2010 through 2014
Los Angeles County
(Dollars in Thousands)**

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores Taxable Transactions</u>	<u>Total Permits</u>	<u>Total Outlets Taxable Transactions</u>
2010	182,491	\$82,175,416	271,293	\$116,942,334
2011	179,872	89,251,447	266,868	126,440,737
2012	180,359	95,318,603	266,414	135,295,582
2013	179,370	99,641,174	263,792	140,079,708
2014	N/A	104,189,819	272,733	147,446,927

Source: "Taxable Sales in California (Sales & Use Tax)," California Board of Equalization.

Employment

The following table summarizes the labor force, employment and unemployment figures for the City, County and State from 2011 through 2015.

CIVILIAN LABOR FORCE, EMPLOYMENT AND UNEMPLOYMENT RATE
2011 through 2015
City of Covina, City of West Covina, Los Angeles County and State of California

<u>Year</u>	<u>Area</u>	<u>Labor Force</u>	<u>Employment</u>	<u>Unemployment</u>	<u>Unemployment Rate</u>
2011	City of Covina	24,300	20,800	3,500	14.3%
	City of West Covina	54,000	46,000	7,900	14.7
	Los Angeles County	4,928,500	4,327,900	600,500	12.2
	State of California	18,419,500	16,260,100	2,159,400	11.7
2012	City of Covina	24,200	21,100	3,100	12.9%
	City of West Covina	53,600	46,500	7,100	13.2
	Los Angeles County	4,921,800	4,385,300	536,500	10.9
	State of California	18,554,800	16,630,100	1,924,700	10.4
2013	City of Covina	24,300	21,500	2,800	11.5%
	City of West Covina	53,900	47,600	6,400	11.8
	Los Angeles County	4,979,000	4,494,400	484,600	9.7
	State of California	18,671,600	17,002,900	1,668,700	8.9
2014	City of Covina	24,500	22,100	2,400	9.8%
	City of West Covina	54,100	48,600	5,400	10.0
	Los Angeles County	5,025,900	4,611,500	414,300	8.2
	State of California	18,811,400	17,397,100	1,414,300	7.5
2015	City of Covina	24,400	22,400	1,900	8.0%
	City of West Covina	53,700	49,300	4,400	8.2
	Los Angeles County	5,011,700	4,674,800	336,900	6.7
	State of California	18,981,800	17,798,600	1,183,200	6.2

Note: Data is based on annual averages, unless otherwise specified, and is not seasonally adjusted.

Source: U.S. Department of Labor – Bureau of Labor Statistics, California Employment Development Department. March 2015.

Industry

The Cities are included in the Los Angeles-Long Beach-Glendale Metropolitan Statistical Area. The distribution of employment in the Los Angeles/Long Beach/Glendale area is presented in the following table for the calendar years 2011 through 2015. These figures are countywide statistics and may not necessarily accurately reflect employment trends in the Cities.

INDUSTRY EMPLOYMENT & LABOR FORCE ANNUAL AVERAGES 2011 through 2015 Los Angeles-Long Beach-Glendale Metropolitan Division

	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>
Farm	5,600	5,400	5,500	5,200	5,000
Mining, Logging and Construction	109,100	113,400	120,600	123,900	130,000
Manufacturing	366,900	367,400	368,200	364,100	360,800
Wholesale Trade	205,800	211,900	218,700	222,500	227,000
Retail Trade	393,000	400,900	405,600	413,000	420,500
Transportation, Warehousing and Utilities	151,800	154,500	157,500	163,400	170,400
Information	192,000	191,500	196,400	198,000	202,700
Financial Activities	210,100	212,400	213,000	211,100	214,200
Professional and Business Services	542,500	570,100	593,200	599,100	600,300
Education and Health Services	677,300	699,500	702,100	720,700	742,200
Leisure and Hospitality	394,700	415,800	440,500	466,600	488,100
Other Services	137,000	141,700	145,700	150,500	151,700
Government	<u>565,500</u>	<u>556,800</u>	<u>551,200</u>	<u>556,200</u>	<u>566,400</u>
Total All Industries	3,951,300	4,041,400	4,118,100	4,194,200	4,279,200

Source: California Employment Development Department, Labor Market Information Division. March 2015 Benchmark.

Largest Employers

The following tables rank the largest employers in the Cities.

LARGEST EMPLOYERS 2015 City of Covina

<u>Rank</u>	<u>Employer</u>	<u>Employees</u>	<u>Description</u>
1.	Covina Valley Unified School District ⁽¹⁾	1,805	Primary and secondary education
2.	Citrus Valley Health Partners- Intercommunity Hospital ⁽²⁾	815	Hospital
3.	Charter Oak Unified School District	565	Primary and secondary education
4.	City of Covina	379	City government and services
5.	Wal-Mart	276	Retailer
6.	Vitas Innovative Hospice Care	267	Long-term care facility
7.	Lereta, LLC	251	Business consultancy
8.	Magan Medical Clinic	231	Healthcare clinic
9.	Lowe's Home Centers LLC	210	Home improvement retailer
10.	Ikea U.S. West, Inc.	195	Home furniture retailer

⁽¹⁾ For updated information regarding the District's employees, see "COVINA-VALLEY UNIFIED SCHOOL DISTRICT – Labor Relations" in the front part of this Official Statement.

⁽²⁾ Updated information not provided; 815 reflects 2014 amount.

Source: City of Covina 'Comprehensive Annual Financial Report' for Fiscal Year Ended June 30, 2015.

LARGEST EMPLOYERS

2015

City of West Covina

<u>Rank</u>	<u>Employer</u>	<u>Employees</u>	<u>Description</u>
1.	Citrus Valley Health Partners-Queen of the Valley Campus	1,588	Hospital
2.	West Covina Unified School District	1,512	Primary and secondary education
3.	Target	374	Retailer
4.	City of West Covina	351	City government and services
5.	Walmart	300	Retailer
6.	Macy's	289	Clothing retailer
7.	Interspace/Concorde Battery Corporation	245	Vehicle battery manufacturer
8.	JC Penney	220	Clothing retailer
9.	B.J.'s Restaurant & Brewery	196	Restaurant
10.	San Gabriel Valley Newspaper Group	180	News publisher

Source: City of West Covina 'Comprehensive Annual Financial Report' for Fiscal Year Ended June 30, 2015.

The following table shows the largest private sector employers located in the County.

LARGEST PRIVATE-SECTOR EMPLOYERS

2015

Los Angeles County

<u>Employer</u>	<u>Employees</u>	<u>Description</u>
Kaiser Permanente	35,771	Insurance
University of Southern California	18,629	Services: Educational
Northrop Grumman Corp.	17,000	Manufacturing: Industrial
Target Corp.	15,000	Retail Trade: General Merchandise
Ralphs/Food 4 Less (Kroger Co. division)	13,500	Retail: Food Stores
Bank of America Corp.	13,000 ⁽¹⁾	Finance
Providence Health & Services Southern California	13,000	Services: Health
AT&T	11,700	Telecommunications
UPS	10,768	Transportation and Freight
Home Depot	10,600 ⁽¹⁾	Retail: Building Materials

⁽¹⁾ Business Journal estimate.

Source: Los Angeles Business Journal, The List, published August 31, 2015.

Building Activity

The annual building permit valuations and number of permits for new dwelling units issued from 2011 through 2015 for the Cities and County are shown in the following tables.

BUILDING PERMITS AND VALUATIONS 2011 through 2015 City of Covina (Dollars in Thousands)

	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>
Valuation					
Residential	\$7,153	\$15,770	\$12,744	\$6,892	\$5,948
Non-Residential	<u>7,070</u>	<u>7,236</u>	<u>6,380</u>	<u>11,821</u>	<u>6,012</u>
Total	\$14,223	\$23,006	\$19,124	\$18,713	\$11,960
Units					
Single Family	0	1	0	3	1
Multiple Family	<u>32</u>	<u>38</u>	<u>56</u>	<u>0</u>	<u>16</u>
Total	32	39	56	3	17

Note: Totals may not add to sum because of rounding.

Source: Construction Industry Research Board.

BUILDING PERMITS AND VALUATIONS 2011 through 2015 City of West Covina (Dollars in Thousands)

	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>
Valuation					
Residential	\$10,698	\$7,929	\$13,796	\$103,184	\$70,073
Non-Residential	<u>23,984</u>	<u>25,182</u>	<u>25,134</u>	<u>28,298</u>	<u>14,843</u>
Total	\$34,682	\$33,111	\$38,930	\$131,482	\$84,916
Units					
Single Family	4	1	13	31	97
Multiple Family	<u>0</u>	<u>0</u>	<u>0</u>	<u>450</u>	<u>8</u>
Total	4	1	13	481	105

Note: Totals may not add to sum because of rounding.

Source: Construction Industry Research Board.

BUILDING PERMITS AND VALUATIONS
2011 through 2015
Los Angeles County
(Dollars in Thousands)

	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>
Valuation					
Residential	\$3,415,434	\$3,821,324	\$4,743,955	\$5,509,418	\$6,383,036
Non-Residential	<u>3,126,956</u>	<u>3,682,730</u>	<u>4,326,366</u>	<u>6,657,571</u>	<u>5,645,372</u>
Total	\$6,542,390	\$7,504,054	\$9,070,321	\$12,166,989	\$12,028,308
Units					
Single Family	2,370	2,820	3,607	4,358	4,487
Multiple Family	<u>8,098</u>	<u>8,895</u>	<u>13,243</u>	<u>14,349</u>	<u>18,405</u>
Total	10,468	11,715	16,850	18,707	22,892

Note: Totals may not add to sum because of rounding.

Source: *Construction Industry Research Board.*

APPENDIX E

LOS ANGELES COUNTY TREASURY POOL

The following information concerning the Los Angeles County Treasury Pool (the “Treasury Pool”) has been provided by the Treasurer, and has not been confirmed or verified by the District, the Financial Advisor or the Underwriter. The District, the Financial Advisor and the Underwriter have not made an independent investigation of the investments in the Treasury Pool and have made no assessment of the current County investment policy. The value of the various investments in the Treasury Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Additionally, the Treasurer, with the consent of the County Board of Supervisors, may change the County investment policy at any time. Therefore, there can be no assurance that the values of the various investments in the Treasury Pool will not vary significantly from the values described herein. Finally, none of the District, the Financial Advisor nor the Underwriter make any representation as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained or incorporated hereby by reference is correct as of any time subsequent to its date. Additional information regarding the Treasury Pool may be obtained from the Treasurer at www.ttc.lacounty.gov; however, the information presented on such website is not incorporated herein by any reference.

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THE LOS ANGELES COUNTY POOLED SURPLUS INVESTMENTS

The Treasurer and Tax Collector (the Treasurer) of Los Angeles County has the delegated authority to invest funds on deposit in the County Treasury (the Treasury Pool). As of June 30, 2016, investments in the Treasury Pool were held for local agencies including school districts, community college districts, special districts and discretionary depositors such as cities and independent districts in the following amounts:

<u>Local Agency</u>	<u>Invested Funds (in billions)</u>
County of Los Angeles and Special Districts	\$10.362
Schools and Community Colleges	13.972
Discretionary Participants	<u>2.349</u>
Total	\$26.683

The Treasury Pool participation composition is as follows:

Non-discretionary Participants	91.19%
Discretionary Participants:	
Independent Public Agencies	7.77%
County Bond Proceeds and Repayment Funds	<u>1.04%</u>
Total	100.00%

Decisions on the investment of funds in the Treasury Pool are made by the County Investment Officer in accordance with established policy, with certain transactions requiring the Treasurer's prior approval. In Los Angeles County, investment decisions are governed by Chapter 4 (commencing with Section 53600) of Part 1 of Division 2 of Title 5 of the California Government Code, which governs legal investments by local agencies in the State of California, and by a more restrictive Investment Policy developed by the Treasurer and adopted by the Los Angeles County Board of Supervisors on an annual basis. The Investment Policy adopted on March 29, 2016, reaffirmed the following criteria and order of priority for selecting investments:

1. Safety of Principal
2. Liquidity
3. Return on Investment

The Treasurer prepares a monthly Report of Investments (the Investment Report) summarizing the status of the Treasury Pool, including the current market value of all investments. This report is submitted monthly to the Board of Supervisors. According to

the Investment Report dated July 29, 2016, the June 30, 2016 book value of the Treasury Pool was approximately \$26.683 billion and the corresponding market value was approximately \$26.714 billion.

An internal controls system for monitoring cash accounting and investment practices is in place. The Treasurer's Compliance Auditor, who operates independently from the Investment Officer, reconciles cash and investments to fund balances daily. The Compliance Auditor's staff also reviews each investment trade for accuracy and compliance with the Board adopted Investment Policy. On a quarterly basis, the County's outside independent auditor (External Auditor) reviews the cash and investment reconciliations for completeness and accuracy. Additionally, the External Auditor reviews investment transactions on a quarterly basis for conformance with the approved Investment Policy and annually accounts for all investments.

The following table identifies the types of securities held by the Treasury Pool as of June 30, 2016:

<u>Type of Investment</u>	<u>% of Pool</u>
U.S. Government and Agency Obligations	60.29
Certificates of Deposit	12.00
Commercial Paper	27.33
Bankers Acceptances	0.00
Municipal Obligations	0.19
Corporate Notes & Deposit Notes	0.19
Asset Backed Instruments	0.00
Repurchase Agreements	0.00
Other	<u>0.00</u>
	100.00

The Treasury Pool is highly liquid. As of June 30, 2016, approximately 33.29% of the investments mature within 60 days, with an average of 608 days to maturity for the entire portfolio.